

GET SCALABLE

The Operating
System Your
BUSINESS
NEEDS TO RUN
AND SCALE
Without You

RYAN DEISS



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By Ryan Deiss

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To Emily.

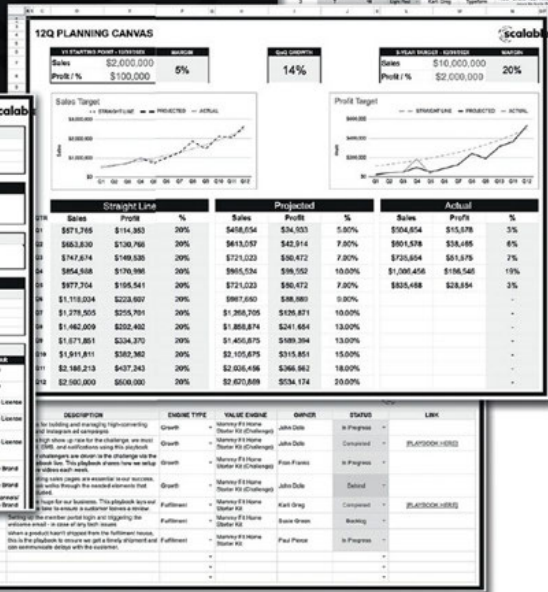


WAIT! Do This First...

Included with this book are the tools and templates you need to install an operating system that will enable your business to run and grow without you. These tools are easily worth 10X the price of the book, but you can access the entire Scalable OS tools suite for free by going to:

getScalable.com/resources

A dark-themed dashboard header. At the top, the text "SCALABLE OS DASHBOARD" is displayed in a large, white, sans-serif font. Below this, on the left side, are three white rectangular boxes stacked vertically. The first box contains the label "COMPANY:" followed by a white pill-shaped button with the text "Mommy Fit". The second box contains the label "VERSION:" followed by a white pill-shaped button with the text "1.0". The third box contains the label "LAST UPDATED:" followed by a white pill-shaped button with the text "6/25/23". On the right side of the header, there is a large, faint, stylized white icon of a dollar sign inside a circle.

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INTRODUCTION

Tell me if this sounds familiar...

Your inbox is overflowing with week-old messages that only you can reply to, and new ones are piling in every day. You stopped trying to plan your day or even keep a to-do list months ago because your days are spent putting out “fires” or addressing the constant “shoulder taps” and “Got a minutes?” that come in from your team.

There’s no time to read, think, or work on the important but non-urgent projects you love doing (and that actually make an impact), and most days, it feels like you’re everyone else’s executive assistant.

If you eat lunch, it’s on the run or at your desk, and you know your health is suffering.

You’re exhausted at the end of each day, but it never seems like anything truly important gets done. At best you’re just keeping plates spinning, but you quietly wonder how long you can keep it all together.

When you get home, your family complains that you’re working too much and that you’re never around. It stings, especially when you remember you’re supposedly doing all of this for them.

But what if it could be different?

What if, instead, your average day looked more like this...

You wake up, check your email, and the only item in your inbox is a link to the updated Company Scorecard. You review it, and aside from a few “Yellow” areas, all the key metrics are “Green” across the board.

You start to ask about the metrics that are behind target (i.e., the “Yellow” metrics), but then you notice your team has already included an explanation of the steps they’re taking to get those numbers back on track by the end of the week. Knowing today is taken care of, you’re free to read, think, and strategize about the future.

As a general rule, you don’t attend any meetings except for the Monthly Business Reviews and Quarterly Sprint Planning sessions, and aside from check-ins with your leadership team, you’re free to focus on the work you love doing that makes the biggest impact.

Best of all, you have deep, meaningful relationships with your family and friends, and you have ample time to enjoy personal hobbies as well as trips and experiences with the ones you love.

Of these two scenarios, which feels the most true for you?

If the first scenario hits a little too close to home and the second scenario sounds like an unachievable “entrepreneurial dream,” then I have good news. I wrote this book for you. The “entrepreneurial dream” scenario I just described can be your reality—but to achieve it, you must first confront a harsh truth that most founders will never learn and even fewer will admit. I call it “The Founder’s Curse.”

What is the Founder’s Curse?

The Founder’s Curse states that the more valuable you are to your business, the less valuable your business is.

Read that again because it’s so, so important.

This truth can be difficult to hear. As entrepreneurs we not only believe we can do it all, but in the back of our minds we believe we must do it all because, frankly, we always have done it all. And so far (well, in the early

days at least), doing it all worked just fine. Heck, it's what got us where we are today!

But now, “doing it all” isn't working as well as it once did, is it?

The more valuable you are to your business, the less valuable your business is.

This is why I call it the Founder's Curse. The skills, talents, and abilities that were required in the early days of our businesses—the ones that enabled us to succeed where others failed—are the same skills, talents, and abilities that will eventually cause our businesses to stall out and us to burn out. Because what no one tells us is that the operating system required to launch a business is not the same operating system we need to scale our business.

What is an Operating System?

A business operating system is the single source of truth that documents what a company does, how it does it, and the progress it is making toward its stated goals and objectives.

Whether you realize it or not, your company is already running on an operating system (an OS). Just like a computer, it's critical that you always run the most up-to-date version of your company OS if you want to maximize output and prevent the systems (both you and your company) from crashing.

So what exactly is an operating system, anyway? According to my sources (read: Google), the definition of an operating system is:

op·er·at·ing sys·tem

/ˈäpə,rādiNG ,sistəmə/

A set of algorithms and a common language that enables different components to communicate with one another in support of the desired outputs of a machine.

If you look closely, you'll see there are three components listed in this definition that make up any operating system: 1) a set of algorithms, 2) a common language, and 3) desired outputs. Let's break down each one and discuss how these three components relate to both computer operating systems and business operating systems.

Component #1: a Set of Algorithms

Don't let the technical jargon scare you. "Algorithm" is just a fancy word for "rule." In other words, when programmers talk about the algorithms of an operating system, they are referring to the rules written into the source code that govern how that particular operating system will function.

Businesses have algorithms, too. While they may not be hard-coded into actual source code, algorithms exist in the form of checklists, standard operating procedures (SOPs), and company policies, as well as many of the unwritten, tribal rules that govern the organization.

Component #2: a Common Language

“Common Language” refers to the user interface of a computing device—how you experience using your phone or laptop, for instance. Common Language also specifically refers to how different components of a device communicate with one another in relative harmony. For example, it’s thanks to a Common Language that an “s” appears on the screen when you click the “s” key on your keyboard, and it’s Common Language that causes the cursor on your screen to move to the right when you move your mouse to the right. Said another way, it is a Common Language that enables all the different parts of a system to agree on what reality is so they can work together in a predictable, efficient, and harmonious manner.

Companies need to have a Common Language, too. As companies scale, it’s vital that everyone in the organization, no matter their department, has access to the same data and can communicate information back and forth. The most typical way businesses establish a Common Language is through regular meetings. But metrics scorecards and communication tools like email, Slack, and Zoom also make up Common Language of a company’s operating system.

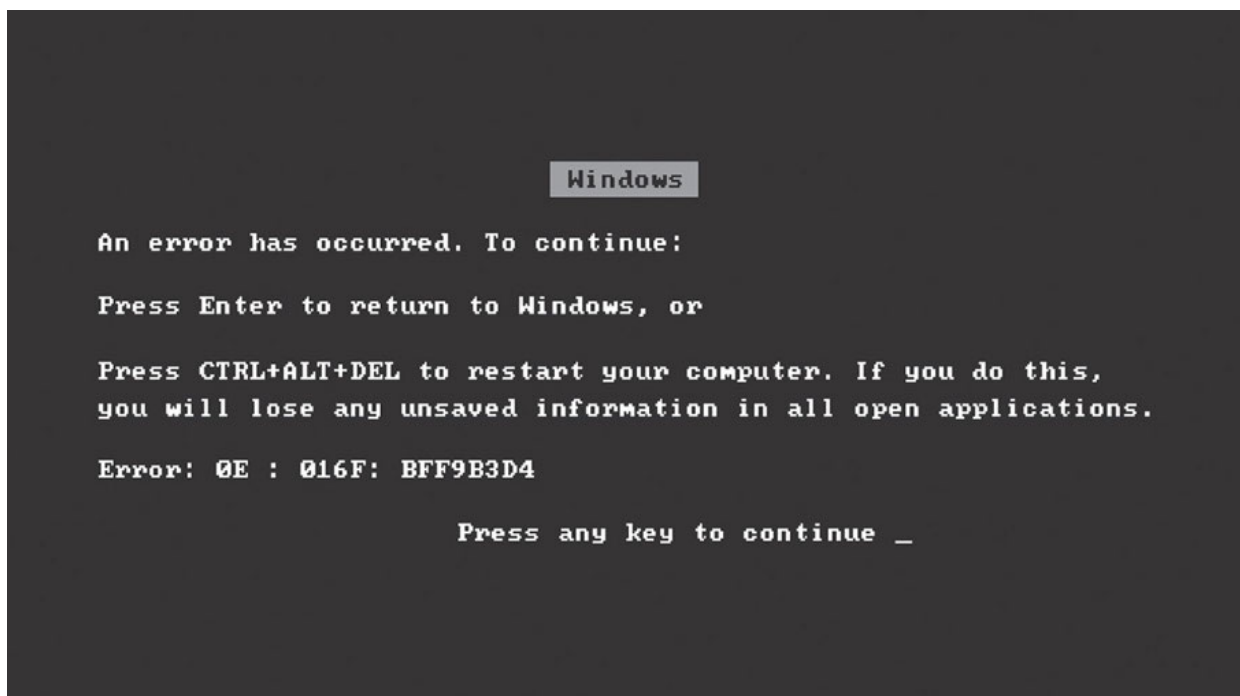
Component #3: Desired Outputs

“Desired outputs” are the actual work product of a computer system. It could be the creation of a new marketing campaign, the drafting of an important speech, or the scrolling of your social media feed just to kill some time while you stand in line at the bank. The point is, any time you sit down at your computer or pull out your phone, you have a desired output in mind, and it’s the job of the operating system to ensure your desired output is achieved, however big or small.

Companies have desired outputs, too. They might be called “goals” or “objectives”, or they may even be contained in your mission or vision statements. The point is, whether they’re framed and hanging on a wall for all to see or stuck somewhere in the mind of the CEO, all businesses have desired outputs.

So, if all businesses have a set of algorithms (even if the rules are unwritten), a Common Language (even if it's choppy and inefficient), and desired objectives (even if they're loosely defined and known only to the CEO), then all businesses have an operating system.

The problem is, most businesses are running on legacy operating systems. They're attempting to power a modern 3D gaming machine with a hacked version of Windows 95, and they're wondering why they keep experiencing the entrepreneurial equivalent of the "blue screen of death."



So, what's the solution?

Remember The Founder's Curse? "The more valuable you are to your business, the less valuable your business is." The key to breaking the curse, to becoming "less valuable" to your business, is the same for overcoming burnout and preventing the entrepreneurial "blue screen of death." You need to get scalable, and to do that...

...you need to upgrade your company operating system.

Version 1.0: The YouOS

All businesses start out by running on what we call a “You Operating System” (YouOS). With a YouOS, you (the founder) are the operating system and the operating system is you. You make the rules, you drive the meetings, and you set the goals. You do it all!

To be clear, a YouOS is fine when a company is getting started. Just like Windows 1.0 was all a computer needed back in 1985, a YouOS was exactly what your company needed in those early days when you had one product serving one type of customer and your entire team (assuming you even had a team) could literally fit around the same table and share a single pepperoni pizza for lunch.

Back in those days, you were all your company needed. Your ideas, your strategy, your systems, your management, and your passion were more than enough to survive, and even thrive. But as the business grew, you couldn’t do it all. So, you hired help, invested in software, and applied just enough duct tape and bubble gum to keep the system running. And it worked... for a while.

But as the business grew, the duct tape and bubble gum started to break loose, and pieces began to fall apart all over again. In the same way a computer will grind to a halt when its operating system is old or corrupt, your business will grind to a halt if your company OS is corrupt or overloaded. Here are six signs your YouOS might be experiencing system overload:

Work is chaotic. Nothing important ever seems to get done aside from the things that are “on fire,” and plans (if you have them) are loosely defined and rarely followed.

You're constantly swarmed with "Got a minute?" questions and "shoulder taps" about issues apparently only you can solve, and team members constantly need to be told what to do.

Meetings feel like a waste of time.

Profits are low, even when sales are high.

Turnover is high, and one of the fires you have to constantly put out is replacing good talent or convincing good people to stay.

You're tired, frustrated, burned out, and ready to quit.

When the founder burns out, that's when your company's operating system—your YouOS—finally crashes. Said more bluntly, all companies operating on a YouOS eventually stall out because their founders eventually burn out. That's probably why you bought this book. If so, I have good news for you...

It's not your fault.

I mean that! If you are stressed out, burned out, and it feels like your business is coming apart at the seams, it really and truly is not your fault. To be clear, if you continue doing nothing about your crashed OS, then it absolutely is your fault—but since this is likely the first time you've considered your YouOS, you get a pass. You also get a pass because you wouldn't even be experiencing the pains you're experiencing if you hadn't already achieved a massive amount of success.

Think about it. Businesses that fail to find initial traction don't face the challenges you're facing. They still have challenges, but not your particular set of challenges. The challenges you are facing are caused by one thing and one thing only: growth. And growth only happens when you succeed, so in a real way, you have become a victim of your own success. That, dear reader, is why I say it's not your fault!

And you're not alone.

67% of the companies that make the Inc. 5000 list fail within 5 – 8 years of appearing on the list.

According to a follow-up study conducted by The Kauffman Foundation and Inc. Magazine¹, the company that publishes the annual list of the “5,000 fastest-growing companies in the United States,” about two-thirds of the companies that made the list had “shrunk in size, gone out of business, or been disadvantageously sold” within five-to-eight years of appearing on the Inc. 5000 list. In other words, despite their early success, they still flatlined and failed.

The lesson: “more growth” is not the answer.

When you make the shift from startup to scale-up, the rules change because the game has changed, but it's a game you can win if you have the right playbook. In the pages that follow, I'm going to give you this play-book, but for now, here's all I want you to know...

Your business isn't broken.

You aren't broken.

You simply need a new operating system... a new “playbook.”

And I should know.

From Inc. 500 To Nearly Bankrupt

I have a confession to make: I nearly bankrupted my first company.

I still can't pinpoint exactly when things started going south. But one day, after years of rapid growth, healthy profits, and multiple appearances on the Inc. 500 and Inc. 5000 lists of the "Fastest-growing privately held companies in the United States," I logged into our company bank account and noticed that our cash wasn't just lower than it had been the month before, it was dangerously low. As in, "How the heck are we going to make payroll?" low.

Huh, that's odd, I thought. So, I dug a little deeper. I was shocked to discover that the previous month was worse than the month before that. Clearly this was a trend that had been going on for months!

It didn't make sense. Sales were stronger than ever, and no one around me seemed concerned. In fact, I actually remember saying to a friend and fellow founder, "If my business is growing, then why the heck am I making less money?"

We both laughed. It genuinely seemed funny at the time.

Fast-forward ninety days, and I wasn't laughing anymore. In my haste to "fix" our cash flow problems, I took on more and more projects and chased every random opportunity and "shiny object" that crossed my path. No opportunity was too small or disconnected, and the company strategy (if you can even call it that) was being reset almost daily. Unsurprisingly, this only made things worse.

I liked it better when the business was small and simple. Maybe we just need to take a few steps back, I would think in the brief moments when I actually had time to think.

But it was too late.

Sales dipped, losses mounted, and our fun-loving, Nerf Gun–battling company culture turned toxic almost overnight.

Our best people started heading for the exits, and cash was so tight one month that I had to take money out of my personal savings just to cover payroll.

I remember thinking, Why am I paying all these people? Maybe I should just fire everyone and do the work myself!

But I didn't fire everyone. In fact, in the face of all this uncertainty and adversity, I did what most inexperienced Founder/CEOs do: I doubled down.

Twelve-hour days became the new normal, and most mornings I left the house before my wife and kids were awake and returned home after they were already in bed. When I did actually get to see my family on weekends, I was moody and distant.

I missed soccer games.

I missed dance recitals.

I missed more family dinners than I can count.

“It's okay,” I told myself. “This is just a season. I'll keep powering through and eventually things will get back to normal.”

Spoiler alert: things didn't get back to normal. In fact, they only got worse. One night, they reached a breaking point.

I arrived home after another late night at the office. I don't remember exactly what time it was, but it was well after midnight. I walked in the door, and as I turned the corner to my bedroom, I noticed the light was still on in the room. My wife was normally asleep before midnight, so I knew this wasn't going to be good. When I opened the door, I saw her sitting up in bed. It was obvious she had been crying.

Then I heard the most painful words I've ever heard.

“You can keep doing what you’re doing, but you can’t pretend like you’re doing it for us anymore.”

Her words pierced me like a thousand tiny needles.

She didn’t threaten me. She didn’t issue an ultimatum. She didn’t even say I had to stop working. She simply told me that if I wanted to keep working like I was working, I had to acknowledge that I wasn’t doing it for her and the kids any longer. My priorities were out of whack, and she called me on it.

To understand why this was so crushing to me, it’s helpful to understand why I started my business in the first place. My wife and I met when we were both broke college kids. I knew she was “the one” early in our relationship, and while I didn’t tell her that (because I didn’t want to seem like a weirdo), I secretly launched a side hustle for the sole purpose of making enough money to buy her an engagement ring. It wasn’t fun working nights and weekends while my friends were out partying, but I knew it was worth it.

She was my “reason why.”

To make a long story short, I got the ring. I got the girl. And a few years later, we welcomed our first child into the world. It was a wonderfully scary time, but fortunately that little side hustle had expanded into a full-blown business that was earning me a full-time income. We weren’t rich, but we were getting by. Best of all, we were free, because I didn’t have a boss at a traditional job telling me what to do or where to be.

But we also had another mouth to feed. I was more motivated than ever. That little boy was my new “reason why.”

Fast-forward a couple more years, and we welcomed a new “reason why” into our world—this time, a girl. Then another little “reason why” showed up, and then another two years after that. In less than a decade, I had gone from a single, broke college kid to a married father of four. Along the way, I kept my priorities in line. I wasn’t building a business to get rich or change the world; I was building a business to provide for them. It wasn’t always

perfect, and I missed the occasional family dinner or soccer practice, but those times were the exception, not the rule.



Do you want help building or upgrading your company's operating system?

At The Scalable Company, we're in the business of helping entrepreneurs upgrade their operating systems so their companies can scale, and so they can have a life again. If you would like to learn more about how we can help you build, upgrade, and install your company's OS, visit GetScalable.com/os

But then, all of that changed.

That's what my wife meant when she said, "You can keep doing what you're doing, but you can't pretend like you're doing it for us anymore."

Without realizing it, I had made the business my number-one priority. I was prepared to sacrifice myself, my family, and seemingly everything I held dear at the glorious altar of scale and success. Gutted, I knew I had to make a change, and the change I ultimately made is what I'm going to teach you how to do in this book.

In the pages that follow, I'll show you step-by-step how you can replace your burnout-inducing "YouOS" with a fully customized "Scalable OS." And the best part is, since a Scalable OS is, in fact, scalable, the process you're about to go through will work whether your company has ten

employees and \$1 million in annual revenue or 1000-plus employees and \$100 million in revenue.

When you're finished, you'll have a fully upgraded and installed operating system that will enable your company to run and scale without you having to do it all. No more choosing between company growth and personal freedom. No more sacrificing your health, relationships, and everything you hold dear at the "altar of scale." Once you have a Scalable OS in place, you'll finally be able to have it all.

So, let's do it.

Let's build your company's operating system.

Let's get scalable!

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Building a Scalable Operating System (sOS)

My goal for this book is simple: I want to prove to you that you don't have to sacrifice your relationships, health, and everything you hold dear to achieve the success and scale you know you and your company are capable of.

I want to show you that you can have it all: a thriving business, personal wealth, and even the freedom you craved when you started your company. And I want to give you the tools you need to make it happen. But before I can do that, there are a few myths we need to debunk...

The Five Scale Myths

In my experience working with literally thousands of entrepreneurs over the last twenty-plus years, there are five big, recurring myths that keep founders from taking the necessary actions to build a truly scalable business. I call these “The Five Scale Myths,” and in this section I want to discuss and debunk each one so you can't use them as an excuse to hold you back.

Myth #1: “I just need more sales...”

I hear this one all the time. “Everything would be fine if I could just get to \$100,000 in sales.” Or, “I know things will get easier once we cross the seven-figure mark.” Or my favorite, “We just need to power through to the \$10 million mark. Maybe then I’ll be able to afford to hire someone else to run the business so I can finally take a break.”

Here’s the harsh reality: growth doesn’t equal profit; growth eats profit. And growth doesn’t create time, it sucks up time. In short, when you’re frustrated, exhausted, and burned out from working harder than ever for less and less take-home profit, the answer is not more growth. The answer is scalable growth, and to achieve that, you need a Scalable Operating System.

Myth #2: “I just need to work harder...”

Of the Five Scale Myths, this is the one I respect the most. After all, in the early days of a startup, “working harder” likely was the right answer, so it makes sense that entrepreneurs would shift back into this old way of thinking. “If it worked back then, surely it will work now, right?”

Wrong.

Here’s the harsh reality: each of us is only given twenty-four hours in a day, and despite what some Instagram and TikTok influencers would lead you to believe, you do need to sleep, eat, and socialize for some of those. But assuming you’re able to sustain ten- to twelve-hour workdays and seventy- to eighty-hour workweeks, that still won’t be enough. James Clear said it best in his best-selling book *Atomic Habits*: “You don’t rise to the level of your goals, you fall to the level of your systems.”²

In other words, “wanting it more” and “working harder” isn’t the answer. At scale, you can only apply so much duct tape, bubble gum, hope, and effort to your business. At scale, you need systems, which is exactly what this book (and building a Scalable Operating System) is all about.

Myth #3: “I just need to hire a COO...”

This myth is centered around your team. Sometimes it manifests as a desire to hire a single person—usually a Chief Operating Officer (COO) or Director of Operations—who can do all the work you aren’t able to do, or just don’t want to do. Other times, it manifests as a general frustration toward your entire team, which usually sounds like, “I just need to get better people so they can do the work I actually need them to do!”

Good people don’t fix broken systems. Broken systems break good people.

But here’s the harsh reality: good people don’t fix broken systems. Broken systems break good people. In other words, you can’t just throw people at problems and expect them to come up with solutions. In fact, in my experience, the belief that hiring more and higher-paid people is the answer to every business problem is the number-one reason good companies fail.

As for hiring a COO to do all the stuff you don’t want to do, I’m sorry, but that won’t work either. COOs are at their best when they’re operating... wait for it... within an operating system. So, if you don’t have an operating system in place, one of two things will happen. They will either create an operating system of their own (which may or may not be based on what actually makes your business work) or they’ll turn into a glorified, overpaid executive assistant. Either way, you, your business, and the COO (which you set up to fail) will all lose.

Learning to build teams and hire executive talent is a skill you must master, but it’s not where you should start. Hiring is one of the most expensive, time-consuming, and riskiest tasks you will perform as a business leader, and

that's why it's vital that you build systems first and teams second, which is exactly what you'll do when you build your Scalable Operating System.

Myth #4: "I just need to raise some capital..."

This myth would be funny if it weren't so dangerous. Here's the harsh reality: cash doesn't actually fix anything, it's merely an accelerant. In other words, it's fuel! If your company is firing on all cylinders, then more fuel (a.k.a. cash) is a good thing. But if your company is flailing, then throwing more cash at it (assuming you can even raise the funds) is likely to accelerate your downfall.

Also, the old adage, "The best time to raise money is when you don't need it," is 100 percent true. Banks and other lenders are far more likely to lend you money at a fair rate if your sales and profits are strong and you can show that you have solid systems in place. Similarly, equity investors are far more likely to give you higher valuations at better terms if they know you have options, including not raising any money at all.

But the inverse is also true. If you try to raise debt while your company is struggling with sales, profitability, and systems, the only lenders who will meet with you will be ultra-high-interest, "hard money" lenders that you truly don't want to work with. Similarly, if you're expecting an equity investor to swoop in and save you, you're going to be sorely disappointed. Assuming you can find someone willing to work with you, you'll likely have to give up so much equity at such disadvantageous terms that before long, you'll be more of an employee than an owner—and that's if things go well.

I hope you agree that "more capital" is not the answer when your business is struggling and when you are burnt-out. Fortunately, you do have one other option...

Myth #5: "I just need to stay small..."

Have you ever thought to yourself, Maybe I just need to fire everyone and do all the work myself? Or even, I liked it better when things were small and simple. Maybe I should turn this into a “lifestyle business” instead of trying to build a business that can scale?

If you have thought these thoughts and felt these feelings, know you aren’t alone. All entrepreneurs, whether they admit it or not, toy with the idea of quitting, and this “quitting fantasy” usually starts with the “lifestyle business” fantasy.

The lifestyle business fantasy states that you can have a business built entirely around your lifestyle. You’ll work when you want to work and play when you want to play. This fantasy evokes images of sitting on the beach with your laptop, sipping on a margarita while you respond to clients as the waves come crashing in.

But here’s the harsh reality: there’s no such thing as a “lifestyle business.” The lifestyle business fantasy is just that: a fantasy. All businesses require work, because all businesses have customers and clients who expect to be served. It’s literally why they pay you! So, the only question is, “Who (or what) will do that work?”

If you are a solo entrepreneur, then the answer is simple: you will be the one doing all the work, because you are the only one who can do the work. Sure, you can rely on outsourcers or even technology, but when something breaks, you are the one who has to jump in and fix it. In other words, you are the one doing the work!

In my experience, the only real lifestyle businesses are the companies that have an operating system in place and a well-trained, well-equipped team to run that operating system even if the business owner isn’t around. This is what real freedom looks like, and this is what I want for you!

So just to clarify, my mission in this book is not to help you build a “laptop lifestyle business.” My mission is to help you build a business where you never have to bring your laptop with you on vacation ever again, because

there's no need for you to check emails, open Slack messages, or attend meetings. Your team will handle it all for you, and your Scalable Operating System will ensure they do it the right way, the first time, every time.

“But This Won't Work for Me...”

Now, if you're thinking, This all sounds good, but I don't have time to build my company's operating system, the good news is, your operating system won't take up your time—it will give you back your time. And in the chapters that follow, I'll show you how you can empower your team (with a little help from me and the Scalable OS tools and frameworks) to do the bulk of the heavy lifting.

Or maybe you're thinking, This makes sense, but I've already tried systemizing my business in the past and it didn't work. Look, I get it. There are lots of books out there touting the importance of business systems, and some even call what they offer an “operating system.”

But this is different.

First, I'm not going to ask you to create dozens of checklists and SOPs, nor am I going to ask you to conform to a rigidly obnoxious meeting rhythm. I'm also not going to ask you to come up with a ten-year plan or create a vision board. This isn't entrepreneurial arts and crafts time. This is about creating more leveraged sales and more bankable profits in your business, so your business can create more wealth and freedom in your life.

I'm also not going to try to plug you into our operating system. This is about discovering and upgrading the operating system you already have, which is why our Scalable Operating System process works when so many other so-called “operating systems” fail.

What is a Scalable Operating System?

Remember that our goal is to replace your old, outdated YouOS with a custom, upgradable Scalable OS that is fully capable of running and scaling your business without you. In other words, this is the operating system which will allow you, the founder, to stop working in the business and start working above the business.

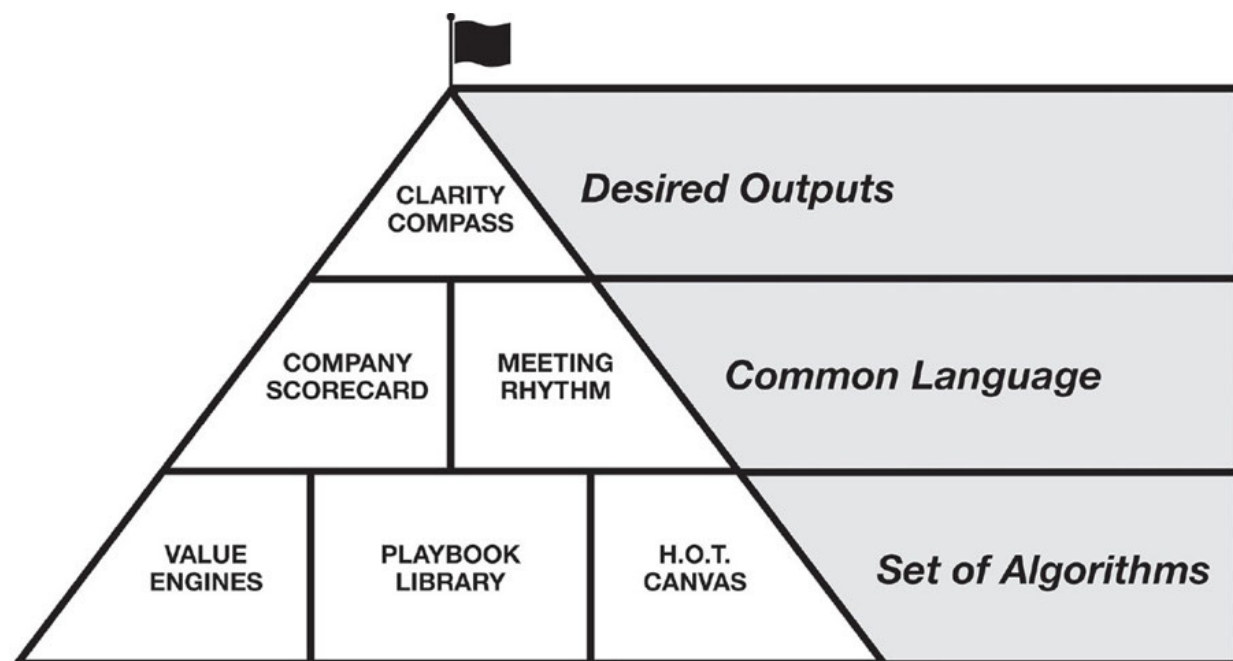
As we discussed in the last chapter, a Scalable Operating System is made up of three components:

A Set of Algorithms

A Common Language

Desired Outputs

But each of these components can be further broken down into six different tools, creating a visual framework that looks like this...



In the pages that follow, we will devote a chapter to each of the six tools that combine to form your company's Scalable Operating System.

In Chapter 2, we will begin this process by mapping your company's Value Engines, the visual representations of how you create and capture value in the marketplace. In Chapter 3, we will move on to documenting your Business Playbooks, which are the step-by-step checklists that detail precisely how your company executes its most critical tasks. Then, in Chapter 4, we will assign clear roles and accountability using the High-Output Team Canvas. Combined, these three tools form the set of algorithms that will establish the foundation of your company's operating system.

Once we've documented your set of algorithms, we will move on to architecting your company's common language. In Chapters 5 and 6, we will create your Company Scorecards as well as your weekly, monthly, and quarterly meeting rhythm. Combined, these tools will enable the different components in your business, across all your teams and departments, to communicate efficiently and accurately with one another.

Finally, once we have finished documenting your set of algorithms and common language, we will set about codifying your desired outputs—your

company's vision, mission, and values—using the Clarity Compass in Chapter 7.



Note that in our system, we finish with desired outputs (a.k.a. vision, mission, and values) instead of starting with them like most books and consultants would have you do. While goal-setting is important, until you have an upgraded and scalable operating system in place, it's impossible to know the true potential of your company's outputs. Said another way, you can accomplish so much more with a Scalable OS than a YouOS, which is why you're better off waiting until the end to set your growth targets.

This is just another example of how our “Scalable OS” method is different (and I would argue better) than anything else you may have tried in the past.

Once we are finished leveraging all six tools to build your company's operating system, I'll give you the three steps you'll need to take to install your new OS in your business in Chapter 8. Now that you know what a Scalable Operating System is, let's get started building yours!

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Mapping Your Value Engines

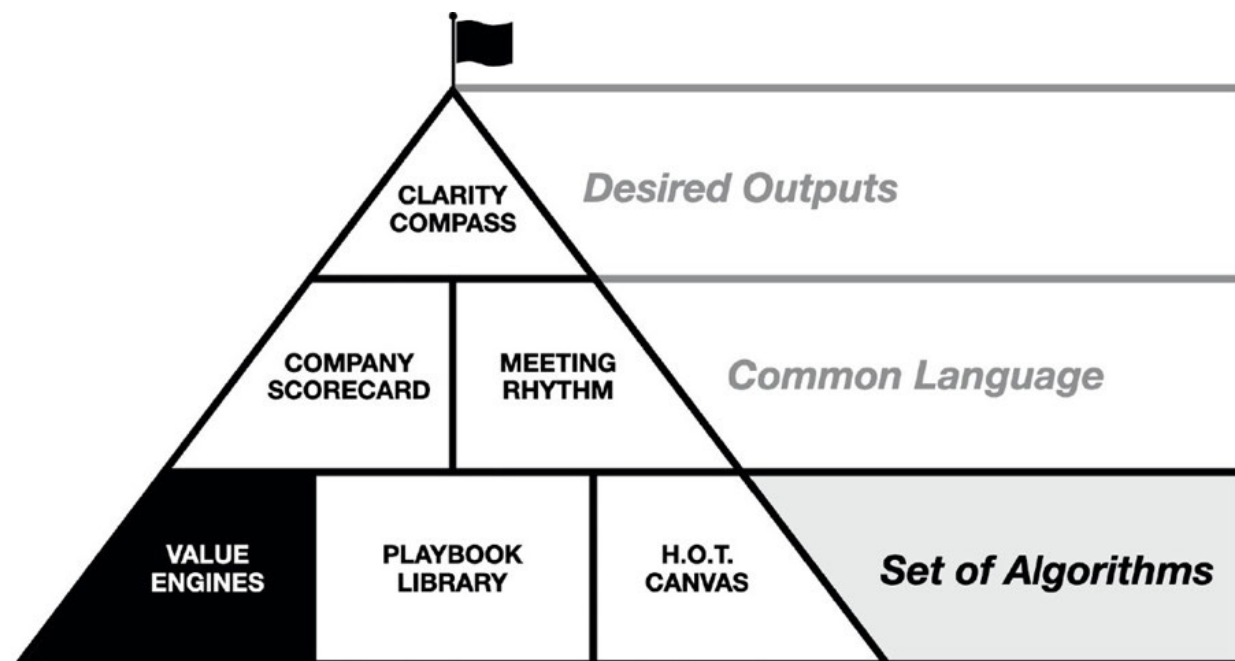
How does your company create value?

It seems like a simple question, but in my experience, most entrepreneurs have no idea how to answer it. Sure, you can talk for hours about how your products and services work and the results your customers and clients receive by doing business with you. You might even be able to point to specific testimonials, customer stories, and five-star reviews.

There's no question your company creates value, but I'll ask again, how does it happen?

How does your company create real, measurable value in the marketplace?

If your answer is "I have no idea" or even if you're just a little unsure, then you're in the right place. By the end of this chapter, you will not only have an answer to that question, but you will also have a printable, shareable document that fully visualizes how your company creates value, thanks to a process we call "Value Engine Mapping."



Here's the best part: Once completed, these Value Engines will form the foundation of the set of algorithms that will transition your company from a YouOS to a Scalable OS, and you from a burnt-out CEO to a successful, free, and scalable CEO.

Che cklists suck! Try this instead...

Before we go any further, I need to explain why most of the advice given to entrepreneurs to “document everything” is flat-out wrong. But fair warning: what you're about to hear will likely contradict everything you've been told about systems and process documentation. I don't expect you to believe me at first, but if you can suspend your disbelief and reject the documentation dogma for the next few pages, I promise you'll be glad you did. Let's dig in.

Whether the advice comes from well-intentioned mentors or books like *The E-Myth Revisited*, it seems everyone agrees that to succeed as a Founder/CEO, you need to create checklists and standard operating procedures for each and every task that each and every member of your

organization performs. And when you're done creating all these checklists, you need to put them all in a fancy binder so everyone in your organization can access them any time they're performing a critical task or training a new team member.

Is this sounding familiar yet?

As an inexperienced entrepreneur, I heard this advice loud and clear, and decided that my company would do just that. We would document everything!

I issued a mandate across the entire organization declaring that everyone needed to document in clear, step-by-step detail their top five most frequent and critical tasks. To prove I was serious (and to free up some time for the team), I further decreed that no new projects would begin until this documentation project was completed.

No new product launches.

No new marketing campaigns.

No new hires.

Nothing!

I was prepared to shut the entire company down for an entire month if that's what it took—and that's pretty much exactly what we did.

And when we were finished, we had it...

...a beautiful binder filled with dozens of checklists that...

...wait for it...

...literally no one ever used.

That's not an exaggeration. None of the checklists we had spent so much time creating were ever used. No one pulled the binder out to remind themselves of a process. No one used the binder to train new hires. No one

reviewed the checklists on a weekly, monthly, or quarterly basis to even see if they were still up-to-date. The binder just collected dust on a forgotten bookshelf in the corner of the office.

It was one of the single biggest wastes of time in company history, and I was more than a little frustrated. I wasn't just frustrated that we had wasted so much time, I was frustrated because I knew my team wanted to do good work, and I knew they valued systems and processes. Heck, one of our company's core values was "document and share what you know," so I knew the team wanted to do just that.

Yet the checklists we'd spent so much time building weren't getting used. Why?

Why didn't anyone ever use them when we had put so much work into their creation, and when everyone agreed this project was important?

To answer that question, I assembled a company-wide meeting in our largest conference room to get to the bottom of our process documentation woes. When I polled the team, the answers ranged from "We already know how to do this stuff," to "It takes too long," to "I forget that they're even there"—none of which felt like the real answer.

In a moment of frustration, I threw up my hands and said, "Okay, let's get back to basics. How do we get customers? We're a business and businesses need customers to stay in business, so how do we get customers in our business?"

The room was silent for a bit, but then one of the managers on the marketing team spoke up. She talked about the ads we ran on Facebook, Google, Instagram, and other online channels, as well as the offline events we sponsored, and how all those activities turned into immediate sales and leads for the sales team.

I could tell we were finally getting somewhere, so I grabbed the closest note-taking device I could find: a stack of sticky notes and a black marker. There was a massive whiteboard on the wall behind me. Any time the team

answered my question, I jotted it down on a sticky note and stuck it to the whiteboard.

Facebook/Instagram ads got their own sticky note...

...then Google Ads got a sticky note...

...then events...

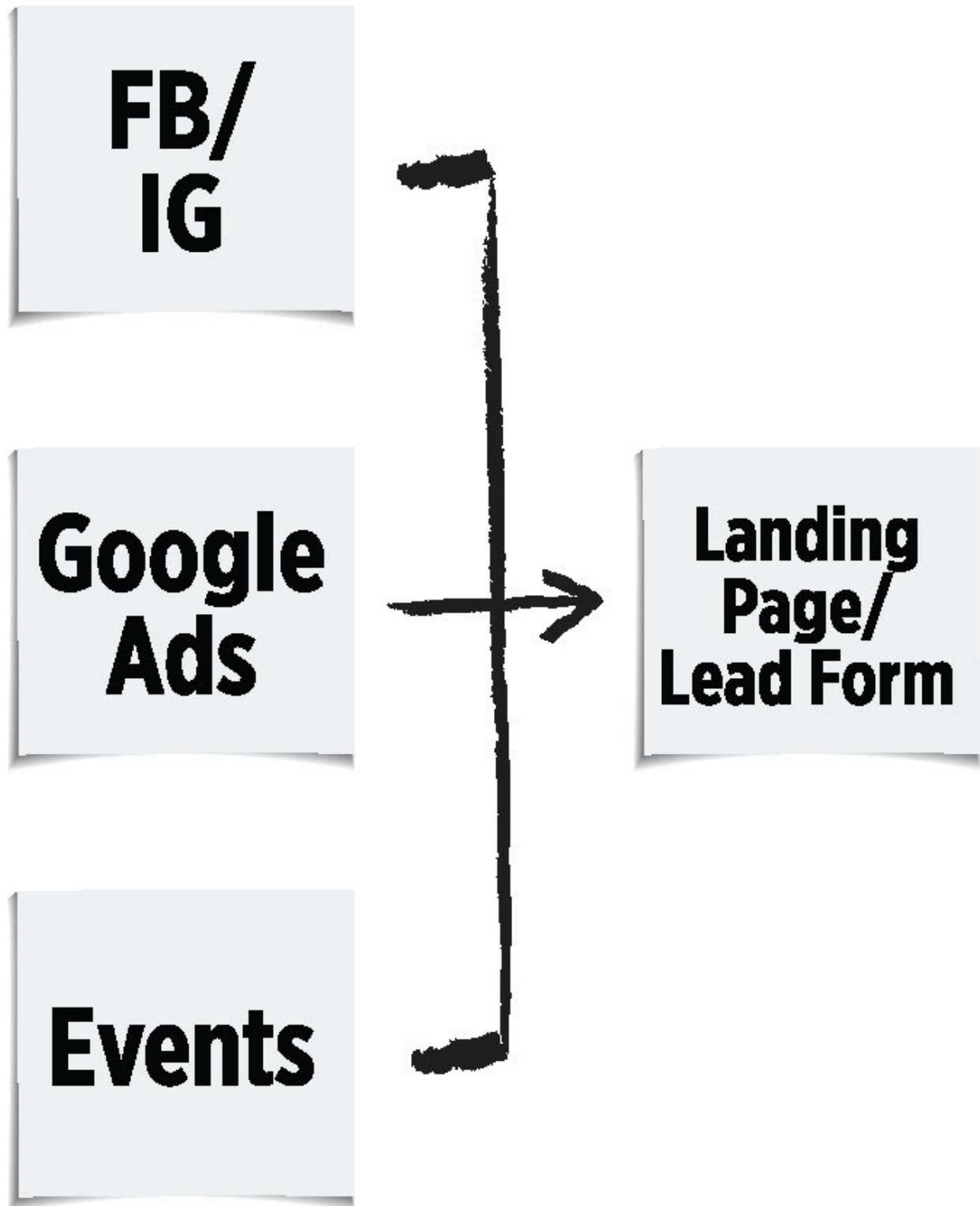
**FB/
IG**

**Google
Ads**

Events

“This is great! So, what happens after someone clicks on one of our ads?” I asked.

Then the marketing team talked about our landing pages and how they converted visitors into leads. They also said that the lead capture forms they used to collect leads at events were more or less the same as the online forms on the landing pages, so I wrote “Landing Page” on a sticky note and drew arrows from all the other sticky notes to the “Landing Page” note.



“Great! Then what happens?”

The room fell silent. No answer.

I waited.

Still no answer.

Finally, someone spoke up.

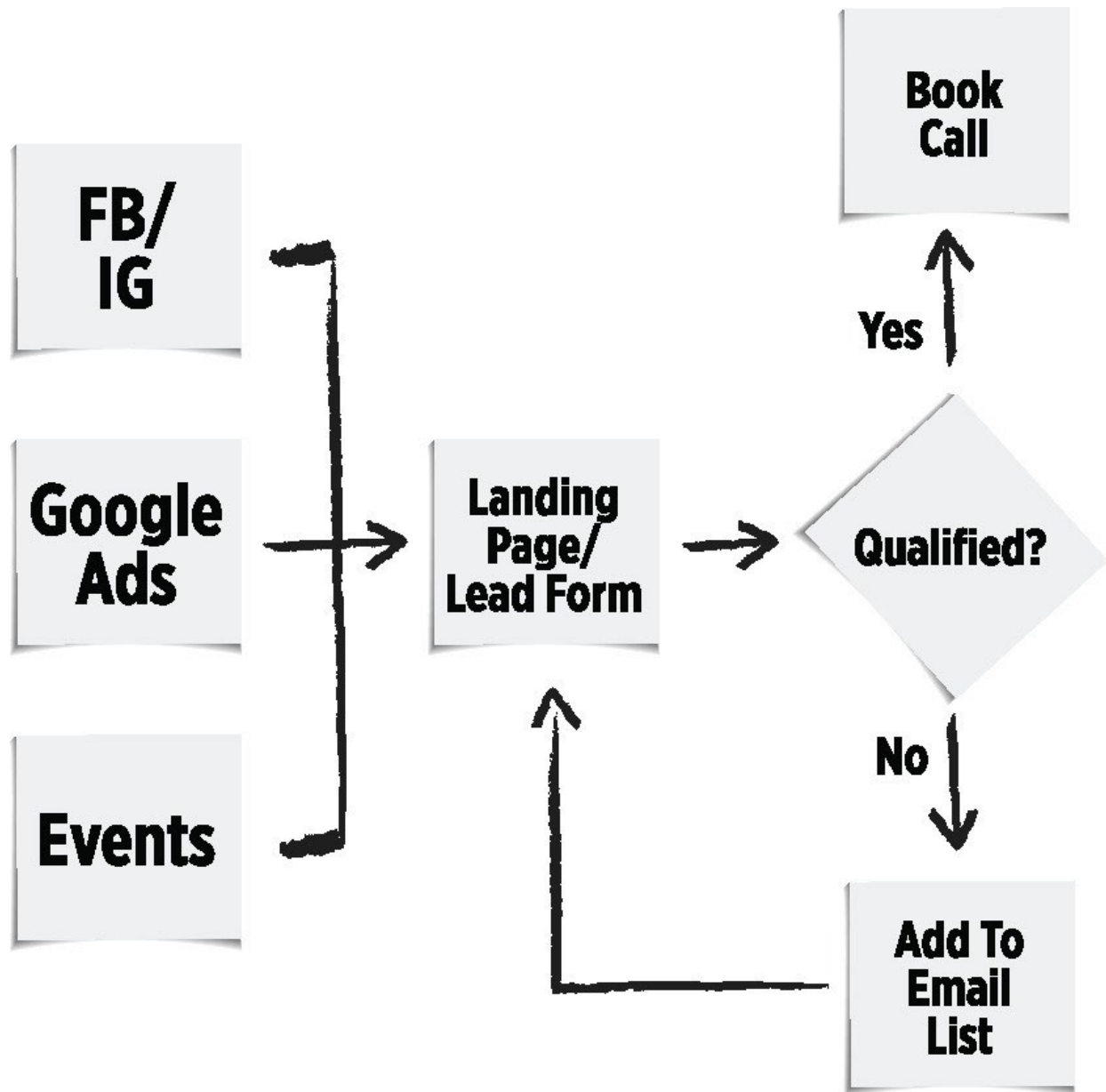
“It depends...”

“What do you mean?” I asked. “What does it depend on?”

“Well, it depends on whether or not the lead is qualified,” they replied. “If they’re qualified, we transfer them to the sales team. If they’re not, we make them a different offer and add them to our email list for future follow-up.”

“Huh, that’s interesting,” I thought out loud.

In a moment of inspiration, I turned the square sticky note on an angle to form a diamond and wrote the word “Qualified?” with a question mark to denote that the lead could either be “Qualified” or “Non-Qualified.” I then drew a line from the “Landing Page” sticky note to the newly placed diamond-shaped sticky note, and added lines with arrows from the top and bottom points of the diamond to illustrate that there was a fork in the road.



“Qualified leads go up, and non-qualified leads go down,” I continued.

“Let’s go down this road for now,” I said, pointing to the top line.

“Assuming the lead is qualified, then what happens?”

Then the sales team jumped in and talked about their process for qualifying and converting those leads into customers.

“Great! Then what?”

More answers rang out.

“Amazing! Then what?”

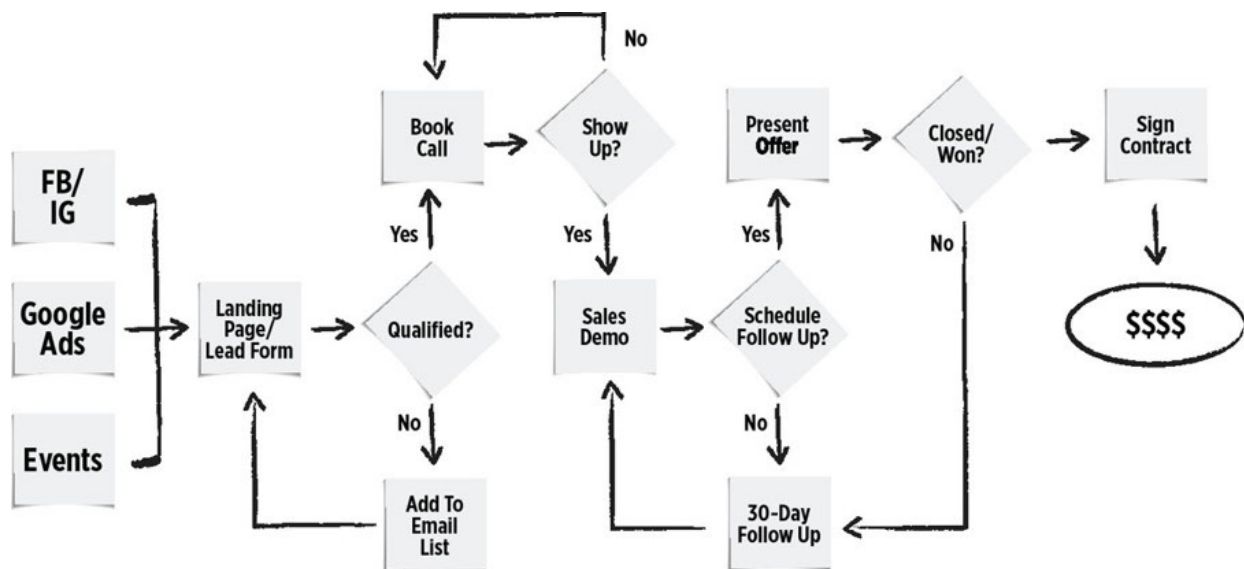
We discussed every contingency. If they went down one path because a lead didn’t show up for their appointment, or because they asked for the blue widget instead of the red one, or because they decided they needed to triple their order, my question was the same.

“Okay, then what happens?”

Or...

“Got it, then what?”

After a barrage of “then whats,” sticky note-scribbling, and arrow-drawing, we eventually reached a point where we could look at the sticky note–covered whiteboard and say collectively, “That’s it. That is exactly what we do to acquire customers.”



We were on such a roll I thought, Why stop now?

“Okay, so if this is how we attract and convert new leads and customers, what do we do after someone buys from us?” I asked.

Then it was the customer success team's turn to chime in. They talked about how they served our customers by sending them login details and hosting onboarding calls. Then the sales team spoke up and talked about what they did to generate upsells and return business after the sale was made. The customer success team jumped in again and talked about how they followed up with happy customers after sixty-to-ninety days to get a testimonial.

Every now and then someone would speak up and say something like, "No, actually, I think this other step comes before that one." So, I'd jot the missing step onto a note and stick it to the board in front of the other one. This was the nice thing about working with sticky notes and a whiteboard: nothing was permanent, so everyone felt comfortable suggesting changes, however big or small.

This process continued.

"Then what happens?"

"What next?"

"And then?"

When we were finished, I remember looking at the whiteboard and thinking, This is it. This is how we create value at this company. This is how we attract and convert new customers, and this is how we serve those customers once we have them.

There wasn't much to it. Just a dozen or so sticky notes all connected with dry erase marker lines, but it was oddly beautiful in its simplicity.

It wasn't a single, isolated checklist detailing how to perform a single, isolated task. What we had, for the first time ever, was a visual representation—a map—for how we created value at the company by acquiring a customer and then fulfilling the promises made to that customer.

Because at the end of the day, that's all businesses really do, isn't it?

We make stuff...

we sell the stuff we make, and...

we deliver the stuff we made to the customers we've sold.

That's it.

This simple (admittedly ugly) mish-mash of sticky notes accomplished something in a matter of minutes that we had failed to accomplish in over a month. We finally understood how our company acquired customers and served those customers, and we finally understood how all those random tasks sitting in that stupid binder fit together.

Instead of thinking about our business as a series of disconnected checklists, we now saw it as an orchestrated flow where one activity moved seamlessly to the next like a beautifully choreographed dance.

We called our sticky note-powered flowcharts "Value Engines," because that's exactly what they represented. They were the "engines" that drove the value creation processes at the company.

This changed everything!

Our team could now see the big picture and understand how value flows throughout the organization. We could look down on it from 30,000 feet and ask, "Of all these tasks and activities represented by all these little sticky notes, which ones are truly critical? Which ones actually move the needle?"

When we asked this question, we discovered that only two or three tasks within a given Value Engine were truly critical. Sure, the other steps needed to happen, but there were always a handful that we absolutely had to get right, or else the entire Value Engine would fail. We named these critical tasks "Power Stages" and decided to focus our documentation efforts on only those stages. Fortunately, most of the Power Stages had already been documented the month before. The problem was, they were hidden in a massive binder, surrounded by less important checklists that no one would ever look at. It was a classic "needle in a haystack" scenario: the binder was the haystack, the Power Stage checklists were the needles, and the random checklists that no one actually needed were the hay.

Just to clarify, I'm not saying that checklists and SOPs aren't important, because they are. In fact, we're going to talk all about building your company's Business Playbook Library (which is really just a collection of critical checklists and SOPs) in the next chapter. But in my experience, the big mistake everyone makes (and the big mistake I made) is doing process documentation in the wrong order.

The big mistake everyone makes is doing process documentation in the wrong order.

So let me be clear: Step 1 is not to document all your company's critical tasks and activities; that's Step 2. Step 1 is to map your company's core value creation processes, a.k.a. your Value Engines. Then, and only then, can you identify those truly critical activities that need to be documented in a checklist or standard operating procedure.

But that second step of documenting your Power Stages is for the next chapter. For now, let's begin documenting your company's Value Engines, because that's the real Step 1.

What is a Value Engine?

Here's a formal definition for Value Engine that goes beyond a whiteboard with sticky notes:

A Value Engine is a visual representation of how a company creates and captures marketplace value through the 1) acquisition of new

customers, 2) fulfillment of existing customers, and 3) creation and/or improvement of the company's product and service offerings.

To be clear, I fully acknowledge that the value creation process can vary wildly across different businesses and industries. For example, the way a restaurant creates value is very different from the way a marketing agency creates value, which differs completely from the way a SaaS company creates value, which shares little resemblance to the way an ecommerce store creates value. For these reasons, one company's Value Engine could look completely different from another company's Value Engine. This is true even for businesses in the exact same industries selling similar products to similar customers.

But the one thing I've found that is consistent—whether you're selling hamburgers, software, or consulting—is that the value a company brings falls into three core categories: growth, fulfillment, and innovation. All companies—retail stores and agencies, SaaS and ecommerce, brick-and-mortar and online—create value in the same way:

We attract and convert new customers (Growth)...

We fulfill a product or service to those customers (Fulfillment), and...

We create and improve on those products and services to make them even more valuable (Innovation).

That's it! These are the only three things that literally all businesses do, because this is how value is created.

If you look again at the definition above, you'll see that all Value Engines fall into one of three main categories: Growth Engines, Fulfillment Engines, and Innovation Engines.

Growth Engines visualize the process by which new customers are acquired and sold.

Fulfillment Engines visualize the process by which those customers receive the promised value after the sale is made, and...

Innovation Engines visualize the process by which product and service offerings are created, updated, and improved.

As a side note, we aren't going to focus as much on Innovation Engines in this book because the products that companies are innovating on vary wildly and aren't as universally applicable as Growth and Fulfillment Engines. That said, the process of mapping an Innovation Engine is the same as the process you'll go through to map your other Value Engines—so once you have mapped your core Growth and Fulfillment Engines, feel free to go back and map your Innovation Engines.

There are also other important value creation processes that relate to operational and administrative functions. These are the actions and activities of your internal teams such as accounting, HR, production, and engineering. We call these internal Fulfillment Engines, because in these cases the “customer” being served is another member of the team. For example:

The accounting team should create a Fulfillment Engine for delivering financials to the CEO in a timely and accurate manner.

The HR team should create a Fulfillment Engine to assist a hiring manager in recruiting, hiring, and onboarding a new team member.

The production team should create a Fulfillment Engine for producing a finished promotional video series that the marketing team plans to use for the next product launch.

The point is, all team members should (eventually) be able to point to a Value Engine that represents their specific contribution to the company. For now, however, let's stay focused on the customer-facing value creation processes, which means we'll be mapping the company's Growth and Fulfillment Engines.

Mapping Your First Value Engine: The Setup

Whether you're mapping a Growth, Fulfillment, or even Innovation Engine, the process is more or less the same. On the coming pages, I'll take you step-by-step through the process that you can then duplicate as you map your Growth, Fulfillment, and Innovation Engines, but first you need to understand the basic symbols of business process mapping. They are:

The pill

The square (or rectangle)

The diamond

The parallelogram

The line

The pill shape, also referred to as the terminus, represents the start or end of any process map. These are particularly useful as your Value Engines grow in complexity, because it's not always obvious where they begin and end.

The square (or rectangle) represents a standalone task, activity, or step in a given process map. This is the most frequently used symbol in Value Engine mapping.

The diamond represents a decision point or gateway. These are used any time there's a fork in the road where a process can go one way or another depending on the actions or circumstances of the participant moving through the Value Engine. For example, if you are mapping a Growth Engine and one of the stages is a registration page, the customer can choose to register or not register. If they register, they will be sent one direction, and if they don't, they will either be sent down another path or the process will end. Either way, if the next step is not a direct linear process, you have reached a decision point, which is represented by a diamond.

The parallelogram is used to denote a data input or export. For example, if you want to show the results of an assessment or questionnaire as a stage in a process, you will display that with a parallelogram since it's not an action or activity, but rather an asset that is either imported into the process flow or exported from the process flow. This is the least-used symbol, so if you find that you rarely (or never) use it, don't worry about it.

Finally, we have the line with an arrow which connects all the different elements and shows the flow through a given process map.

TIP: When you are mapping your Value Engines, it's common for stages to be added, deleted, or moved around. For that reason, we suggest waiting until the last possible moment to draw your lines and "connect the dots." If you do this too early, you'll have a lot of erasing to do.

Now that you understand the different symbols and how they play together, let's talk about the setup as well as the tools you'll need to actually map your first Value Engine.

First, you're going to need a room that's large enough to fit your leadership team and anyone else who is directly responsible for the Value Engine you're planning to map. In this room, you're also going to need a few things. Here's a basic materials list:

Whiteboards. The bigger the better (and ideally more than one, if you have the space).

Sticky notes. At least one pad per person. You can get fancy with multicolored sticky notes, but I like just the simple, square yellow ones.

Sharpie markers to write on the sticky notes.

Dry erase markers to draw lines on the whiteboards.

TIP: Be sure to keep the Sharpie markers away from the whiteboards. If you get the permanent markers and dry erase markers mixed up, you're going to be buying a new whiteboard.

Obviously, this setup assumes you're able to meet in person. If you can't meet in person because your company is remote or it's just impractical or unsafe to do so, that's okay. There are lots of great virtual meeting solutions you can find on the resources page for this book at: [GetScalable.com/resources](https://getscalable.com/resources)

But keep it simple! During the 2020 and 2021 COVID-19 lockdowns, my leadership teams held many remote Value Engine mapping sessions by simply logging onto a Zoom meeting with the laptop camera aimed at a facilitator who was standing in front of a whiteboard. It wasn't as efficient as having everyone in the same room, but it got the job done and didn't require any fancy software.

Once you have the room set up and your supplies in place, it's time to assemble your team. Ideally, you will have your company leadership in the room, plus anyone who is involved in the process that you are mapping. If you're mapping a Growth Engine, you'll likely want to have your Sales and Marketing managers in the room. If it's a Fulfillment or Innovation Engine, you'll likely want your Product and/or Customer Success teams in the room, or whatever team is responsible for driving the overall customer experience.

If you're unsure whether someone should be there or not, this is the one meeting where I would encourage you to err on the side of inviting too many people. The more people who can contribute to the map, the more likely you will get it right the first time.

Now it's time to start the mapping process.

Step 1: Identify the Value Engine to be Mapped

I always recommend starting with the Growth Engine for your best-selling product or service. Remember, it's common for a business to have multiple Growth Engines, so choose the process that is responsible for the largest chunk of your sales.

For example, if you sell the same widget via webinars and trade shows, but webinars make up a larger percentage of your sales, then map the webinar Growth Engine for now and do the trade show one later. This step should only take a few minutes, so once everyone is clear on the engine being mapped, it's time to move on to Step 2.

Step 2: Define the Triggering and Ending Events

As the name suggests, the “triggering event” initiates the process, and the “ending event” is the final action that concludes the process that's being mapped on the Value Engine. For Growth Engines, the triggering event is typically a prospect seeing an ad on Facebook, Instagram, or Google, or a sales rep making a cold outreach via email or phone. Unsurprisingly, the ending event for most Growth Engines is usually a purchase or closed sale.

TIP: It's common for the ending event of a Growth Engine to trigger the start of a Fulfillment Engine. By combining a Growth Engine with its associated Fulfillment Engine, you have a picture of a complete customer journey.

For Fulfillment Engines, the triggering event is typically the completed purchase from the related Growth Engine, and the ending event is either the delivery of a product or service, or ideally, following up with a customer or client to ensure they are satisfied post-purchase.

While it may seem simple to figure out the beginning and end of a Value Engine, don't rush this step. If you dig a little deeper, you'll often find that what you think is the beginning is actually a few steps into the process, and what you believe is the end is a few steps short.

For example, I was leading some executives at one of my portfolio companies through this process when we uncovered a massive hole in one of our Fulfillment Engines that was costing us over \$200,000 a year in refunds and lost sales. This company, DigitalMarketer.com, sells digital marketing courses and certifications to marketing professionals looking to uplevel their careers as well as marketing leaders who want to invest in training for their teams. The Value Engine we were mapping was a simple one: the fulfillment of a single online course/certification to an individual customer.

Determining the starting point of the Fulfillment Engine was easy. I asked the group, “What’s the triggering event for this particular Fulfillment Engine?”

Without hesitating, someone spoke up and said, “The triggering event for this Fulfillment Engine is a completed online purchase.”

Everyone nodded their heads in agreement, and since that answer sounded good to me, too, I quickly drew a pill shape with the word “START” in it on the whiteboard, and then I drew an arrow connecting the “start” to a sticky note with the words “Course Purchased” written on it. And just like that, we had our triggering event. We were off to a good start.

Unfortunately, things went a little off track when I asked about the ending event.

“Okay, so we have our triggering event. Now, where does this particular Fulfillment Engine end? When do we all agree this process is done?”

The room was silent for a minute. This didn’t bother me. I liked that everyone was taking the exercise seriously and doing their best to come up with the best answer. Then, someone spoke up...

“I think this Fulfillment Engine ends when the access details... stuff like the username, password, and login link... have all been emailed to the customer.”

Heads started nodding again. And at first it made sense. After all, this company sells digital training programs, so it stands to reason that a

customer is considered “fulfilled” once they have received their access information for the course they purchased.

Fortunately, a manager on the customer care team spoke up.

“I know we get a lot of refund requests from frustrated customers who say they never received their login information. We all know email is imperfect and that important messages still wind up in the spam folder from time to time, so shouldn’t we send a personalized follow-up message after the purchase just to ensure they received their access information?”

The room was silent for a moment, but then the VP of Sales spoke up and asked, “Wait, aren’t we already doing that?”

“No, we stopped following up on individual course purchases a few months ago. I’m not sure why,” the customer care manager replied.

The VP of Sales was livid.

“Well, why the heck did we stop doing it? That also explains why our team licenses and bundle sales have fallen off so much! We literally stopped following up with our customers! So not only are we getting refunds we shouldn’t be getting on sales we’ve already made, we’re also missing out on revenue we could be generating from our existing customers. This is ridiculous! We need to start doing that again right now!”

Everyone nodded their heads in agreement, including the customer care manager. After a few minutes of finger-pointing and investigation, no one could determine who made the decision to stop doing personalized customer outreach, nor could anyone pinpoint when or why the decision was made.

The mood in the room had turned sour, so now it was my turn to speak up.

“Look, what’s done is done. We can’t change the past. But we can make sure something like this never happens again by including the true ending event on this Fulfillment Engine. So, who else thinks we should add a sticky note with ‘post-order follow-up campaign’ written on it to this Fulfillment Engine?”

Heads nodded again, but no one was happy.



SIDE NOTE

We call incidents like these “non-decision decisions.” A non-decision decision occurs any time a decision is made by no one in particular, at no point in particular, for no reason in particular. Without clearly defined Value Engines, non-decision decisions get made all the time, even at well-run companies. And more times than not, they’re rooted in good intentions that may have even made sense at the time. The problem is, without clearly documented standards and processes, non-decision decisions can easily become “standard operating procedure.”

After adding up the preventable refunds and lost upsell revenue, we conservatively estimated that we had lost at least \$20,000 a month in net sales for at least four months. Had it continued, the total losses would have easily exceeded \$200,000 for the year.

Two-hundred thousand!

That’s an expensive sticky note!

Worst of all, we knew better. At DigitalMarketer, we value customer service above all else. This team wasn’t made up of a bunch of lazy slackers who didn’t care about our customers. This was a team of professionals doing the best they could to do the right thing for the company and our customers. The

problem was, we hadn't equipped them with the systems and tools they needed to make the best decision in the moment.

When we mapped the Fulfillment Engine, it was clear that the ending event simply needed to be redefined. The fix was simple, and the results were immediate. Refunds plummeted and upsell rates returned to normal levels. And all it took was having the right sticky note in the ending event spot. This is why you don't want to skip over this step.

Step 3: Brainstorm Tasks and Activities Between Triggering and Ending Events

This is the fun part. Once you have identified the beginning and the end of your process map, you simply point at the triggering event sticky note and say...

"Okay, this is where we all agree this Value Engine starts, but then what happens?"

When you hear an answer that everyone seems to agree with, write it on a sticky note and stick it to the whiteboard next to the triggering event. Once that's done, just ask the magic question, again...

"Then what happens?"

When you get another answer, write it down, stick it to the whiteboard, and ask the question again...

"Then what happens?"

It seems so simple that it's almost silly, but if you have the right people in the room and clearly identify the beginning and ending of the Value Engine you're mapping, all you have to do is ask, "Then what?" and your Value Engines will practically map themselves.

Occasionally, someone will speak up and say you missed a step. When that happens, confer with the room and if everyone agrees, just add it in. Remember the power of sticky notes—they are movable!

Sometimes, someone will say you missed a step that is really just a piece of an existing step. If this action is important enough, you can choose to break it out into its own step, but I would err on the side of simplicity. I find that stacking a sub-step underneath the main step (which is also super-easy to do with sticky notes) is enough to appease the person who mentioned it, and then you can move on.

Another answer you'll occasionally hear when you ask, "Then what happens?" is...

"It depends."

When you hear "It depends," that's a clue that you have reached a decision point or gateway, and it's time to turn the sticky note on a diagonal, which will magically transform it from a square into a diamond. (Are you starting to see why I love sticky notes so much?)

Again, the diamond shape represents a decision point or fork in the road. These are used any time a process can go one way or another depending on the actions or circumstances of the participant moving through the map. Most decision diamonds will have a descriptor word or phrase followed by a question mark, which indicates that the action described in the diamond either happens or doesn't happen.

For example, when we're mapping Growth Engines that have registration pages or other forms of lead capture, it's common to see diamonds with the word Opt-in? or Register? to denote whether or not a particular visitor gave us their contact information. For the visitors who do opt-in, they will follow the arrow marked with a "Yes" or just a simple "Y." For the visitors who do not opt-in, they will follow the arrow marked with a "No" or an "N."

Literally, your only job is to ask, "And then what happens?" and write the answers on sticky notes until you bridge the gap from the start to the end. That's it. You know you're finished when your team can't come up with any

more critical steps or stages that aren't already represented by a square or diamond, and when all the elements are connected with an arrow line.

Congratulations! You have officially mapped your first Value Engine. But you're not quite finished...

Step 4: The Stakeholder Review

It's rare that you can actually get everyone in the same room for a Value Engine mapping meeting. This makes it critical to have all Value Engine drafts reviewed by any missing stakeholders before they are finalized.

If everyone is in the same office, this can be as simple as bringing them into the room where the Value Engine is still posted on the whiteboard. If you're not in the same office, a picture accompanied by a walkthrough video using a tool like Loom.com should suffice. Either way, the question you ask to kick off the Stakeholder Review Meeting is always the same: "What are you currently doing that isn't represented on this flowchart?" In other words, "What did we miss?"

In a perfect world, they will say, "Nothing, this looks great!" and you move on. But if they do notice a missing stage or activity, determine whether this is truly a missing major step or they're simply describing a sub-step of an action or activity already represented on the Value Engine. If you determine that it is a major missing step, add it to the Value Engine and inform everyone who was in the first meeting of the change. This is mildly annoying because you'll have to erase a lot of lines and shift things around, but it's worth it to get things right (even if you're a little OCD like me).

If you do determine it to be a sub-step, take the time to explain to the team member how their role fits into the existing stage and into the Value Engine as a whole. I promise both you and your team member will benefit from the added context and the added trust built by taking the time to clearly articulate their value to this critically important process, and the company as a whole.

Remember, keep it simple! You don't need to represent every step in a process. That's a job for the checklists and playbooks that we'll build in the next chapter. For now, keep it simple. Then take the time to ask, "What did we miss?" After that, communicate with your team members about how the work they do factors into the broader value creation process of the company (by the way, we'll talk more about connecting Value Engine stages to employee roles and responsibilities in Chapter 4: Engineering High-Output Teams).

Step 5: Publishing Your Value Engines

Once a Value Engine has been drafted, reviewed, and approved, the last step is to publish the Value Engine using a process mapping solution so that you go from a whiteboard full of sticky notes to a beautiful, easy to read, easy to understand flow chart. There are more flowcharting tools than I care to mention, and just about all of them will get the job done, but we have listed some of our favorites at GetScalable.com/resources.

Just remember to save this step for last!

It can be tempting to begin the Value Engine mapping process by opening up your favorite flowcharting software tool, but don't do that. Not only will it take longer than it should (because sticky notes are a lot easier to move around than little boxes on a screen), but digital tools are a lot less interactive than good old-fashioned sticky notes. Also, it's just a lot more fun to work in a group with sticky notes and whiteboards. I can't explain it, but the energy and creativity are always stronger than when everyone is huddled around a laptop.

So, please, please, please trust me on this one. Keep it simple and delay the "finalization" step as long as you can. At the end of the day, remember that a picture of a sticky note-filled whiteboard will get the job done just fine.

Action Steps: Mapping Your Value Engines

Now that you know what a Value Engine is and how to map it, here are your action steps for this chapter:

Schedule a Value Engine Mapping workshop with your team

Map at least one Growth Engine

Map at least one Fulfillment Engine (ideally the one associated with the Growth Engine you mapped)

Identify three-to-five Power Stages in each Value Engine

OceanofPDF.com

CHAPTER THREE

Building Your Playbook Library

Did you know there's a vault in Atlanta, Georgia that was custom-built to protect a single sheet of paper?

It sounds crazy until you realize that the vault is guarding what many consider to be the most valuable brand assets in the world: the secret recipe for Coca-Cola.

Yep, you read that right. The recipe for Coca-Cola is, in fact, housed inside an actual bank vault deep inside the Coca-Cola headquarters in Atlanta. Not only is the vault nearly impossible to crack, it's reportedly guarded by security twenty-four hours a day, seven days a week, 365 days a year. Oh yeah, and did I mention it's fireproofed?

This may sound a bit ridiculous, but consider this: on that simple recipe card rests a significant amount of the value of all the Coca-Cola Company, which is easily one of the most valuable brands in the world. When you think about it that way, it makes total sense that they would want to protect their "secret recipe."

What about you? What are your company's "secret recipes"? What would you store away in a vault to prevent the competition from accessing it? That's what this chapter is all about.

Now that you have mapped your Value Engines, the next step in the process of creating the set of algorithms that will transform YouOS into Scalable OS is to identify the truly critical stages within those Value Engines so that they can be documented and turned into step-by-step checklists and standard operating procedures (SOPs).

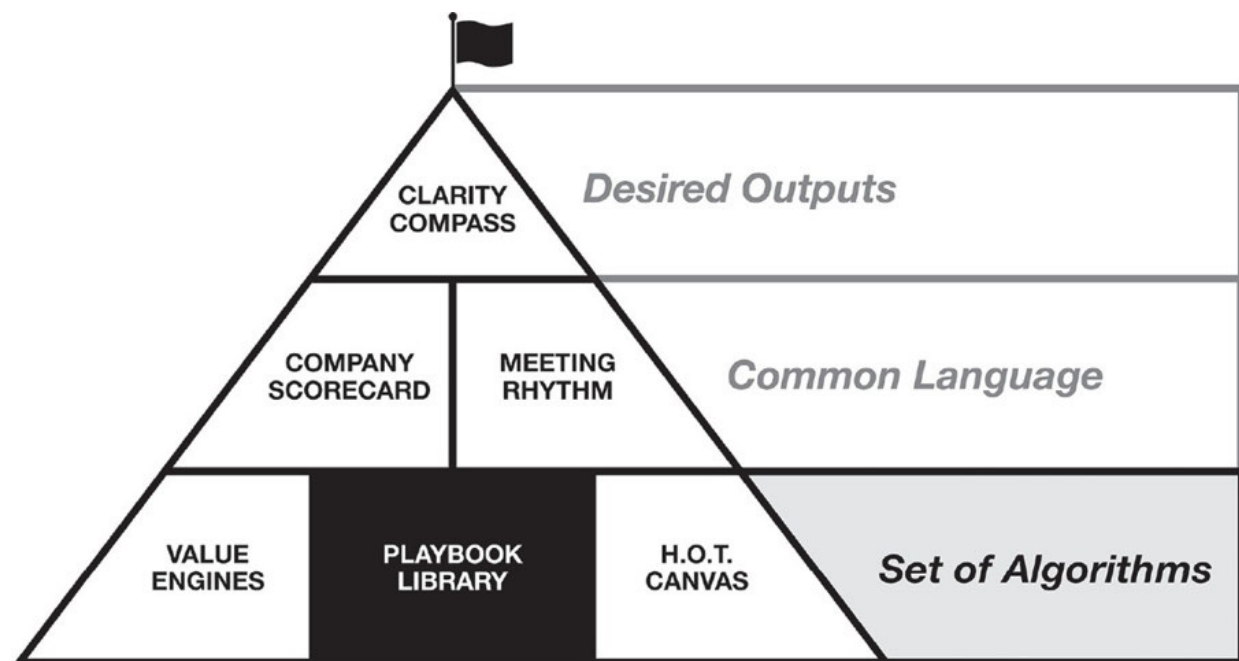
We call these checklists and SOPs "Business Playbooks."

Business Playbooks are a set of actionable, step-by-step checklists that document individual tasks that must be completed, as well as the order in

which those tasks must be completed, to execute a repeatable process or activity.

Value Engines give us the big picture, but Business Playbooks give us the in-the-trenches details we need to actually get work done. That's what this chapter is all about. I'm going to show you how to identify your company's secret recipes and how to document them so that they're shareable with any member of your team.

When you're done, you'll have a Playbook Library of secret recipes that will rival any Fortune 500 brand and form the foundation of your company's operating system.



Why You Need a Business Playbook Library

Before we talk about how to create Business Playbooks, it's worth discussing some of the common trust breakers that nearly every CEO or founder faces when managing people. These are:

The Shoulder Tap

The “Oops, my bad,” and...

The Black Box

These three trust breakers can seem small and innocuous at first, but when compounded over time, they can lead to frustration, exhaustion, burnout, and a total loss of trust between you and your team. So, let’s discuss each trust breaker so you know what they are and how to recognize them before it’s too late.

Trust Breaker #1: The Shoulder Tap

You’re familiar with the shoulder tap, right? This is when you’re minding your own business, just trying to get your work done, and somebody knocks on your office door, hits you up on Slack, or literally taps you on your shoulder just to ask, “Hey, got a second?”

Now you and I both know that it’s never “a second.” The time is always measured in minutes (if not hours), and even if the interaction is short, the interruption causes a break in concentration that can take a half-hour or longer to recover from.

So, why does this happen? Why do good team members who genuinely care, and who are good at their jobs, waste your time by interrupting you with questions they should already know the answers to?

I believe shoulder taps happen because good people simply don't trust themselves to do the job that you have entrusted them to do. This is important:

It's not that you don't trust them. The issue is, they don't trust themselves.

This leads to the question "why?" Why don't good employees who know what they are doing trust themselves? I can all but guarantee it's not because they're lazy or because they don't care; in fact, the opposite is likely true. They're hard workers and they care a lot. The problem is, they lack certainty.

Enter Business Playbooks. Playbooks give your team the confidence, clarity, and step-by-step certainty they crave, which means they get their work done the right way the first time, and you get less shoulder taps and interruptions.

Trust Breaker #2: The "Oops, my bad..."

As CEO, I'm betting you've heard the dreaded, "Oops, my bad..." more times than you care to count. "Oops, my bads" happen when a good person who is trying hard simply messes up. It's a classic case of human error.

The wrong email gets sent to the wrong list.

The wrong product is featured in the wrong ad.

The wrong little bolty thing is put on the wrong nut.

The point is, "Oops, my bads" happen.

To be clear, I'm not talking about flagrant incompetence from someone who clearly isn't a fit or who just can't do the job we hired them to do. These scenarios aren't fun, but they're fairly simple to address. We speak with them. We get them additional support and resources. And if they still can't get the job done, we part ways.

But what happens when good people who know what they're doing simply mess up? How do we prevent that from happening? When does human error cross over into careless negligence? And how do you address the issue without creating a culture of fear?

While you can never eliminate human error completely, you can reduce it. More importantly, you can put systems in place to ensure that everyone learns from the mistake, so the company is actually better for it. Play-books make this possible. Not only do they reduce error rates by clarifying what needs to be done, they also function as an accountability and training device when mistakes do occur, effectively transforming errors into learning opportunities for the entire team. I'll show you how this works later in this chapter.

Okay, we talked about shoulder taps and "Oops, my bads," but there is one more trust breaker that is perhaps the most dangerous of them all.

Trust Breaker #3: The Black Box

Black boxes are created when someone within the organization hoards their knowledge and refuses to share it with others on the team. Rather than documenting and sharing what they know, they hold it close, as if it's the golden ticket that will ensure they always have a job.

I despise the politics, turf wars, and cultural toxicity that are created when one or more people "black box" their knowledge. At our companies, it's literally a fireable offense. But here's a question that might feel a little uncomfortable: what if the biggest offender of black box creation is the CEO? What if it's you?

"Nothing happens unless I do it!"

Have you ever heard yourself say that? If so, we want to eliminate that way of thinking completely. Business Playbooks will allow you to do just that. We're about to see how Business Playbooks will help you clone your best

people (and that includes you!) so you can get more work done the right way, in less time, the first time.

The Three Ds of Documentation

We all know about the importance of documenting our systems and processes, right? After all, business consultants have been ranting about it for over a century, and whole books have been written on the importance of documenting what we do. Unfortunately, while there are a lot of people talking about why you should document your processes, almost no one gives a specific, step-by-step system for how to document your processes. So that's exactly what I'm going to do right now.

There are three stages to building out a Business Playbook, and we call these three steps the Three Ds of Documentation.

Stage 1: DEFINE the process you're documenting.

Stage 2: DESIGN the playbook by laying it out in a step-by-step checklist or audit and testing it in real-world scenarios.

Stage 3: DEPLOY the completed and tested playbook throughout the organization.

Once all three steps are done, you finally get to say goodbye to shoulder taps, "Oops, my bads," and black boxes once and for all. Even better, you'll finally bid farewell to that trapped feeling that has you saying, "Nothing ever happens unless I do it!"

Stage 1: Define the Core Processes

The first step of playbook creation is to define the process you're going to document. The good news is, you've already begun this step.

If you recall from the previous chapter on Value Engine Mapping, I had you make note of any Power Stages—those truly critical, high-leverage actions that make up a given Value Engine. These are the handful of steps in your Growth, Fulfillment, and Innovation Engines that you absolutely must get right. So, these Power Stages are the core processes that should be defined and turned into a Business Playbook.

It's important that you start with the most critical processes first, because there's a tendency to document tasks on the basis of frequency instead of impact. For example, when the team at one of my portfolio companies started building out their Business Playbook Library, the first thing they documented was the process for requesting paid time off. To be clear, I like vacation as much as the next guy, and I want our team members to take a break and get some rest and relaxation in from time to time. That said, was this really the most important playbook we could create? Does it truly create more customers or a better overall customer experience?

I don't think so.

So why did we make that playbook first? Looking back, I believe it's because we started the playbook building process just before the holidays when everyone was requesting time off. In other words, it wasn't driven by impact, it was driven by timing, frequency, and overall awareness. It was the easy choice, but it wasn't the best choice for the company or the customer.

And while it may make sense to one day document all the little tasks and procedures that exist in your business, that's not where you should start. Instead, start with only those actions and activities that are truly critical. Audit your Value Engines. If a task or activity doesn't exist somewhere on a Value Engine, that's a clear sign that it doesn't directly drive the value creation process, which is a sign that you don't need to turn it into a playbook (at least, not yet).

This is great news!

Not only do you not have to document each and every task each and every person at your company does (like some books and consultants would lead you to believe), you also don't even need to document each and every step of each and every Value Engine. Start with your Power Stages. Document those first. And if you have time, go back and document some of the less critical stages at a later date.

Once you have identified a Power Stage to be documented, it's time to give your Playbook a name. It may seem cheesy, but names are easier to remember than descriptions. There is power in naming something. Naming signals that the process is important. More importantly, it signals that you truly own that process—which is the goal, after all. Call it the Campaign Launch Process or the Growth Burst Machine. Heck, call it the Blue Elephant Express if you want, but give it a name so that people can easily identify which playbook they should be following and when.



SIDE NOTE

If you find that you are truly the only person who can own a given playbook, that's a clear sign that key employees are missing from your team, which is a topic we'll pick up in the next chapter.

The final piece of Stage 1 is to clarify who will be responsible for documenting and maintaining this playbook. We call this person the "Playbook Owner." They are uniquely responsible for both building the Playbook and ensuring it stays accurate and up-to-date.

The Playbook Owner should not be you. As the owner of the company, you should not be the person building out or owning these playbooks. There should be somebody else within the organization, ideally the person who is already performing the task, who can be responsible for the documentation and ownership responsibilities. You can still participate in the build-out process—and even oversee it—but you should not own it.

Once you have identified a Power Stage, given it a name, and determined a Playbook Owner, you're ready to move on to the design stage.

Stage 2: Design the Playbook

Now it's time to actually design that process in the form of a step-by-step checklist. The temptation at this stage is to open a blank document and start writing out the different steps of the process from memory. Don't do this! If you do, I promise you'll miss steps.

That's why our rule for documentation is, "Do... then document... then do again."

Start by having the Playbook Owner do the task you intend to document. While they are performing the task, have them document what they are doing while they are doing it. If for some reason it isn't practical for the documentation to take place in real time, have them document what they did immediately after they complete the task while it's still fresh in their mind.

Once the task has been documented, it's time to have the Playbook Owner do the task again. But this time, they need to perform the task while blindly following their own documentation. This is an important step because it allows Playbook Owners to identify missing steps before they hand the playbook off to someone else.

For example, let's say the playbook we are documenting is the creation and sending of our weekly client update email newsletter, and let's also say we

have identified that the owner of this playbook is Bob, because Bob is the Product Manager who sends this newsletter out every week.

In this example, Bob would start by doing the task just like he does at the start of every week. The only difference is, this week he writes out exactly what he's doing while he does it in simple checklist form. The process goes something like this...

Open "Weekly Client Update - Template" Google Doc

Duplicate the template and rename it "Weekly Client Update - [DATE]"

Check the Product Team calendar to confirm any upcoming feature releases

Write out a quick draft of the update email based on the template

Request relevant links and descriptions from other members of the product team

Proofread the draft and double-check all links

Copy the email draft into the company's email broadcast solution

Broadcast the email

Once he's finished with this task, Bob would do the task again following the draft playbook he just created. In this example, it will be a full week before Bob is able to repeat this task and check his playbook, but that's okay. The goal isn't speed, it's accuracy, and the best way to ensure accuracy is to actually use the documentation in real-life scenarios.

So, the next Monday, Bob opens the checklist he created the previous week and starts blindly following his own documentation. And that's when he realizes he missed a step.

“Dang, I forgot that we're supposed to send a test email and double-check the formatting and links!”

Bob then updates his checklist with those steps that were forgotten, and now it looks like this:

Open “Weekly Client Update - Template” Google doc

Duplicate the template and rename it “Weekly Client Update - [DATE]”

Check the Product Team calendar to confirm any upcoming feature releases

Write out a quick draft of the update email based on the template

Request relevant links and descriptions from other members of the product team

Proofread the draft and double-check all links

Copy the email draft into the company's email broadcast solution

Send a test email

Double-check the formatting and links

Broadcast the email

That's it! Ten simple steps are all it took to document a critical aspect of the company's Fulfillment Engine. But we're not finished yet. Before this playbook can be published, it first needs to be field-tested.

Running a field test is simple. All you need to do is hand the playbook draft over to someone else in the organization who is not the Playbook Owner. Try to select a field tester who has a general understanding of the task, but who rarely (or ideally, never) performs it.

If someone has too much context, they will fill in the missing steps without even realizing they're doing it. This is known as the "curse of knowledge." On the other hand, if someone has zero context, they will ask questions and get stuck in places that no documentation can fix. So, try to select someone who at the very least understands your customer, your products, and the general objective of the task. You might even want to spend some time walking them through the associated Value Engine, just so they fully

understand the context of the task and how it fits into your overarching business model.

For our example, we'll assume that Bob has chosen Jan to be his field tester, because Jan is on the same team but she has never written or even drafted a client update newsletter. Bob also sees a lot of promise in Jan and believes this will be a good opportunity for her to expand her skill set and role in the future.

Bob would reach out to Jan and say something like, "Hey Jan, can you do me a favor? I need someone to test out a checklist I just created. All you would need to do is blindly follow this process step-by-step so we can see if I missed anything. Don't worry if you get stuck or confused. We're not testing your knowledge or abilities. We're testing the accuracy of the documentation I created. Can you help me out?"

That last part is really important, so don't miss it. Make sure the person performing the field test understands that they are not being tested. The goal is to check the accuracy and completeness of the playbook. It's not the field tester's fault if they get stuck or confused; that's the playbook's fault, and it's the Playbook Owner's job to fix it!

Once an initial field test has been performed, the Playbook Owner (in this case, Bob) should make any necessary tweaks and adjustments. If significant updates were needed, then another field test should be run with a different person. This process should be repeated until the playbook delivers the desired end result.

Stage 3: Deploy the Playbook

At this point, we have defined and designed our playbooks. Now it is time to deploy these playbooks into the organization itself. To do that, we need to make each playbook available, trainable, and accountable. Let's explore how we do all three.

#1. Make it Available

You now have your company's "secret sauce" documented in a set of playbooks—but where do you put them? If you lock them in a vault like the folks at Coca-Cola, you'll keep them safe from the competition, but you'll also ensure that no one on your team ever uses them. So don't do that!

Binders and bookshelves are where good documentation goes to die.

Your company's playbooks are not heirlooms that need to be mothballed and stored in a cool, dry location. They are living documents that need to be readily accessible and easily updated by the right people. This is why we're building a Business Playbook Library, not a secret vault. With that in mind, whatever you do, don't print the playbooks and put them in a three-ring binder. Formal process manuals don't work because binders and bookshelves are where good documentation goes to die.

We are living in a digital-first world, and even if your team isn't fully remote, there's a good chance some of your employees will be distributed from time to time. For that reason alone, your company's Playbook Library needs to be digital.

There are a number of great process management and company wiki tools on the market that we'll share in the tools and resources list over at [GetScalable.com/resources](https://getscalable.com/resources), but my advice is to not overcomplicate it. A simple spreadsheet that links off to Google Doc checklists is good enough for most organizations. The key is, everyone must know how to quickly navigate to the playbooks that matter to them. If your solution checks that box, it's probably good enough.

#2. Make it Trainable

A finished playbook is the ideal training ground for both new and existing hires. Now, when someone joins your company, you can treat their onboarding like another field test. Not only will it expose gaps in the team member's knowledge or experience that you can fill with additional training and support, it will also expose any gaps in the playbook itself, which can occur over time. But it's not enough to train team members on the playbooks that directly relate to their jobs; I would go one step further and cross-train team members on playbooks that don't directly relate to their jobs.

For example, if you have a playbook on how to send out your company's weekly email newsletter and one of the steps is, "Secure a feature image from graphic designer," then take the time to train that graphic designer on the entire playbook, even if he or she is only directly involved in step seven of a twenty-step playbook. Not only will this cross-training create redundancies that can be helpful if a team member is sick, quits, or just goes on vacation, the added context will also make your team more effective, because everyone understands what everyone else is doing and why they're doing it.

Another benefit to cross-training is the opportunity for career growth it creates for your employees. At The Scalable Company, we've had graphic designers successfully ascend into marketing roles, customer care reps shift into community management, and copywriters pivot into commissioned sales roles. This career growth happened because we invested the time to cross-train employees using our Business Playbooks.

There is literally zero downside to cross-training. The limited time you invest will more than pay for itself in time not lost when a critical team member quits or is just taking time off. More importantly, the company will see a huge bump in performance, and your team members will be motivated by the opportunities for career growth that cross-training enables.

#3. Make it Accountable

I wish I could tell you that once your playbooks have been documented and everyone on the team has been trained and cross-trained on how to use them, nothing will ever go wrong again. But that would be a lie.

The fact is, despite all your best documentation and training efforts, things will still go wrong and people will make mistakes from time to time. Yes, the shoulder taps, “Got a minutes?”, and “Oops, my bads” will be reduced, but people are still people, and people make mistakes. So, the question is, how will you respond when something breaks?

The next time something goes wrong, I want you to learn to ask one simple question. Before you get upset, before you ask “Who’s responsible?” and certainly before you fire anyone, simply ask the following:

“Do we have a playbook for this?”

If the answer is “no,” then you know what to do next. The person who is responsible for this task needs to go back to the design step and create a playbook. The conversation can be as simple as:

You: “Do we have playbook for this?”

Team member: “No, I don’t think so.”

You: “Okay, then clearly, we should. Since you are the person responsible for this task, I need you to create the playbook following the Define, Design, and Deploy process. Once it’s done, let’s agree to never make this same mistake again. Deal?”

Then, just walk your team member through the do, document, do again, and field test steps until you have a new, finished playbook to add to your library.

Mistakes are certainly a painful way to expand your Playbook Library. But if you first ask, “Do we have a playbook for this?” and follow this process, your team and your company will be better for it. You will build a culture where mistakes can happen as long as 1) we learn from them, and 2) we document what we learned so we don’t repeat the same mistakes again.

Here’s the harsh reality: no one can anticipate everything. As your company scales, you’ll find that mistakes and screw-ups become the main catalyst for playbook creation. That’s okay! It just means you’re growing.

But what if when you ask whether there's a playbook for that process, the answer is something like: "Uh, yeah. I think we have a playbook for this. I'm not sure. Let me check. Oh, yeah, here it is..."

Unfortunately, as a business owner, you're going to hear this answer more than you would like. When you hear this answer, your follow-up question should be: "Okay, was it followed?"

Did the person (or persons) who made the mistake follow the steps that were documented in the playbook? If they did, and the playbook is simply out of date, then identify the Playbook Owner (the person responsible for building and maintaining the playbook that we identified back in the Define step) and have them work with the team to bring the playbook up-to-date.

If the playbook is accurate and it simply wasn't followed, then you have a different issue on your hands. I'm not going to tell you how to run your business, but barring outright negligence or a massive lapse in judgment, failing to follow a playbook one time doesn't break trust beyond the point of no return at my companies. Instead, I see situations like these as an opportunity for growth and learning.

Here's the process I follow any time a preventable mistake occurs.

Step 1: Acknowledge the error and acknowledge that it was preventable by reminding the team member there is a documented playbook in place to prevent mistakes like these from happening.

Step 2: Confirm that the team member understands the playbook and they aren't lacking the necessary training, resources, or support to execute the playbook.

Step 3: Inform the team member that if they cannot follow the play-book, they cannot continue working for the company.

In other words, a team member can make a preventable mistake once, but they cannot make the same mistake twice—not if we have a playbook in place, and not if they have received the necessary training and support to execute that playbook.

That may seem harsh, but it's actually fair.

You're not saying, "I don't like you and I think you're a bad person."

You're not saying, "I think you're stupid and ugly."

This isn't personal!

All you're saying is...

"Yes, a mistake was made, but mistakes happen. We still believe in you and we know you can do great things. Just promise me you'll follow this process moving forward. Deal?"

There's no subjectivity.

There's no, "Well, the boss just doesn't like me and it's unfair."

All excuses and politics go away when you have a clearly defined process.

In rare cases, someone might respond with something like, "But I don't want to do it that way. I want to do it 'my way.'"

While cases like these are rare, when they do occur my response is always the same:

"That's fine, you can do it 'your way.' You just can't do it here, and you certainly can't expect to get paid by me for doing it 'your way.'"

I want to be real: the vast, vast majority of your employees won't respond like that. Most will be embarrassed that they messed up and likely feel horrible that they let you and the rest of the team down. They will promise to pay closer attention to the playbook and be extra diligent to get it right the next time. So, use these moments of accountability as an opportunity to build your people up rather than tear them down. If you do, you'll be rewarded with higher productivity and a culture that people will never want to leave.

Mistakes will happen. It's a fact of life, and it's certainly a fact of business. But mistakes are okay if we learn from them, and we create or update our

Playbook Library so the same mistake doesn't happen over and over again.

Using and Updating Your Playbooks

Here are some rules for building and maintaining a Playbook Library that's up-to-date and ready to be used:

Rule #1: Maintain an “Always Open” Policy

An Always Open Policy states that any time a team member is performing a critical task, the step-by-step playbook associated with that task needs to be open and accessible on their screen or printed out and visible on their desk.

Use moments of accountability as an opportunity to build your people up rather than tear them down.

Not everyone on your team is going to like this rule. You might even overhear some of them saying stuff like, “This is silly. I know how to do my job. Why does the boss need me to have this open?”

But this rule doesn't exist because your team is stupid or incompetent. If that were true, you wouldn't have hired them in the first place, and you certainly wouldn't have kept them around this long. This rule exists because humans aren't perfect. As we've already discussed, good people who know what they're doing and who actually care about the company still make mistakes. The best way to prevent mistakes is to ask everyone to follow a tested and proven process (even when they supposedly know what they're doing).

Think about pilots.

As a pilot, you could have flown the exact same airplane hundreds of times, but guess what? Every time you get in your plane, you're still going to pull out the preflight checklist and walk through it, step-by-step, as though you're flying the plane for the very first time. The fact that pilots are required to go through a preflight checklist before every takeoff doesn't mean they're stupid or incompetent. It simply means the stakes are too high to risk forgetting something. If pilots can maintain an "always open" rule, your team should too.

Rule #2: Update Playbooks Every Ninety Days

Digital dust is a real thing. If you allow your playbooks to sit around for too long without an update, they'll become as rotten and useless as a week-old salad. What's the solution? How do we ensure our playbooks stay useful and up-to-date?

First, all playbooks should include the "Owner Name" and "Last Updated" date at the top of the document, along with a disclaimer under the date that reads:

"If this playbook is more than ninety days old, please ask the Playbook Owner to confirm that it is still accurate and up-to-date."

After a Playbook Owner has to field this question a time or two, they'll set a calendar reminder to update all their playbooks at least every ninety days just to avoid the email bombardment.

It's fine if no updates are made to the playbook following a ninety-day review. Some playbooks stay the same for years. All that matters is that the playbook is reviewed and that someone is uniquely accountable for ensuring it never goes out of date. That way, team members can have confidence that the process they are using is accurate and trustworthy.

Rule #3: Maintain a Backlog

Not all playbooks can be created (or even updated) in real time, which is why it's critical that you maintain a backlog. A backlog is simply a place where you store a list of all the playbooks that need to be created or updated. You can use a project management solution such as Trello or even a simple

notes app for this. The key is, after every meeting, postmortem, or planning session, you need to ask:

“What needs to be documented as a result of this meeting? What new playbooks should be created as a result of everything that we just talked about here?”

At the end of the day, as long as you are:

Maintaining backlogs and creating new playbooks as a result of new ideas and new initiatives...

Resisting that digital dust and updating the playbooks every ninety days to keep them current, and...

You have an “always open” rule to ensure that team members are actually using the playbooks they’ve created...

...you’ll find you have fewer shoulder taps, “Oops, my bads,” and black boxes—and much, much more freedom and peace of mind.

Action Steps: Building Your Business Playbook Library

Now that you understand what a playbook is and how to create and maintain them, here are your action items for this chapter.

Identify at least three Power Stages per Value Engine you documented in the previous chapter that should be turned into playbooks.

Review the Three Ds process with your team and assign someone to document each playbook.

Field-test each playbook and make any necessary updates.

Publish the finished playbooks to a digital library and begin using them for training and cross-training.

Set calendar reminders to review and update playbooks every ninety days.

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Engineering High-Output Teams

“That’s not my job.”

Few phrases will make my blood boil faster than hearing someone on my team utter that particular phrase (if you don’t believe me, just ask my son about the time he suggested that doing the dishes wasn’t “his job”).

When I hear someone say, “That’s not my job,” what I actually hear is...

“I don’t care about the company,”

“I don’t care about my teammates,” and worst of all...

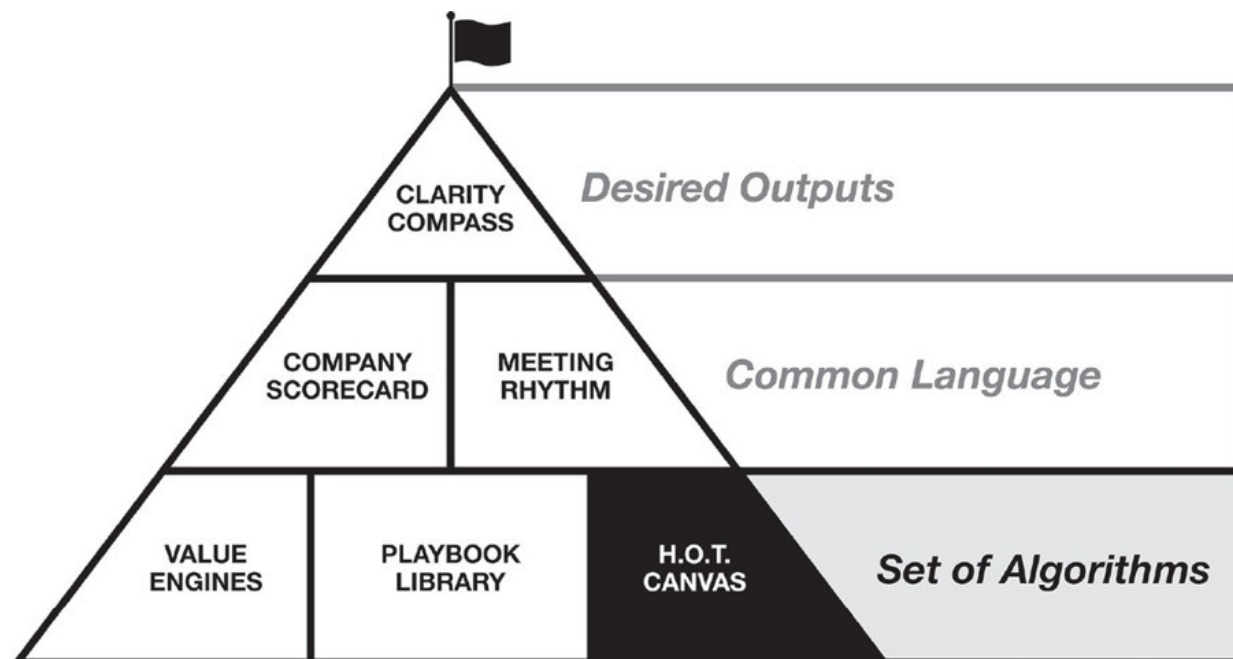
“I don’t care enough about our customers to do the work that needs to be done to serve and delight them.”

What I hear is, “I’m lazy and entitled.”

But is that fair?

Sure, there are times when a team member flat-out refuses to do something that needs to be done. But those instances are few and far between. Most of the time, the people you hire are good people who are neither lazy nor entitled, so when they say, “That’s not my job,” what they’re really saying is, “Oh no, I didn’t realize that was my job.”

In other words, when critical tasks slip through the cracks and good team members (who like and respect one another) start pointing fingers, the problem usually isn't a lack of effort or ownership. More times than not, the problem is a lack of clarity and accountability about roles. Fortunately, that's exactly the problem we're going to be solving next as we work together to build and assemble your High-Output Team.



Just to recap, at this point you have mapped your company's Value Engines and documented your most critical Business Playbooks. This means you're more than halfway through the process of creating the set of algorithms that will form the foundation of your company's operating system. All that's left to do is to build a High-Output Team that clearly understands the work that needs to be done along with who, exactly, is uniquely responsible for doing that work.

By the end of this chapter, you'll have everything you need to build and uplevel a team of skilled professionals, fully capable of executing even the most critical and complex tasks. Best of all, your High-Output Team will enable you to fully upgrade from the burnout-inducing YouOS your company is currently running on to a Scalable OS that can power your

business to the next level, while giving you the additional time and freedom you need and deserve. Let's get started.

What is a High-Output Team?

Here's the good news: you probably already have a High-Output Team in the making. It may not feel like that right now—in fact, you might have even toyed with the idea of firing everyone and doing all the work yourself! (If you did, you wouldn't be alone.) But please don't do that! At the very least, you owe it to your team (and yourself) to read this chapter first. Here's why...

High-Output Teams are created, not hired. This means the people you already have in place—with rare exceptions—are likely more than capable of stepping up and performing as a High-Output Team once a few key pieces are put in place. So, for the purposes of this chapter, I'm going to assume you have a good team filled with good people who care about the company, the customer, and their fellow teammates. They just don't always know exactly who is supposed to be doing what.

Before we get started, we should first define exactly what we mean by a “High-Output Team.” All High-Output Teams have three critical characteristics:

1. Clear Purpose

2. Clear Context

3. Clear Accountability

When we talk about clear purpose, what we mean is that everyone in the company understands why they are doing what they're doing without ambiguity. In order to achieve this clarity, team members need to understand why your company exists. They need to be able to articulate the dent you are making in your little corner of the universe. They also need to be excited about the role they play in making that dent. We're going to talk more about creating clarity of purpose when we get to Chapter 7, but for now, just know that without a clear why, it's impossible to build truly High-Output Teams at scale.

The next piece of the High-Output Team puzzle is clear context, and believe it or not, we already checked this box when we mapped our Value Engines. By visualizing your company's value creation process and then sharing it with your team, you're providing a high-level understanding of how your company delivers value to the market. It seems like a small thing, but until each team member understands exactly how your company delivers value in the marketplace, it's impossible for them to connect the in-the-trenches work they do with the greater mission of the company. And without this context, it's impossible for them to perform at their best.

With clarity of purpose and clarity of context, we have a direct path to the final component of High-Output Teams: clear accountability. To determine clear accountability, we start by defining who is uniquely responsible for what.

Keep in mind that your who could be internal team members or external freelancers, contractors, or agencies. We're not building an organizational chart, nor are we writing job descriptions. We are simply defining who is uniquely responsible for completing essential tasks the company needs to have completed in order to deliver value to its customers. These definitions are key to building a team that can help you to scale.

Documenting Accountability

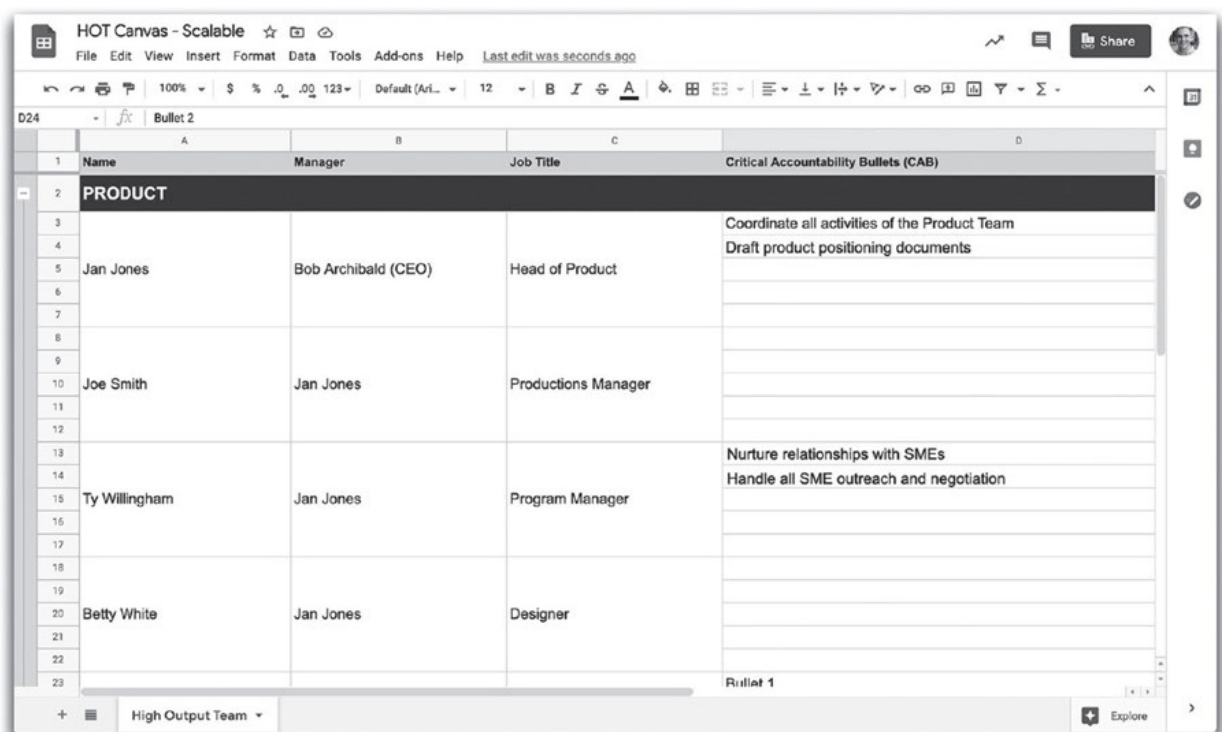
At The Scalable Company, we use a tool called the High-Output Team Canvas to document who is accountable for what. The High-Output Team Canvas is a simple spreadsheet, organized by teams/departments, with columns for:

Team Member Name

Manager Name

Job Title, and most importantly...

Critical Accountability Bullets (a.k.a. CABs)



The screenshot shows a Google Sheets interface titled "HOT Canvas - Scalable". The spreadsheet is organized into columns: A (Name), B (Manager), C (Job Title), and D (Critical Accountability Bullets (CAB)). The data is grouped under a "PRODUCT" header in row 2. The team members listed are Jan Jones, Joe Smith, Ty Willingham, and Betty White, all managed by Jan Jones. The CABs for the team include coordinating activities, drafting documents, nurturing relationships, and handling outreach.

	A	B	C	D
1	Name	Manager	Job Title	Critical Accountability Bullets (CAB)
2	PRODUCT			
3				Coordinate all activities of the Product Team
4				Draft product positioning documents
5	Jan Jones	Bob Archibald (CEO)	Head of Product	
6				
7				
8				
9				
10	Joe Smith	Jan Jones	Productions Manager	
11				
12				
13				
14				Nurture relationships with SMEs
15	Ty Willingham	Jan Jones	Program Manager	Handle all SME outreach and negotiation
16				
17				
18				
19				
20	Betty White	Jan Jones	Designer	
21				
22				
23				Bullet 1

You can access the High-Output Team Canvas template along with other Scalable OS tools by going to: [GetScalable.com/resources](https://getscalable.com/resources)

Whether you utilize our High-Output Team Canvas or build your own, let's cover the steps for documenting your team's accountability so that everyone in your organization knows what everyone else is supposed to be doing.

Step 1: Brainstorm the Core Functions

The first step to building out your High-Output Team Canvas is to brainstorm all the core functional business units that exist within your company. "Core functional business unit" is a fancy way of saying "department" or "team," and if you are the CEO, more often than not your direct reports are likely heading up the core functions of your company.

Most of the organizations we work with are made up of between five and seven core function teams. The most common teams have names like: Product, Marketing, Sales, Accounting, Finance, HR, and Operations.

Software companies might have an Engineering or Technology team. Media and publishing organizations might have an Editorial team. Physical product and ecommerce businesses might have a Manufacturing, Sourcing, Importing, or Fulfillment department.

The point is, don't get fancy or reinvent the wheel. Just make a list of the teams your organization needs to make the things you sell, sell the things you make, and clean up the messes that get made when you're making and selling so much stuff.

Step 2: Fill in Your Team Directory

This step is fairly simple. All you're doing is filling in the name, job title, and other basic details for each member of your different teams. Start with the first core function team and ask, "Who currently serves on this team?" The team leader should be listed first. It doesn't matter if they're a Manager, Director, VP, C-level, or Head of _____. Document the name of the person who is primarily in charge of this team, and then list everyone else on that team below the team leader.

HOT Canvas			
Name	Manager	Job Title	Critical Accountability Bullets
PRODUCT			
Jan Jones	Bob Archibald	Head of Product	Coordinate all activities of the Product Team
			Draft product positioning document
Joe Smith	Jan Jones	Productions Manager	
Ty Willingham	Jan Jones	Programs Manager	Nurture relationships with SMEs
			Handle all SME outreach and negotiation
Betty White	Jan Jones	Designer	

One common question I get is, "But what if a team doesn't have a leader?" This happens a lot, especially in smaller organizations. Fortunately, the solution is simple. If a team is currently "leaderless," then good news: you are that team's leader. That's right. Every team must have a leader, so when a

management role is vacant, the next leader up the chain of command fills the role until a suitable replacement is found.

Similarly, you may also find that one person performs multiple jobs across multiple teams. What do you do in those cases? Again, the solution is simple: acknowledge reality by adding their name to each and every team they're on. For example, if your marketing person also answers customer support tickets, then they aren't just a marketing person. The reality is, they actually have two different jobs—in this case, marketing and customer support—and they may even be “reporting” to two different managers.



TIP

When I list out my teams, I prefer to sequence them based on the customer journey. I list my product teams first, because we need to have something to sell before we can sell it. Marketing will usually follow Product, then Sales, and then general Operations.

The sequence doesn't actually matter, but I've found it helpful to have a reason for the order so your salespeople don't get upset that they're listed “below” marketing, and your accounting team doesn't get mad that they're “always at the bottom.” I know this sounds silly, but if you follow this method and explain why you're doing what you're doing, you'll not only prevent some hurt feelings, you'll also make it easy to visualize the sequential flow of activity throughout your organization.

If this happens, don't panic, and definitely don't go into denial. The goal of this exercise isn't to give you or anyone else more work. The goal is simply to clarify the work that is already being done and who is already doing it, so that you can identify gaps and areas of overwhelm in the organization. So, if someone is doing two jobs on two different teams, acknowledge it by documenting the present reality on the High-Output Team Canvas. After all, the first step to addressing a problem is acknowledging the problem exists.

Remember, this exercise is not meant to paint a picture of the ideal organizational structure. It provides a snapshot of what your structure is today. Eventually, you can leverage this information to build a hiring plan and organizational chart, but that can't happen until everyone on your team is crystal clear on the tasks that matter most and who is uniquely accountable to those tasks.

Step 3: Assign Critical Accountability Bullets

This is the fun part! This is when you get to fill out what we call the "Critical Accountability Bullets" (CABs) for your team. Critical Accountability Bullets are a list of the three-to-five most important roles and responsibilities for each member of your team. I realize this may seem simple at first glance. You might even be tempted to skip the rest of the chapter because you're thinking, We have job descriptions for all of our employees, so we already have this.

But don't let the perceived simplicity fool you. As you're about to see, the magic of Critical Accountability Bullets (and what makes it unlike anything you've tried in the past) is the method we go through to compile them.

Also, don't confuse CABs with job descriptions. Job descriptions can be helpful, but as the name implies, a job description simply describes the work that someone does. The problem is, most job descriptions are written before a team member is hired, so they function more like an advertisement for the job than an actual description of the job. Also, job descriptions are rarely (if

ever) updated, and over time, team members can feel lost and unclear about the role they occupy and what success looks like for that role.

Job descriptions are typically written before a team member is hired, so they're more of an advertisement for the job than a true description of the job.

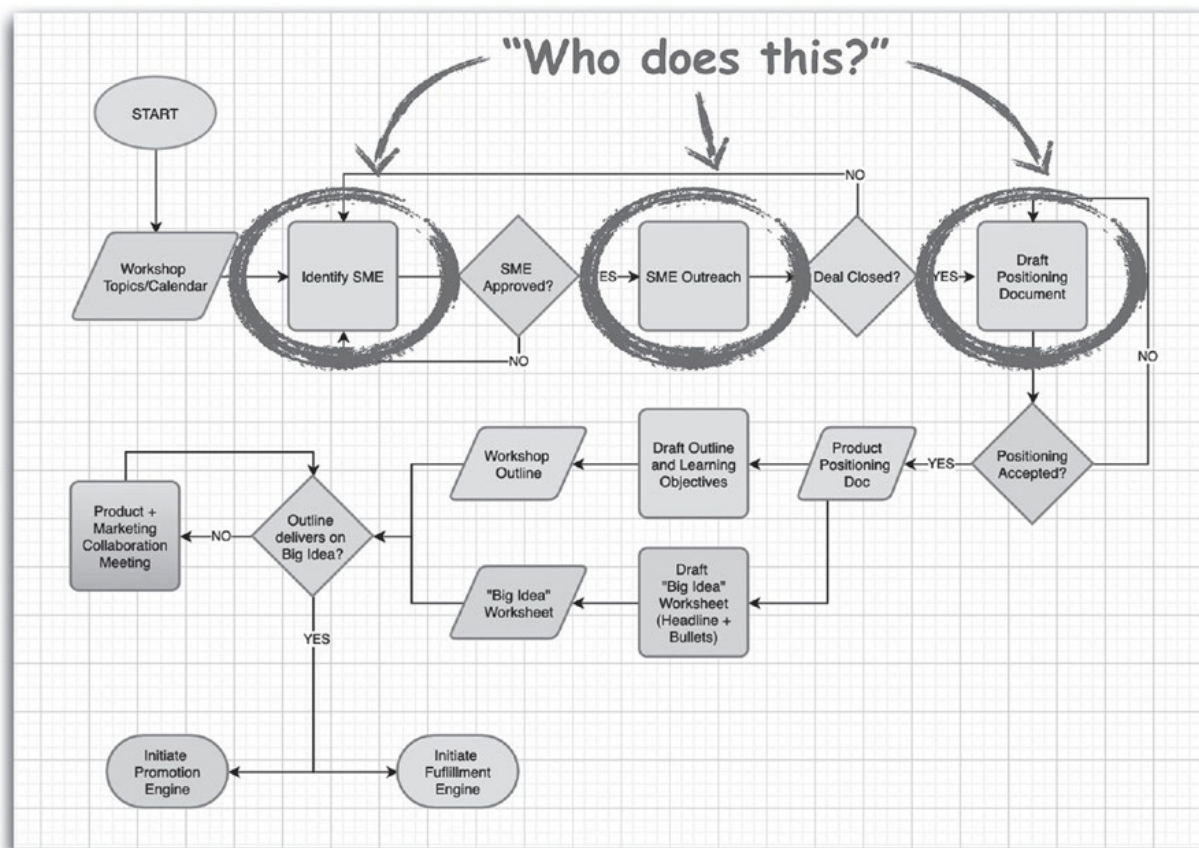
While job descriptions are certainly better than nothing, for decades business leaders have acknowledged that they are incomplete, which is why more-developed companies implement what are known as OKRs and KRAs. OKR is short for “Objectives and Key Results,” and KRA is short for “Key Result Area.” When you combine a specific Objective with a Key Result Area, you have the basis for an Objective and Key Result, or “OKR” for short.

Are you sufficiently confused yet?

If you find all these acronyms overwhelming, you aren't alone. Some of the most famous and best-selling business books of all time, from *High-Output Management* to *Measure What Matters*, talk about OKRs and KRAs, but experts still argue over how to define these terms, much less how to compose the OKRs and KRAs themselves. If the experts are confused, and you're confused, then just imagine how your team is going to feel when you ask them to stop what they're doing so that they can define the OKRs and KRAs for their role.

Let me be clear: OKRs and KRAs can be effective. In fact, they have worked for companies like Intel, Google, Twitter, Microsoft, and Uber, and last I checked, the leaders of those companies know a thing or two about scaling businesses. Oh yeah, and the person generally credited with creating the OKR/KRA framework is none other than Andy Grove, the former CEO of Intel who quite literally wrote the book on creating high-output teams.³

But despite their impressive pedigree, I still believe OKRs and KRAs miss the mark in two critical areas. First, they are simply too complicated for most small and even medium-sized businesses to utilize effectively. The time and attention required to correctly implement the frameworks just isn't feasible for most businesses, nor is it helpful in a fast-growing, constantly shifting, entrepreneurial organization where the "O" in OKR (the objective) changes on a monthly or even weekly basis.



Second, these frameworks are almost all top-down. They start with the company's goals and objectives, then filter down to the teams, and then to the individual. Said another way, they're company-centric and role-centric, rather than value-centric.

Critical Accountability Bullets, on the other hand, are created bottom-up, not top-down. Instead of assigning accountability based on company objectives or even job titles and description, we go back to the Value Engines we

documented in Chapter 2 and simply ask, “Who does this?” for each and every stage.

This distinction is super important, so let me say it again another way: most organizations start with a person or role and ask, “What does this person working in this role do at this company?” Then they write out a job description and a list of the primary activities expected from this role, and call it done.

While this may be better than nothing, the sequence is all wrong.

You don’t start with a person and ask, “What does Bob do?” Instead, you start with the critical tasks and activities that everyone agrees must get done and ask, “Who does this?”

The lesson is, we start with what needs to be done, and then ask who should do it, not the other way around. This simple sequence change is what distinguishes Critical Accountability Bullets from similar models and frameworks you might have tried in the past. By starting with your Value Engines and asking, “Who does this specific step of this specific Value Engine?”, you are aligning the real work your team members are doing with the real value your company is providing. This simple shift gives your team members the clarity they crave while at the same time ensuring they stay focused and accountable to the work that matters most, which is the key to building high-output teams.

How to Assign Critical Accountability Bullets

Once you have answered “Who does this?” for a critical task on one of your Value Engines, you simply add a description of that task or activity in that team member’s CAB column on the High-Output Team Canvas.

As you go through each Value Engine stage-by-stage, Critical Accountability Bullets will begin stacking up next to team members’ names. This is what

creates the clarity of context we talked about earlier in this chapter. Now there’s no question about whose job it is to “Draft the product positioning documents.” That’s clearly Jan’s job, because that Critical Accountability Bullet is next to her name!

Repeat this process for all the stages of all your Value Engines—and if you want to get even more granular, you can expand it to include all the steps within a given playbook. This creates clarity and alignment around the work that matters most, because if a task or activity is documented in a Value Engine or Business Playbook, you know it’s important, which means it needs to be listed as a Critical Accountability Bullet next to someone’s name on your company’s High-Output Team Canvas.



HOT Canvas			
Name	Manager	Job Title	Critical Accountability Bullets
PRODUCT			
Jan Jones	Bob Archibald	Head of Product	Coordinate all activities of the Product Team
			Draft product positioning document
Joe Smith	Jan Jones	Productions Manager	
Ty Willingham	Jan Jones	Programs Manager	Nurture relationships with SMEs
			Handle all SME outreach and negotiation
Betty White	Jan Jones	Designer	

Only after you have gone through all your Value Engines and assigned Critical Accountability Bullets for each stage should you go back and add any additional CABs for the remaining team members. To complete this process, simply go person-by-person and ask, “What else does this person do

that is critical to the company's success but isn't reflected on an existing Value Engine or Business Playbook?"

Hopefully this goes without saying, but there are truly critical tasks and activities that won't show up on a Value Engine or Business Playbook. Some will relate to internal operational and administrative activities such as HR, finance, and accounting that haven't been documented yet, and others will relate to Value Engines you know exist but just haven't gotten around to mapping yet.

The point is, we aren't restricting our Critical Accountability Bullets to only those tasks and activities that are represented on a Value Engine or Business Playbook; we are simply prioritizing the Value Engine and Business Playbook activities because they define the most important, value-creating work of the company.

It's also important to note that your employees will work on tasks that aren't directly related to their Critical Accountability Bullets. For example, they will attend All Hands meetings. They will check their email. They will post in Slack. They will stay late to help a teammate out. But none of the things I just mentioned are Critical Accountability Bullets.

Step 4: Reviewing Critical Accountability Bullets

Assigning Critical Accountability Bullets should be a collaborative process, so once you and your leadership team have completed an initial draft of your High-Output Team Canvas, you should share the list of CABs with each member of your team and ask, "Which critical tasks and activities are you currently responsible for that aren't represented on this list?"

This review process serves two purposes:

First, it allows you to identify and document any legitimate CABs that were missed during the first round. This happens a lot, especially in

larger companies where multiple team members perform the same tasks, or where highly specialized staff perform a sub-task of an important Value Engine stage. For example, the Content Marketing Manager might have a Critical Accountability Bullet that reads, “Publish new blog content weekly,” but they will rely on other team members who have CABs such as “Draft new blog posts based on high-performing podcast episodes” and “Create feature images for new blog posts,” but those “sub-CABs” may not have found their way onto Version 1 of the High-Output Team Canvas.

If you miss a few CABs, that’s okay! Use it as an opportunity to show your team members where their role fits within the company’s broader value creation process. Remember when I talked about the importance of creating clear context as a component of building High-Output Teams back at the beginning of this chapter? This is how it happens!

And once you have shown them where they fit in, the next step is to take the time to show them that you appreciate the work they’re doing. After all, anyone who touches any piece of your value creation process, however small, is contributing to the success of your company. So, thank them. Make them feel important. Make them believe they matter.

Because guess what? They do.

Second, reviewing Critical Accountability Bullets allows you to identify and reassign (or eliminate) illegitimate tasks and activities. Over time, even the best employees will accumulate job responsibilities like old couches accumulate spare change. And much like the couch-cushion cash, these random tasks and responsibilities aren’t worth much to the company. Here’s a somewhat embarrassing story that will explain what I mean.

A few years ago, I was working with the marketing team at one of our portfolio companies to build out their High-Output Team Canvas. After completing the first round of CABs, we went to each member of the team and asked, “What did we miss?”

To my surprise, I heard person after person say, “Well, it doesn’t say anything about editing the weekly email newsletter, and that’s a big part of my week.”

“That’s odd,” I thought.

Just for context, at this company, the weekly newsletter was created by the content team, and while the marketing team was involved in ad placement decisions, there wasn’t much the marketing team needed to do to get the newsletter written and distributed each week.

Or so I thought.

It turns out that earlier that year, the content team had asked the marketing team to sit in on their editorial review session. No one remembered why this started or whose idea it was. All anyone knew was that for two hours each week, six members of the marketing team sat in a conference room with a writer, line editor, and editorial manager and reviewed the weekly email newsletter line-by-line.

Did they contribute to the newsletter? Sure.

Did they make it better? Possibly.

Did it contribute to a Value Engine? Not really.

That two-hour meeting (which, multiplied by six people, equals twelve hours of paid time, not counting all the distraction time before and after the meeting) didn’t really change the value we were giving to our customers.

As a result of this review process, we chose not to add “Review and Edit the Weekly Email Newsletter” as a CAB to any members of the marketing team. In fact, we killed the meeting completely, which not only gave the marketing team a collective twelve extra hours a week, but also sped up the editorial review meeting for the content team, because now they didn’t have to wait for feedback from six random marketers.

It’s worth noting that this time-waster of a meeting didn’t come about because the team was full of lazy, entitled people. In reality, it happened

because the opposite was true. The marketing team was so open to helping the content team that they sat through a two-hour meeting every week—not because they wanted to, but because they felt like they needed to.

This is why clear accountability is so important to building High-Output Teams. Accountability isn't just about protecting the company from lazy, incompetent, and entitled team members. More times than not, accountability serves to protect thoughtful, skilled, and hard-working team members from themselves, because the best way to ruin a good employee is to allow them to take on roles and tasks they never should have been doing in the first place.

Common Issues and Opportunities

As you follow this process, a few common issues are likely to arise.

First, you may find gaps in responsibility. This happens when you review a Value Engine stage and determine that no one is uniquely responsible, or responsibility is unclear because it's shared by multiple people (or even teams). When this happens, take a moment and decide where responsibility should fall. If no one is responsible, then make the stage someone's responsibility, even if that someone is you. You may ultimately determine that you should hire someone for this role, but don't proceed without clearly defining who is accountable for this step in the immediate future, even if it's just on an interim basis.

Similarly, if multiple people and teams are responsible, you need to choose one person to be uniquely accountable for the end result. It could be a manager, a team lead, or just the most tenured person on the team. The point is, if everyone is responsible, then no one is responsible, so take the time to decide where accountability rests on an individual level. Again, use this as an opportunity to make a list of critical hires. One of the biggest benefits of building a High-Output Team Canvas is that it informs the exact roles you need to hire for, and exactly what the person who occupies that role will

need to do. I'm telling you, if you follow this process, the job descriptions practically write themselves!

I want to be clear: start building out your hiring plan, but do not—I repeat, do not—wait until a hire is made to assign accountability for one of your critical Value Engine stages. Those are critical tasks that need to be done to keep your business operating, and the last thing you want to do is delay scale for months while you hire.

Second, you may encounter individuals on your team that are clearly overburdened. These people don't just have a lot of tasks, they have a lot of critical tasks. When this happens, acknowledge it with the person and promise to get them help. Just this simple act of acknowledgment can buy you time and potentially save a great person from burning out and quitting your organization.

As for the specifics of getting your overburdened person some help, that could mean shifting some of their duties to another team member—ideally someone who is talented but underutilized—or it could mean hiring someone to take on some of their duties. It could even mean offering them a promotion and giving them a team to manage their newly discovered mountain of tasks. Either way, we're involving the critical team member in the process and allowing the Critical Accountability Bullets to inform our hiring and promotion plans.

By the way, all of this applies even more if that overburdened person is you. It's not a secret that entrepreneurs have to wear a lot of hats, but there's power in naming those hats. That's exactly what this process allows you to do.

Third, you may also encounter individuals on your team who have few or even no Critical Accountability Bullets. As we discussed earlier in this chapter, oftentimes these are individuals working in an operational or administrative capacity whose roles don't touch a documented Value Engine. For example, your HR Manager is likely responsible for "New Employee Onboarding," and your Director of Accounting is charged with "Accurately closing out the books by the 10th of each month." Each of these tasks is important and worthy of a CAB, so remember to

document these on the High-Output Team Canvas even if they don't connect to a specific Value Engine or Business Playbook stage.

If everyone is responsible, then no one is responsible.

Other times, you'll discover an individual who is sharp and does good work, but is underutilized. Maybe they are stuck in the minutiae and focusing on work that doesn't move the needle (like some of the members of that marketing team I talked about earlier). Believe me, this happens all the time, especially in fast-growing organizations where people are hired faster than their roles can be defined.

When you discover an underutilized team member, see it as a massive opportunity for both the company and the team member. From the company's perspective, this is excess capacity that you didn't know existed. Maybe you can shift some CABs from an overburdened team member to them. Heck, maybe they can even take on some of your work. Or maybe you can double down on an area of the business that's really taking off. Either way, this is an opportunity to grow your output without growing your payroll—and any time you can do that, it's a good thing.

This is also great news from the team member's perspective. Whether they realized it or not, they were stuck in a dead-end job. No one (at least no one you actually want on your team) wants to be stuck doing work that doesn't matter. So, not only can the company get more value out of the person, the person can get more value out of the company by doing work that matters and can accelerate their career.

In a less positive scenario, you may find you have an underutilized team member who you previously thought was critical. I'm not talking about someone who just got lost in the crowd; I'm talking about someone you once believed was critical to the success of the organization (maybe even

someone on your executive team) that you now realize is doing very little to create or capture value for the company.

When this happens, it can be very painful, and it can get very, very messy.

Sometimes, these are early team members who ascended more because of tenure and loyalty than through ability. Other times, you'll discover that the person was better at the politics of business than the actual doing of business. Either way, the solution is the same: talk to the person, explain the situation, and see if there's anything you missed. Specifically, see if there are any Critical Accountability Bullets they know about that you don't.

If not, and if the person is a good culture fit, try to find a place for them in the organization that aligns the value they create with the compensation they require. If you can't find a way to expand their role, or if the person turns out not to be a fit for one reason or another, then your only real option is to part ways.

You could attempt a demotion, but in more than twenty years of managing people, I've never seen a demotion work long-term. Letting someone go is never easy, and letting someone go who was once a critical member of the team—or, at the very least, seemed critical—is downright painful. But trust me, it's best for all involved if you part ways, now that the truth is there in black-and-white for all to see.

Not only will this free up some much-needed budget that can be reallocated to a higher-value team member, it will also free them, the team member who is leaving, to pursue opportunities where they can truly grow in their career. Either way, you're not doing anyone any favors by keeping them on the payroll when they're clearly not performing a critical, high-value task.

And that's the best part about this process: it's both collaborative and objective. You're not telling them they're doing a bad job; you're showing them their list of Critical Accountability Bullets and inviting them to add to that list. If they can't, you aren't being mean or unfair; you're simply pointing out the harsh reality that they just aren't adding value to the company.

This is why the High-Output Team Canvas is such a powerful tool. In addition to documenting critical tasks and areas of accountability, it also opens doors of opportunity for everyone on your team, both inside and outside your organization.

Action Steps: Engineering Your High-Output Team

Now that you're clear on the most critical tasks and activities in your value creation process, the next step is to assign clear roles and responsibilities to your team members so that you can establish a truly "high-output team." Here's how we do that:

Audit your Value Engines and establish Critical Accountability Bullets (CABs) for each stage

Fill in your High-Output Team Canvas based on the CABs for each stage (you can access the High-Output Team Canvas at: GetScalable.com/resources)

Note any missing critical roles, specifically any important steps and stages where no one is uniquely responsible or accountable

Note any employees with "multiple jobs" (two bosses and/or two teams)

Start building a "Need to Hire" list [OPTIONAL]

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Designing Your Company Scorecards

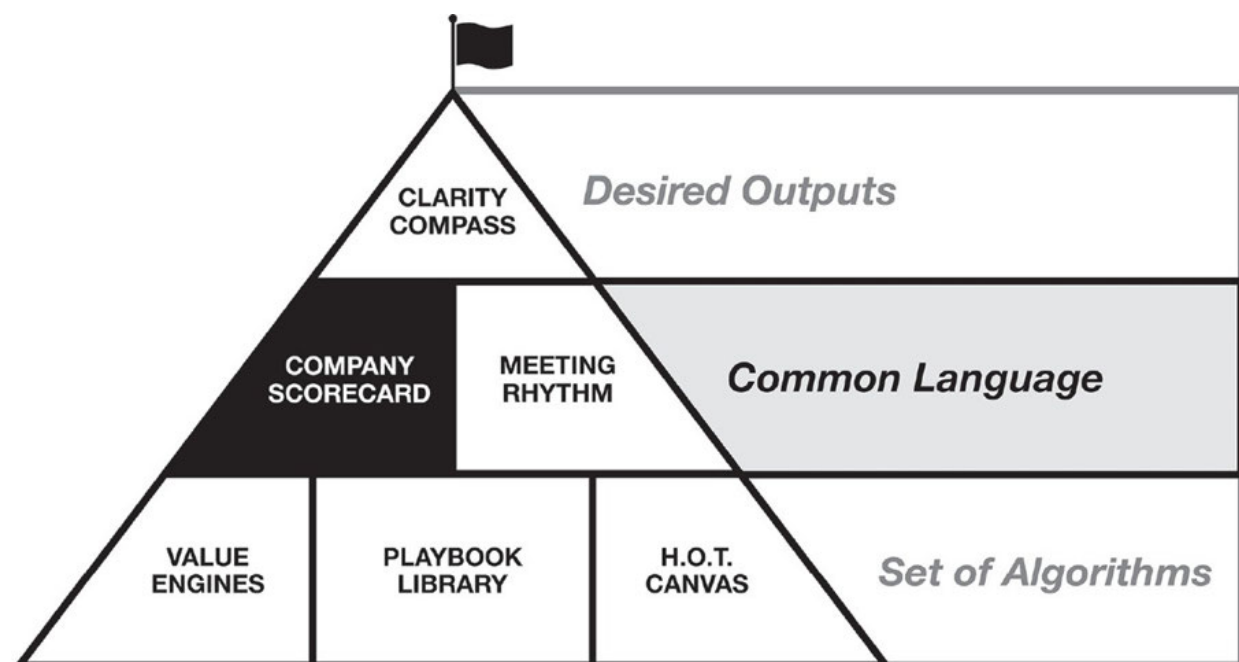
Did you know that of more than 200,000 private pilots in North America, only about 15 percent get and maintain their instrument rating? If you're unfamiliar with the ratings and requirements for airplane pilots, the instrument rating is what makes it possible for pilots to fly at night and in bad weather using just the dials and indicators on their cockpit dashboard. As I'm sure you can imagine, this skill is critical if you want to become an expert pilot, because simply "looking out the window" isn't good enough. You need to be able to know what all those little dials and blinking lights mean, or the smallest storm could have you literally "flying blind."

Entrepreneurs are like pilots. We, too, must navigate the inevitable storms and "dark periods" that all companies face when they choose to scale. Fortunately, by the end of this chapter, you are going to become an instrument-rated entrepreneur. The next time a storm rolls in or it starts to get dark before you land, you'll not only be able to anticipate it, but also have the knowledge and skills to navigate your company through the storm.

Now, just to recap where we are in this journey together, remember that our mission is to build and install a Scalable Operating System which will serve as an upgrade to the YouOS your company has been running on. To do that, we first needed to document the set of "algorithms" that form the "source code" of our company OS. That's why we mapped our company's Value Engines, documented our company's Business Playbooks, and assigned clear roles and accountability using the High-Output Team Canvas.

You did all of that in the last three chapters. Your set of algorithms is complete (or at least in a strong working-draft form), so it's time to start architecting the "Common Language" that will make all the pieces of your company OS work together. As a reminder, Common Language refers to the user interface of a computing device. It specifically means how different components of a device communicate with one another in relative harmony.

The first step to creating this Common Language is to design your Company Scorecard.



This Company Scorecard will not only serve to get everyone on your team aligned and flying to the same destination (see what I did there?), it will also help you gain a full understanding of the tools and data you need to navigate any storm. Company Scorecards will keep that plane pointed in the right direction—toward your desired outputs.

Core Principles of Scorecard Design

Here are three counterintuitive principles you'll want to keep in mind as you design your Company Scorecard:

1. Keep it simple.
2. Track it weekly.
3. Make it manual.

First, scorecards must be simple, because the more complicated your scorecard, the more difficult it is to manage, and the more likely it is to be abandoned. And the only thing worse than no scorecards at all is an underused (and therefore inaccurate) scorecard. As you'll see, we recommend sticking with the "Rule of Three," which states that a Company Scorecard should consist of three "evergreen" metrics, three "North Star" metrics, and three metrics per team.

Evergreen metrics are the high-level metrics such as revenue, gross margin, cash collected, Net Promoter Score (NPS), or any other important financial or business metric you're already tracking on an ongoing basis.

North Star metrics are the three most important leading metrics you have selected for a given quarter (we'll talk more about North Star metrics when we discuss Quarterly Sprint Planning in Chapter 6).

Team metrics are the three most important metrics each team selects to highlight on the Company Scorecard (we'll discuss how to select these team metrics later in this chapter).

Let's do the math. Assuming your company has five teams/departments, and each team selects three metrics, then your Company Scorecard would have fifteen total team metrics. Add in the three evergreen metrics and three North Star metrics, and you wind up with a total of twenty-one metrics on your Company Scorecard. On average, our portfolio and client companies are tracking between twenty and thirty metrics at the Company Scorecard level. That may seem like a lot, but by organizing your metrics into groups based on teams, North Star, and evergreen (and by throwing in a little color coding, which we'll discuss a bit later in this chapter), a CEO can review and respond to a thirty-metric scorecard in under five minutes.

Second, your Company Scorecard should be tracked weekly. At The Scalable Company, we are big believers in measuring your company's key performance indicators (or KPIs) on a weekly basis. We like the weekly timeframe because it's enough time to flatten out the noise and irregularities that can appear on daily and real-time scorecards, but it's not so much time that you're flying blind for weeks or months at a time.

Returning to our pilot analogy, let's say we need to fly from New York City to Los Angeles. What many business owners do is the equivalent of taking off in New York, pointing the plane west, flying six or seven hours without ever checking their instruments, landing the plane, and then wondering why the heck they wound up in Seattle instead of LA.

This is flying blind. It's what happens when a business creates an annual plan in January but doesn't look up to see how they are progressing toward that plan until December.

So, what's a better way to get from New York to LA? If you know anything about flying, you know that pilots don't necessarily fly in a perfect, point-to-point straight line from their starting location to their destination. Things like bad weather, other planes, and even instrument malfunction can get them off track, which is why pilots are constantly checking their heading so that they can vector (or "pivot," as we like to call it in the business world) to keep the plane on course despite outside forces like weather (think, "economy") or other planes (think, "competitors").

The key to getting to your intended destination is not to create the perfect plan and then hope and pray everything goes according to that plan; the key is to create a plan so that you know where you're going (which we'll cover in Chapter 7) and then make the necessary pivots and adjustments in as close to real-time as possible. That's exactly what a weekly scorecard allows you to do.

By checking in weekly, you get twelve pivot opportunities, twelve vectoring moments, and twelve chances to correct your course and realign your vision each and every quarter. That's fifty-two "pivot points" a year. Most entrepreneurs and CEOs don't check in more than once or twice in a year, yet they wonder why they rarely (if ever) reach their intended destination.

Our goal in creating a Company Scorecard was simple: we wanted to get everyone on our team aligned to the same KPIs and growth targets while also providing a platform for communicating progress toward those growth targets across our entire team. And we wanted that alignment to happen not once we reached the end of the year, the end of the quarter, or even the end of the month—we wanted it to happen on a regular, weekly basis, so that if a team member (or even an entire department) finds themselves a bit off course, we can correct the issue long before we're forced to land in Seattle instead of Los Angeles.

Third, your Company Scorecard should be manual, meaning the data on your scorecard should be both inputted manually and interpreted manually. Of all the principles and best practices we teach at The Scalable Company, this one might be the most controversial. To be clear, I am well aware that automated dashboards and business intelligence tools exist. I also believe they can be valuable in certain circumstances. But what I know to be true from my own experiences, as well as from the experiences of our thousands of clients and portfolio companies, is that magic happens when humans are forced to manually enter a number into a field and then manually determine if that metric is on track or behind the target. This is the difference between data visualization and data insight.

You can access the Company Scorecard template, along with other Scalable OS tools, by going to: GetScalable.com/resources

Data visualization happens when all your company's relevant facts and figures are aggregated and then presented in a format that's easy to read and consume. Insights happen when a human consumes that data and makes judgments and recommendations based on what the data is telling them.

Company Scorecard										
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EVERGREEN METRICS										
Revenue	\$307,303	\$225,806	\$325,645	\$136,254	\$995,108	\$1,000,000	Light Green	Amy Porter	ERP	
Cash Collected	\$184,382	\$135,483	\$195,387	\$81,752	\$597,004	\$700,000	Light Red	Amy Porter	ERP	
Revenue Per Employee	\$5,909	\$4,342	\$6,262	\$2,620	\$19,133	\$18,500	Green	Amy Porter	ERP	
NORTH STAR METRICS										
New Leads	1,244	1,280	1,910	1,435	5,869	6,000	Light Green	Liz Swann	CRM	
Meetings Booked	107	51	63	72	293	300	Light Green	John Dole	CRM	
Meetings Completed	42	26	17	27	112	150	Light Red	John Dole	CRM	
MARKETING										
Total Media Spend	\$36,149	\$33,315	\$46,113	\$34,421	\$149,998	\$150,000	Green	John Dole	Ad Platform	
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SALES										
New Deals	3	3	4	6	16	20	Light Red	Lori Ashe	CRM	

The problem is, when you remove the human from the input process, you reduce their interaction with the data, which in turn reduces the insights gained from the data. We'll talk more about the importance of manual scorecards later in this chapter. For now, all I ask is that you remain open to the idea that manual scorecards could be more valuable and even more efficient than automated scorecards.

Now that you understand the core principles of scorecard design, it's your turn. Let's design your Company Scorecard for your business. Let's turn you from a "flying blind" entrepreneur into an "instrument-rated" entrepreneur.

Step 1: Identify Scorecard Categories

The first step to building your Company Scorecard is to identify the scorecard categories. These categories are the top-level organization that all your different metrics and key performance indicators fall under. The great news is you have already completed this step without even realizing it.

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That's right! If we go back to the High-Output Team Canvas you created in Chapter 3, you will recall that the first step of the process was to identify the core function business units you use to organize and operate your company. These are the teams that make up your company's organizational structure, and these same team/department names can simply be pulled over and used as your scorecard categories (hey, if it was good enough for your High-Output Team Canvas, then it's good enough for your Company Scorecard).

Most Company Scorecards will have between three and seven departmental categories, and typical team names include:

Product

Content

Marketing

Sales

Operations

Finance

...you get the idea.

Don't spend a lot of time on this step, and don't overthink it. Just copy down your teams, make those your categories, and you're done.

Step 2: Brainstorm Key Metrics Per Team

Once you have determined your dashboard categories by team, it's time to brainstorm the key metrics that each team will track and be held accountable to. These are critical metrics that each team should be tracking and optimizing each week—the dials on your cockpit dashboard that you and your managers will review as you journey from New York to Los Angeles.

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I recommend that your team leaders select a minimum of three, but no more than five, metrics per team. At first glance, that won't seem like enough, and some of your managers may even panic a bit when you tell them they're limited to just three-to-five key performance indicators for an entire team.



If you're using the Scalable Company Scorecard template, you are probably seeing a category at the top of the template for "Evergreen Metrics" and "North Star Metrics." Evergreen metrics, as the name suggests, are the most important metrics you intend to always track. Some examples of evergreens

we see at The Scalable Company include high-level metrics such as Revenue, Cash Collected, Gross Margin, and Net Promoter Score (NPS), and you can feel free to add yours to this list or leave it blank for now.

Unlike evergreen metrics, North Star metrics are designed to change every quarter, but you should leave this section blank for now. We'll be filling it in when we go through the Quarterly Sprint Planning process (covered in a future chapter).

But three-to-five is all you need for this scorecard. Remember, this is the high-level, company-wide scorecard that you will review. Each team should still have their own team-based scorecards that contain more detail, but that level of granularity isn't required for the overarching Company Scorecard.

Sometimes, the team metrics are obvious. You know what they should be. Your managers know what they should be. Everybody on the team knows the metrics that matter most. But more often than not, it isn't so obvious. In fact, for some teams it can be downright frustrating to narrow things down to just three-to-five metrics—especially when the entire team has to agree on them.

For example, if you're on the marketing team, would you rather see unique visitors, email open rates, or new social followers make it onto the Company Scorecard? Or should it instead be new qualified leads, sales meeting show-up rates, or booked demos? Obviously, the metrics you track will depend on your business model and sales motions, but it can also get political within teams. Content and social marketers will lobby for certain metrics, whereas copywriters and media buyers will lobby for a different set. This isn't limited to marketing teams, of course. I've seen similar debates waged in sales teams, product teams, engineering teams, and even accounting teams.

In cases like these, I like to use a simple exercise with my teams to help narrow the scope. I call it the "Beach Vacation Question." Start by having your team members imagine the following scenario:

You and the people you love the most are enjoying an amazing beach vacation. You've already been gone a week, but you're having such a great time that you're thinking about extending the trip an extra week. The resort just informed you that if you do decide to extend, you can do so for half-price. It's a no-brainer from a cost perspective. The only question is, can you, personally, be away that long?



Example Scorecard Metrics

Sometimes, it helps to see metrics that other companies have used to jump-start your own brainstorming. Here are a few examples of team metrics our client and portfolio companies have used on their scorecards.

Product / Engineering Team

- Weekly or monthly active users
- Activation rate
- Milestone achievement
- Unit churn
- Active defects

→Commit-To-Deploy Times

→Net Promoter Score

Marketing Team

→Unique visitors

→Cost per acquisition

→Return on ad spend

→Total qualified leads

→List revenue

→Average customer value

Sales Team

→Sales-accepted leads

→Total qualification calls

→Total closing calls

→Close rate

→Booked revenue

→Quota attainment per rep

→Remaining pipeline

→Average deal size

Customer Success / Customer Support Team

- Total support tickets
- Average response time
- Number of clients onboarded
- Renewal Rate Expansion revenue
- Net Promoter Score

Finance / Accounting Teams

- Monthly or annual recurring revenue
- Budget variance
- Gross margin
- Net profit margin
- Current ratio
- Burn rate 60- or 90-day receivables

If you see a metric and think, Ooh, I would definitely like to see that, then you should consider adding it to your list. If you see a metric and think, I don't even know what that is, you should ignore it for now. You can find more examples in the metrics tab on the Company Scorecard template, which is available at [GetScalable.com/resources](https://getscalable.com/resources)

Once they have thought through that question, ask them this:

Which three-to-five metrics from work would you need to see to determine whether you can safely extend your vacation an extra week or you need to catch the next flight home?

This scenario is helpful for narrowing the scope to the leading metrics that truly matter versus the feel-good vanity metrics. And remember, each team should also maintain their own Team Scorecards; just because a metric doesn't make it onto the Company Scorecard, that doesn't mean it shouldn't be tracked. Also, keep in mind that Company Scorecards aren't chiseled in stone. The metrics that matter one month may not matter as much the next, so remind your teams that these are living documents that will change as the company's goals and strategy change.

Finally, if you're stuck, remember that the Value Engines you documented back in Chapter 2 are an amazing source of metric ideas. Simply look at each stage in each Value Engine and ask, "How do we know this particular stage is working?" in much the same way that you asked, "Who is responsible for this stage?" back in Chapter 3 as you were building your High-Output Team Canvas. The point is, if it's on your Value Engine, you know it's important, so that's as good a place as any to source metrics ideas.

Whatever method or combination of methods you choose, invest the time to meet with your executive team and each of your business units to brainstorm the metrics that are most important for each core department. Even if you have to carve out a full day, it's worth it, because these metrics will serve as the dials on the instrument panel that you and your "co-pilots" will use to navigate your business from where you are now to where you ultimately choose to go.

Step 3: Back-Test the Previous Month or Quarter

Once you've figured out which metrics you're going to track on a weekly basis, the next step is to look backwards to help determine your "benchmark," or starting point, for each metric. For example, if your marketing team has chosen "Unique website visitors" as one of its core team metrics, then you should look back at the previous month (or, better yet, the last three months) to see how many unique visitors came to your site during each week of the last quarter.

This process of measuring in reverse is known as "back-testing."

But why track data for a time period that has already passed? Two reasons. First, back-testing is a good way to learn whether you can even access the data for the metrics you have selected. I can't tell you how many times my team and I have come up with great ideas for metrics we should be tracking, only to discover that we either can't get the data we need or getting the data is simply too manual or time-consuming to be worth the effort. If that happens to you, don't worry. Just drop the metric for now and add it back in when the data is more readily available.

The second reason to back-test your metrics at least a month (and ideally a full quarter) is so that you



If you are utilizing the Company Scorecard template we provided you at [Get-Scalable.com/resources](https://get-scalable.com/resources), I recommend that you actually create a scorecard tab for each of the previous months you are planning to back-test. To do this, simply click the "down" arrow on the scorecard tab, then click "Duplicate," and name the tab for the month and year you are back-testing. You can use that data to inform your monthly targets. For example, let's say one

of the metrics your marketing team is tracking is “New qualified leads.” How do you know what a good amount of new qualified leads should be? Are ten new leads a month good? One hundred? You could make an educated guess, or you could back-test the data and see that you generated fifty-five new qualified leads last month, forty-five the month before that, and fifty-two the month before that.

Repeat this process for each additional month you are back-testing as well as for the months you track in the future, so that you have one tab for each month.

Assuming you’re generally happy with your current lead flow, you may determine that fifty-five is a good starting point. Or maybe you see this number and decide it needs to double, or even triple! The point is, by taking the time to back-test, you get to leverage actual data (as opposed to your gut—or worse, blind optimism) to set your targets. And fortunately, that’s exactly what we’ll be doing in the next step.

Step 4: Set Your Targets

Now that you know which metrics you’re tracking and how each metric has performed in the past, it’s finally time to select your “Monthly Targets” so that you can decide, as a team, what winning looks like and what losing looks like for each scorecard metric.

Target is just another word for “goal,” so setting your monthly target is you and your team declaring, in advance, where you want each metric to finish by the end of the month. This step is critical because it removes the risk of “revisionist history.” Revisionist history happens any time a team misses their targets but they cast the loss as a win because they “learned so much” or “really pulled together as a team.”

Look, I'm all for learning, and I love it any time team bonds are strengthened. But fluffy, revisionist wins like these rarely drive an organization toward its stated business objectives. Real metrics need to be measured, optimized, and achieved if the company is going to realize its "desired objectives" (which we'll set in Chapter 7). And when targets aren't hit, teams need to see that. They need to do business with the reality of, "Hey, we came up short last month. Now what are we going to do to fix it so we can do better next month?" Real learnings like this can only happen when everyone agrees on what winning and losing looks like, and when everyone accepts the reality of a loss when it inevitably occurs.

Nothing will stifle growth and learning faster than excuses and revisionist history, which is why Monthly Targets matter.

In the previous step, I had you back-test your data for at least the previous month. If you completed this step, then you should already have a benchmark, or starting point, for each of your metrics. From there, it should be fairly easy for you to brainstorm monthly targets based on your existing baselines as well as overall company goals.

Top-Down Targets vs. Bottom-Up Targets

Sometimes, your targets will be set top-down, meaning you will start from the company's sales or profit goals and work backwards (a.k.a. down) to determine what must be true about each metric's target to achieve the broader company goals. For example, let's say your product team needs to produce 1,000 widgets a month to meet the planned sales demand. In that case, the top-down monthly target for "Widgets Produced" would be 1,000. You would still want to double-check this target against the current benchmark, but assuming you aren't asking for the impossible, this is a great way to set targets.

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Other times, your targets will be set bottom-up, meaning you start from your current benchmark and then ask your team to commit to a growth goal they believe they can hit. For example, let's say your sales team has a metric for "Sales meeting close rate." When you back-tested this metric, you found that the team is averaging a close rate of 16 percent over the last three months. Based on industry benchmarks and optimizations that your sales leader knows she can make, you both agree the number should be 20 percent, so that's where you choose to set the monthly target. This is an example of a bottom-up goal because it's driven by a desire to improve the metric itself, as opposed to a mandate driven primarily by a business goal.

Whether you opted for top-down, bottom-up, or a combination of the two, once you have determined your monthly targets for each metric, it's time to add them to the "Monthly Target" column of your Company Scorecard.

Before we close out this step, there are two final things you need to keep in mind when setting monthly targets. First, don't dictate to your team leaders what the targets should be. It's critical at this stage that they truly own both the metrics they are tracking and the goals they are targeting for each metric. You can push them a little bit, but avoid the temptation to set unrealistic

targets, because this will demotivate your team and cause them to lose trust in the process.

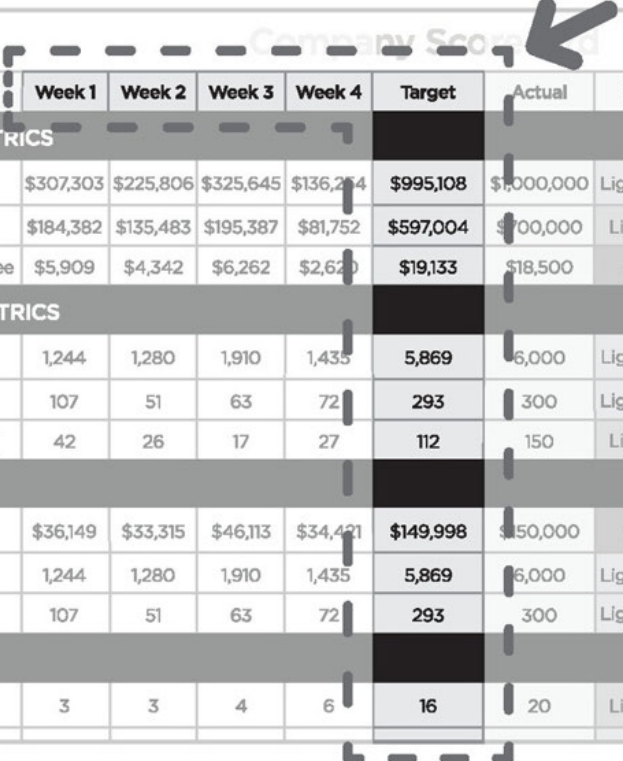
Second, understand that you will be wrong. I'm going to say it again: your targets will be wrong. On average, it takes companies at least one full quarter (twelve weeks!) before they're setting targets with any degree of accuracy. So, set this expectation with yourself and your team. The goal at this stage is not perfection. It's not even accuracy. The goal is to learn, and you will learn more about your company than you know today simply by going through this process.

Here's your mantra: Learnings today lead to accuracy tomorrow.

Step 5: Measure Actuals and Report Weekly

Once you have established the metrics you're tracking and set your monthly targets, it's time to start measuring those metrics. It doesn't matter when you input data into your scorecards—maybe you prefer to do it last thing on Friday to finish the week, or maybe first thing Monday so that you start the week with perspective. Do what works for you and your team; just be sure to remain consistent from week to week and establish clear cutoff times so that you don't count your data twice.

For example, our team inputs their data on Monday for the previous week, and we measure Monday through Sunday at midnight Central Time. You could go Sunday to Monday, or Wednesday to Tuesday. Again, it really doesn't matter. All that matters is that you stay consistent week to week and across all your teams.



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New Deals	3	3	4	6	16	20	Light Red	Lori Ashe	CRM	

At The Scalable Company, our team has turned this into a ritual. Every Monday, the first thing our leaders do is fill in their scorecards for the previous week. Next, they add or average (depending on whether the metric they're tracking is a unit number or percentage) the most recent week's data to the previous weeks' data, and then update the "actual" column with the most up-to-date snapshot of how each KPI is performing.

Once the weekly column is filled in and the "Monthly Actual" column has been updated, there's one last step, and it's probably the most important one of all: whoever is responsible for the metric needs to compare the "actual" with the "target" and determine whether they are behind, on track, or ahead of the goal. I'm a big, big fan of color coding because it makes it super easy to see, literally at a glance, how an individual metric—and even an entire team—is performing. So, on our team, they highlight the box depending on how the metric is doing.

Here are the color codes we use on scorecards at The Scalable Company:

Dark green means we are on track or even ahead of a goal. This is the color you most want to see, because it means your team is firing on all cylinders.

Lime green means we are behind if you simply compare actual to target , but it's either a seasonal issue or a momentary blip, and you expect to be dark green next week. In other words, all is well... nothing to see here.

Yellow means we are behind, but there's a plan to catch up and close the gap. In other words, "Things didn't go exactly as planned, but we have a plan to get back on track."

Light red means we're behind. We're not so far behind that we can't catch up, but we don't yet have a plan for closing the gap.



Company Scorecard										
	Week 1	Week 2	Week 3	Week 4	Target	Actual	Status	Owner	Source	Notes
EVERGREEN METRICS										
Revenue	\$307,303	\$225,806	\$325,645	\$136,254	\$995,100	\$1,000,000	Light Green	Amy Porter	ERP	
Cash Collected	\$184,382	\$135,483	\$195,387	\$81,752	\$597,000	\$700,000	Light Red	Amy Porter	ERP	
Revenue Per Employee	\$5,909	\$4,342	\$6,262	\$2,620	\$19,133	\$18,500	Green	Amy Porter	ERP	
NORTH STAR METRICS										
New Leads	1,244	1,280	1,910	1,435	5,869	6,000	Light Green	Liz Swann	CRM	
Meetings Booked	107	51	63	72	293	300	Light Green	John Dole	CRM	
Meetings Completed	42	26	17	27	112	150	Light Red	John Dole	CRM	
MARKETING										
Total Media Spend	\$36,149	\$33,315	\$46,113	\$34,421	\$149,990	\$150,000	Green	John Dole	Ad Platform	
New Leads	1,244	1,280	1,910	1,435	5,869	6,000	Light Green	John Dole	CRM	
Meetings Booked	107	51	63	72	293	300	Light Green	John Dole	CRM	
SALES										
New Deals	3	3	4	6	16	20	Light Red	Lori Ashe	CRM	

Dark red means we're behind and there's no real hope of catching up.

If I see a lot of green, I know things are good. I praise the team and leader for a job well done, but for obvious reasons, I don't ask a lot of questions. If it ain't broke, don't fix it.

If I see yellow, I don't panic, but I do probe a little deeper on what the team's plan is to catch up and get things back into the green. And in an ideal world, I don't even have to ask. At The Scalable Company, our managers know that if they mark a metric as yellow, they need to add some context in the "Notes" column on the Company Scorecard Template on the situation and their plan to catch up, because remember: no plan, no yellow. And in our world, you don't want to be "in the red" for long.

Assuming the team's plan is realistic and achievable, I tell them "Good work!" and move on with my day. To be clear, I don't like to see yellow, but if you're setting aggressive targets, you're going to see a lot of yellow. Probably more than any other color. In general, if I see yellow and I feel like we have a good plan to close the gap, I'm happy.

On the other hand, if I see a lot of red (light or dark), I'm less happy. Not only are things off track, but this is also a sign that my team doesn't know how to get back on track, or they don't believe they have the time or resources to execute a plan that would do so. Red is a sign that something has gone wrong.

When I see red, I ask questions. Lots of questions.

"Was this a failure of execution or a failure of planning?"

"What assumptions did we make that turned out not to be true?"

"What would need to be true that isn't true today, to instantly turn red to green?"

“What haven’t we tried that we should try? What is our Plan B, C, and D?”

And as much as I hate ad hoc “brainstorming meetings” (you’ll see why in the next chapter), I might even schedule a team meeting to see if we can quickly devise a plan to catch up, or if we need to “cut bait” and shift our strategy completely.

Needless to say, red isn’t my favorite color. But it’s during these “red seasons” when good teams become great. While it’s always nice to look at a scorecard and see nothing but green, it’s a special kind of feeling when you and your team are able to turn a critical metric from red to yellow and yellow to green.

Red is never fun, but it is a phenomenal teacher—so never, never, never brush over a red metric. Call it what it is: a failure. But at the same time, don’t dwell on it. Process the issue, review what you’ve learned, and turn the page. Because at the end of the day, it will be the reds that create the scar tissue your team needs to scale to the next level.



Company Scorecard										
	Week 1	Week 2	Week 3	Week 4	Target	Actual	Status	Owner	Source	Notes
EVERGREEN METRICS										
Revenue	\$307,303	\$225,806	\$325,645	\$136,254	\$995,108	\$1,000,000	Light Green	Amy Porter	ERP	
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By checking actuals against your targets each week and then marking the results (good or bad) clearly on a scorecard, your team is not only heading in the same direction, but you'll also have the tools and insights necessary to pivot and adjust before you get too far off course.

Can't we just automate this?

We talked about this in the "Core Principles" section of this chapter, but it's worth reiterating that our scorecard system is designed to be both manual and subjective. The data needs to be input manually each week, and the color-coding is subjectively set by the person who owns that metric, not by some objective formula or algorithm.

These are features, not bugs.

In other words, both the manual and subjective elements of the scorecard system are intentional. I'm blessed to have a really smart team. They know how to configure APIs and write formulas that could automate literally every aspect of The Scalable Company Scorecard system. And on more than one occasion we have invested many tens of thousands of dollars to do just that, only to abandon the supposedly more efficient, more accurate system for the slow, manual process I just showed you.

Red scorecards create the scar tissue your team needs to scale to the next level.

There are two reasons why this manual and subjective system is superior to automated and objective systems you might have tried in the past or are planning to try in the future.

First, manual scorecards yield greater insights. When your team is forced to interact with their numbers, they begin to truly know their numbers. They develop an almost sixth sense and can "feel" when the

data seems off, because they see the data as more than just numbers and percentages.

If you've watched the movie *The Matrix*, you probably remember the scene where Neo first "saw" the Matrix. At first, all he could see were long lines of code represented as 1s and 0s. But as his knowledge and skills improved, those 1s and 0s transformed into vivid pictures—and by the end, he could literally bend the Matrix to his will.

While not quite that extreme, the general concept will become a reality for your team. They may not be able to fly or stop bullets in midair like Neo, but by interacting with the data each and every week, they will begin to see pictures, patterns, and themes where everyone else just sees numbers.

But these insights won't happen without regular, intentional human interaction with the data itself. Contrast the manual scorecard process I just described with purely automated scorecards that pull in numbers and spit out pretty colors and graphs. Sure, these scorecards look nice, but over time, your people become divorced from what the numbers actually mean, and they lose the ability to add insights and commentary. When something breaks (which always happens, by the way), it can sometimes take weeks to notice the error because no one on your team has a sense of what the numbers "should be."

Second, manual and subjective scorecards promote a greater sense of ownership. When a formula on an automated dashboard says a given metric is yellow or green for a few weeks only to have it finish in the red, it's easy for the team to blame the formula. "We don't know what happened. According to the scorecards, everything was fine until just now. It's not our fault... we were just doing what the data told us to do!"

This may sound ridiculous, but I have heard nearly this exact comment, verbatim, from members of my own teams—and if you have led a team that leveraged automated scorecards, I'm willing to bet that you have too.

But when an individual is forced to look at the actual data, compare it to the target, and then make a judgment call on whether that metric is green, yellow, or red, everything changes. Now, it's no longer just about what the

data “says.” Now they start to factor in all the contextual details the data simply doesn’t know.

For example, the data might show that widget production was only off 10 percent last week, which would put it in the yellow, but you know it’s off 10 percent because a major component broke down at the end of the week, and it’s not likely to get fixed for at least another two weeks. So, while a formula might show this metric as yellow or even a “nothing to see here” light green, you know it’s a bright, flashing red that should be escalated to the highest levels. This is the difference between data and insights.

Similarly, the data might show that the “New qualified leads” metric is ahead of its target for the month because it’s at 60 percent of the goal and it’s only the start of the second week. An automated dashboard solution would mark this metric as green, but your Head of Marketing, who is responsible for this metric, knows that the new ad campaign they were planning to launch is behind schedule and won’t launch this month, so she marks it as yellow and requests a meeting to propose alternate ad strategies.

This is why manual matters.

Not only will your team actually know their numbers, they’ll also take ownership of those numbers rather than be “surprised” at the end of the month when the goals aren’t hit and they “just aren’t sure what went wrong.”

So, resist the urge to build automated scorecards. Yes, it can be done. But the experience and insights your team will gain by entering their data manually and then subjectively selecting their status color codes will more than offset any time they might have saved by tasking a computer to do the dirty work of scale.

Scorecard-Based Leadership

Believe it or not, once your Team and Company Scorecards are in place, leadership becomes a fairly simple process, and your job becomes much easier and much more scalable. That is the point of this book and this process, after all. Remember, we are moving from YouOS—where you do all the work and thinking and planning—to Scalable OS, where your team is empowered and able to scale without you, and scorecard-based leadership is a critical component of that process.

As a scorecard-based leader, your job is to assist your team in prioritizing and executing projects that turn red to yellow and yellow to green. That's it.

Assuming you and your team have selected the right metrics, then if you can keep your team focused on only those projects that turn red metrics into yellow and yellow metrics into green, your company will scale. It's not a matter of if, it's simply a matter of when.

Having the right answers got you to today, but asking the right questions will get you to the future.

But that's not all. Once your team has shown an ability to turn red metrics to yellow and yellow metrics to green, that's when you get to step in and turn green metrics back to yellow. No, that's not a typo. As a scorecard-based leader, it's not enough to help your team turn red to yellow and yellow to green; you also need to encourage your team to continually raise their standards. Practically speaking, this means increasing your Monthly Targets in such a way that what was once considered green is now seen as yellow.

When this happens, celebrate it! Announce to the entire company that after hitting your targets several weeks or months in a row, one of your teams has decided to “raise the bar” on a monthly target for an important metric and go “green to yellow.” We'll talk more about when and how you'll execute these color-changing projects in a future chapter, but for now, just remember to

celebrate any time a critical metric goes from red to yellow, yellow to green, and most importantly, green to yellow.

Once you have documented your company's "algorithms" (Chapters 2–4) and have a scorecard-based "user interface" and common language, scaling your business becomes very, very simple. Note that I didn't say easy, I said simple. If building a business were easy, everyone would do it. It's never easy. But scaling is simple if you follow the steps I have given you. That said, there's one last thing I want you to know before we close out this chapter, and it's maybe the most important point of all, so please, please pay attention.

It is not your job to know how to turn red to yellow and yellow to green.

I'm going to say that again because it's so, so important.

It is not your job to know how to turn red to yellow and yellow to green.

If you have a team, and if you are compensating them fairly, then you have every reason to expect that they will know how to close the gaps between where their metrics are today and the target goals they set for themselves. Yes, you should help them by providing your own ideas, tapping your own network, and freeing up additional budget and cash flow when you can. Again, your job is to help execute projects that turn red to yellow and yellow to green. But you don't always have to know how to do it, nor should you feel obligated to do any of the execution itself.

In my experience, this is one of the hardest lessons for entrepreneurs to learn, but it is absolutely essential if you want to build a business that can scale without you. Yes, having the right answers got you to where you are today. But in the future, it will be asking the right questions to the right people that gets you where you want to go.

Company Scorecards will equip you with the knowledge and insights to ask the right questions, at the right time, to the right people. Once you have your scorecard in place, congratulations! You are officially an instrument-rated entrepreneur, and your business will be able to scale without you needing to have all the answers.

Action Steps: Company Scorecards

Once you have documented your company's value creation process and established roles and areas of accountability, the next step is to build a Company Scorecard so that you can track and measure how your teams and Value Engines are performing. Here's how we do that:

Access the Company Scorecard template at [GetScalable.com/resources](https://getscalable.com/resources) and duplicate it into your Google Drive.

Select your scorecard categories (ex. Evergreen, North Star, Teams/Departments).

Select three-to-five key metrics per category using the "Beach Vacation Scenario Question" and Value Engines for inspiration.

Back-test your metrics at least one month (ninety days is even better).

Set your Monthly Targets (a.k.a. Goals) for each metric.

Track weekly (weekly data inputs, Monthly Actual, and Status columns).



NOTE

North Star metrics should be left blank for now. This section will be filled in during your first Quarterly Sprint Planning session, which we'll cover in Chapter 6.

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Defining Your Company's Meeting Rhythm

Ben Horowitz, the well-known CEO, author, and venture capitalist, gave one of my favorite quotes about company communication and its importance. He said,

“Perhaps the CEO’s most important operational responsibility is designing and implementing the communication architecture for her company. Absent a well-designed communication architecture, information and ideas will stagnate, and your company will degenerate into a bad place to work.”⁴

Did you catch that?

The “most important operational responsibility” for a CEO is not sales, marketing, or product. It isn’t even big-picture concepts like setting the company’s goals and strategy. No, “the most important operational responsibility” is designing and implementing the company’s communication architecture.

This may sound a bit extreme. You may even disagree with Horowitz on where he places communication in the broader spectrum of importance. But what you can’t argue with is:

1) Communication is a critical aspect of any company’s success at scale, and...

2) The responsibility for communication belongs with the CEO—and if you’re reading this right now, that’s probably you .

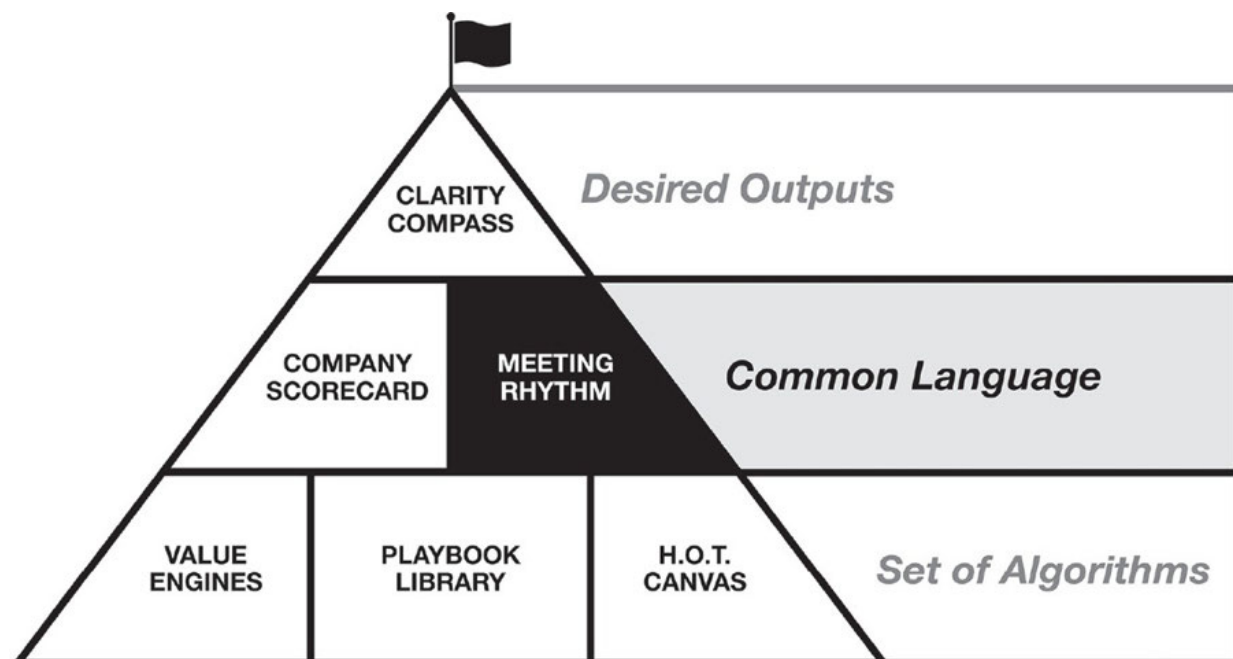
Only you can set the tone for the entire company.

Only you can communicate from the top what is going on.

Only you can confirm what is truly important and worthy of focus right now.

But before we dive deep into communications and meeting, let’s do a quick recap of where we are in this journey together. Our mission is to build and install a Scalable Operating System for your business. To do that, we first needed to document the set of algorithms that form the source code of your company OS. We did that in Chapters 2–4 when we mapped your Value Engines, documented your Company’s Playbooks, and assigned clear roles and accountability using the High-Output Team Canvas.

Then, in the last chapter, we moved into architecting the company’s common language (or “communication architecture,” as Ben Horowitz refers to it), which started by creating a Company Scorecard. Now it’s time to round out our common language by architecting your company’s meeting rhythm.



By the time you finish this chapter, your company will have an established meeting rhythm which ensures the right information is shared with the right people at the right time, allowing your teams and individuals to make data-driven decisions that lead the company toward its goals.

Are Your Meetings a Waste of Time?

How would you describe your current meeting structure?

Do you open your computer on Monday morning and see a completely blocked calendar filled with back-to-back-to-back meetings? Are your conference rooms and Zoom rooms constantly full? When you really think about it, would you describe your meetings as boring? Interruptive to your work? A waste of time?

If you answered anything other than, “Our meetings are the most valuable time I spend with my team,” then this chapter is going to be critical to our goal of both installing and running Scalable OS at your company.



Meeting Rhythm Diagnostic

In order to form a new plan, we will diagnose the current state of your company's meetings. Put a check mark next to each question you would answer "yes" to.

- Do you have more than five recurring meetings each week?
- Are there multiple meetings on your calendar that are labeled something like "checking in" or "quick chat"?
- Do you often have meetings that are scheduled one on top of another for hours at a time?
- Are meetings scheduled without a posted agenda or flow?
- Do you have multiple meetings that last more than an hour in any given week?
- Is it hard to find space on your calendar to do "real work?"
- Do you spend the first ten-to-fifteen minutes of each meeting just figuring out what to talk about?
- Do people tend to multitask when in meetings?

Add up your check marks.

If you have two or less checks, your meeting rhythm is probably fine. It could likely be optimized, but it isn't a constraint to scale.

If you have three-to-five checks, your meeting rhythm needs to be optimized if you want to scale to the next level.

If you have six or more checks, your meeting rhythm is a serious constraint to both your company's ability to scale and your culture as a whole.

The fact is, meetings don't have to be boring, and they absolutely shouldn't be a waste of time. Done right, meetings should be the most valuable, highest-leverage time you and your team spend together—and in this chapter, we're going to install a meeting rhythm that transforms your company and team meetings from the most dreaded times of the week to the times you and your team look forward to the most.

The Four Types of Meetings

There are four types of meetings that all entrepreneurs should leverage when architecting their company's meeting rhythm: Planning meetings, Review meetings, Check-in meetings, and Ad hoc meetings.

Planning meetings are highly intentional, half-day, full-day, and even multiday strategic planning sessions. These are the most important and valuable times a team will spend together because these are the meetings where goals are set, priorities are established, and projects are greenlit. Planning meetings typically have a quarterly cadence, although some types of planning meetings may only need to occur once every year or two.

Review meetings , as the name suggests, are designed to review the progress the company is making toward the goals it set during the planning meeting. These meetings, which are typically held monthly, can last anywhere from ninety minutes to a full day, and are designed to give leaders the information and insights they need to determine whether any changes need to be made to the current plan or they're good to "stay the course."

Check-in meetings allow for rapid sharing of information and insights. These kinds of meetings are typically held weekly, and include Team Scorecard meetings, company all-hands meetings, and manager/team member one-on-ones. While big decisions are sometimes made during a check-in meeting, they are primarily designed for accountability and information-sharing in preparation for a more in-depth review meeting.

Ad hoc meetings are the one-off meetings that everyone seems to hate—but when done right, ad hoc meetings can be useful and important ways to move work forward. They can include project kickoff meetings, brainstorming meetings, and what we call "black swan meetings" (which are the meetings you need to have when the you-know-what hits the fan). The key to using ad hoc meetings effectively is that, with the exception of project kickoff meetings, ad hoc meetings should happen very infrequently. If you find yourself having a lot of ad hoc meetings, this is usually a sign that something didn't go quite right at the planning meeting stage.

Now that you understand the four basic meeting types, let's discuss how you can incorporate each type into your company's meeting rhythm.

But First, Stop Annual Planning

You may have noticed that none of the above meetings include an annual plan. That was intentional, and before you start architecting your meeting rhythm the Scalable way, there's a massive mindset shift you're going to have to make. It's this: stop doing annual planning.

Yep, you read that right. I want you to stop doing annual planning.

Now, I realize this sounds crazy to most entrepreneurs, because everyone from the dawn of entrepreneurial time has said that companies absolutely need to do annual planning every single year, right?

I disagree.

In fact, I'll go one step further. Annual plans aren't just unnecessary, they flat out suck. There, I said it: annual plans suck.

And they suck for two very important reasons:

First, annual plans suck because they are too long to be predictable. A year is simply too much time for entrepreneurial companies to accurately predict. Just think about all the entrepreneurs (you might be among them) who spent weeks—even months—planning for 2020 only to have those precious plans dashed when a pandemic shut down the entire world.

This is the problem with annual plans. Sure, the massive Fortune 500 companies who have decades' worth of data and entire floors filled with analysts can probably predict what will happen over the next year with some degree of accuracy—but I can't, and your average bootstrapped company can't, either.

Second, annual plans suck because they're too short to do anything truly meaningful. Think about it: how much can you actually get done in a single year? The media likes to talk about entrepreneurs and companies as “overnight successes,” but if you look under the hood, you'll almost always find a team that has been working at it for years (plural), not months.

So, if annual plans are too long to be predictable but too short to be meaningful, then they're simultaneously unhelpful and un-motivating.

That's why at The Scalable Company (as well as all our portfolio companies) we ignore twelve months as a unit of measurement. Instead, we have moved beyond the annual planning mindset and implemented what we call the "Scalable Planning System." This system helps companies plan in a way that enables them to scale—and doesn't tie the teams down with unnecessary meetings or unproductive planning sessions.

The Scalable Planning System

Just about every book written on the subject of strategic planning and goal setting follows the same cadence:

First, set a five- to ten-year mission or vision.

Then, build an annual plan (usually in December) that gets you closer to that mission.

Next, review and adjust that plan monthly.

Finally, get to work until it's time to repeat the process the following December.

Sound familiar?

On the surface, this planning framework sounds good, which is probably why everyone teaches it this way. But in more than twenty years of starting and running entrepreneurial companies, I don't know anyone who has actually executed this framework with any degree of accuracy.



SIDE NOTE

Just to be clear, I'm not saying a company's mission or purpose isn't important, nor am I suggesting that you shouldn't have one. On the contrary, in the next chapter, I'll show you the right way to set and communicate your company's long-term vision. What I am saying is that five- and ten-year goals are too long to be helpful for the strategic planning process, which is the main subject of this section.

I'll admit, this model is better than nothing. If you're choosing between not planning and doing the above, then do the above. But there are still three big problems with this supposedly "tried and true" strategic planning framework.

First, ten-year goals are just too long for most entrepreneurial companies. Don't get me wrong, I love a "big, hairy, audacious goal" (as Jim Collins described in his book *Good to Great*) as much as the next guy, but can we seriously think we know where we want to be in ten years?⁵ If I can't take these goals seriously, how I can expect my team to take them seriously? Chances are, the first five years will be spent ignoring the goal because it's too far off to be relevant, and the next five years will be spent not thinking about it because it's irrelevant.

Second, as we've already discussed, annual plans are unhelpful. They're too long to be predictable and too short to be meaningful, which is why most annual plans (just like most New Year's resolutions) are abandoned by the end of February.

Finally, while I'm all for monthly business reviews (we do them as a part of our meeting rhythm), you can't wait an entire month to check your numbers. As we discussed in Chapter 4, metrics need to be reviewed weekly, but most strategic planning frameworks stop at monthly.

For these reasons, we made sure the Scalable Planning System was different. The Scalable Planning System is a proven, four-part strategic planning and meeting cadence where companies...

1) Plan in three-year cycles (instead of ludicrously long five- and ten-year cycles)

2) Execute in ninety-day sprints (instead of inaccurate annual plans)

3) Measure and report in weekly scorecard meetings (instead of waiting a full month to know what's going on), and, if needed...

4) Pivot monthly (instead of abandoning the plan completely when something isn't going quite right)

Here's how it works:

First, a leadership team gathers at a one-day strategic planning offsite meeting that we call a "Clarity Day." It is during this Clarity Day that the three-year target is set, along with the company's purpose, core values, and strategic anchors (we'll talk more about these four elements in Chapter 7).

Once a company's three-year target is set, it can then be broken down into twelve ninety-day sprints. These twelve ninety-day sprints are further broken

down into approximately twelve weekly measurement intervals, which is where we get our mantra:

Plan in three-year cycles,

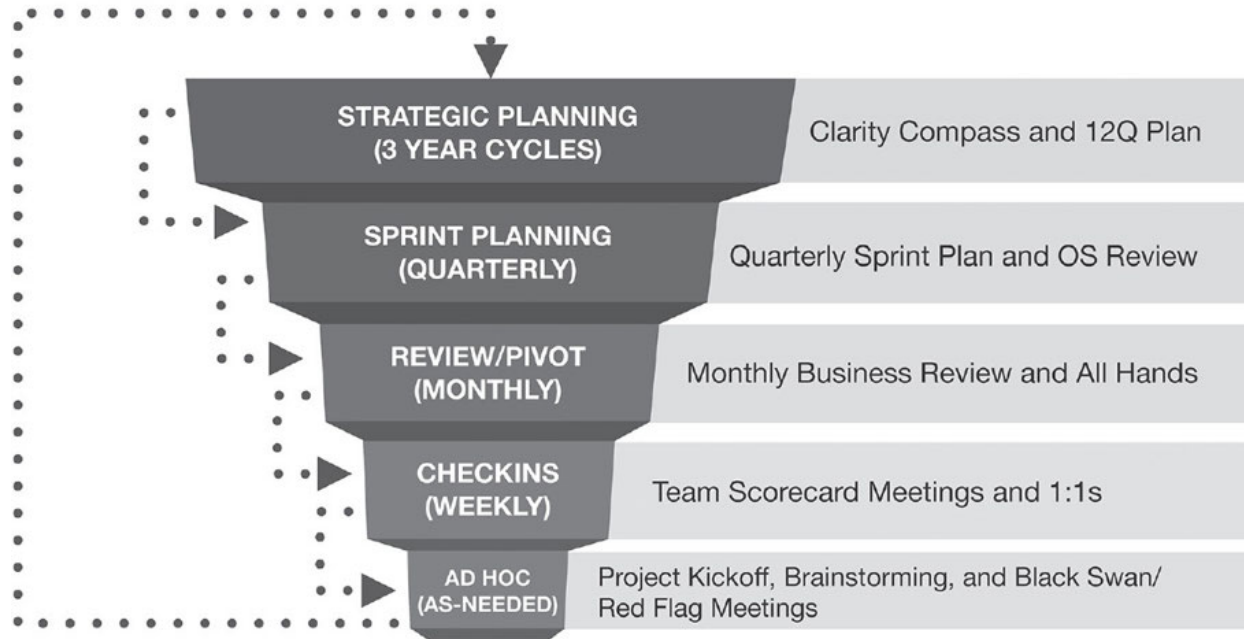
Execute in ninety-day sprints,

Measure using weekly scorecards, and...

Pivot monthly (if needed).

When you put it all together, you should have a meeting rhythm that looks something like this...

THE SCALABLE MEETING RHYTHM



Now that you have a high-level view of the structure of the Scalable Planning System, let's break down each part and see how they fit into your broader company meeting rhythm.

Three-Year Planning Cycles

At the core of the Scalable Planning System is the Three-Year Target.

Unlike the five- to ten-year “big, hairy, audacious goals” some companies set, a Three-Year Target is a crystal-clear business objective that outlines what the company's top line revenue, bottom line profit, and total enterprise value will be three years from the date the goal is set.

It's worth noting that since we don't follow an annual planning cadence, Three-Year Targets can be set at any time during the year, so you don't have to wait until December or January to start this process.

I'm not going to cover the Clarity Day in this chapter because it's covered in depth in Chapter 7, where we talk about building a Clarity Compass. For now, all you need to know is that once the Three-Year Target is set, the rest of the Scalable Planning System can be put in motion.

Quarterly Sprint Planning

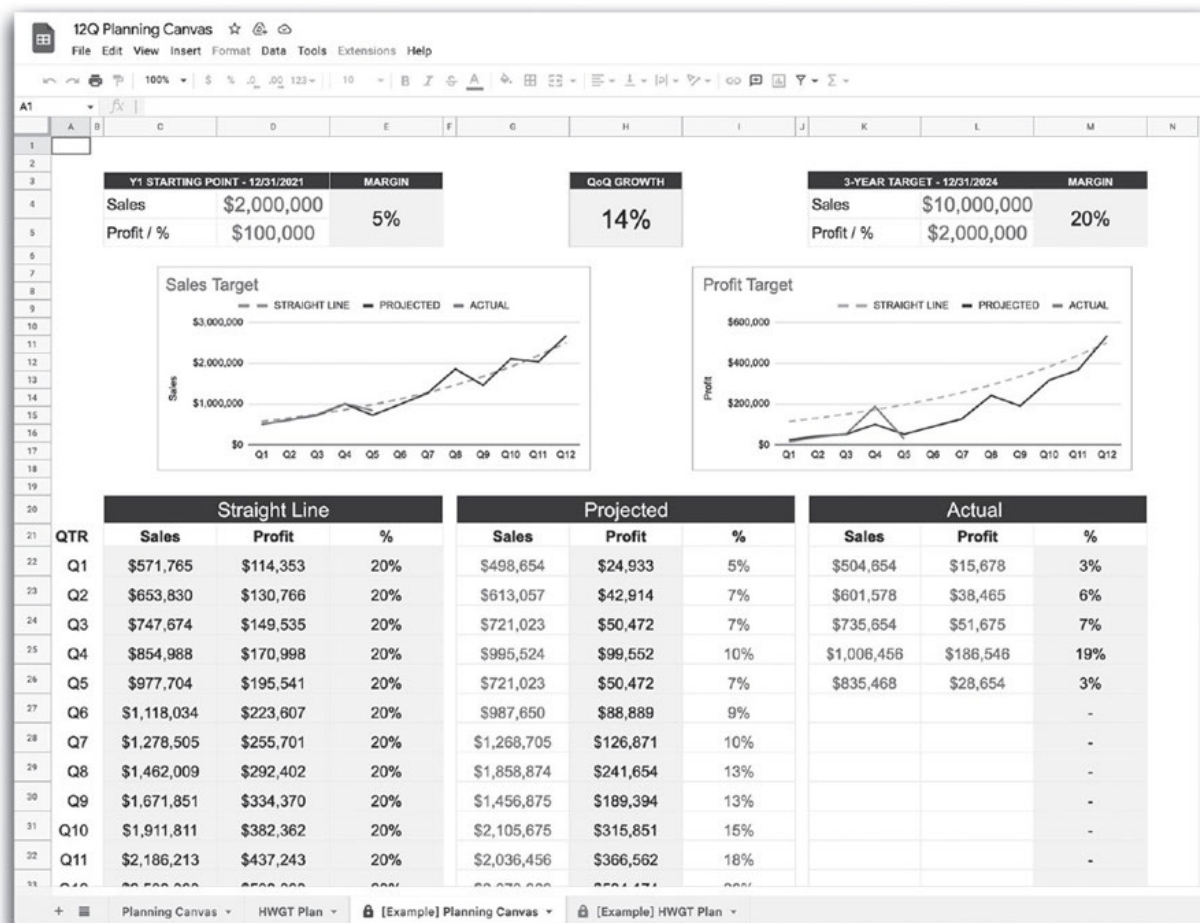
How do you eat an elephant? The answer, of course, is one bite at a time.

I freely admit that this expression is a bit trite (and outright disgusting, if you think about it too long), but the lesson is clear: when you're faced with an overwhelming objective, the best way to tackle it is one step at a time.

While we have narrowed our planning scope down from a five- and ten-year cycle to a more manageable three-year cycle, three years is still a long time for most bootstrapped, entrepreneurial companies. Said another way, if you're setting aggressive goals (which you should be doing), your Three-Year Target should still feel like the "elephant." Fortunately, we're going to break that three-year "elephant" into twelve quarterly "bites"—or as we like to call them, "execution sprints."

We use a tool called the 12Q Planning Canvas to break our Three-Year Target into twelve quarters by revenue and profitability. You can access this tool as well as other valuable resources at:

[GetScalable.com/resources](https://getscalable.com/resources)



Once our three-year plan has been broken into twelve ninety-day chunks, we shift from planning mode into execution mode. Every ninety days, you and your leadership team will hold a one-day Quarterly Sprint Planning meeting with the goal of creating your Quarterly Sprint Plan (QSP) for the next three months. Here are the basic steps to hosting this meeting and building a QSP:

Step 1: Review your company financials and determine whether you are on track or behind on your Three-Year Target. This sets the tone and lets everyone in the meeting know if this next quarter will be “business as usual” or you’re going to need to do something special to get things back on track.

Step 2: Review the Company Scorecard and identify the North Star metrics that are most worthy of your team’s focus for the next ninety

days. Oftentimes these are “yellow” and “red” metrics that everyone agrees must be turned “green” if the company is going to achieve its growth goals for the next quarter, but sometimes they’re brand-new metrics that haven’t been on the Company Scorecard in the past. We call these critical metrics North Stars, because they will serve as the “guiding light” when the time comes to set priorities and approve projects in the next quarter. And speaking of setting priorities and approving projects, that’s exactly what the next step is all about.

Step 3: Brainstorm and greenlight the five-to-seven “key initiatives” your teams will execute over the next ninety days to improve those North Star metrics. Once you are clear on your North Star metrics, the next step is to brainstorm the projects (a.k.a. key initiatives) that you and your team believe, if completed, will improve your North Star metrics and get them into the “green.” Just to clarify, key initiatives are new and significant projects that require additional effort beyond the usual whirlwind of business. Said another way, with rare exceptions, a key initiative shouldn’t already be someone’s job.

The first step in selecting your key initiatives for a given quarter is to look at the key initiatives that are still active and open. More times than not, these key initiatives will simply roll into the next quarter, but sometimes—painful though it may be—a legacy key initiative needs to be back-burnered or canceled completely to make room for something new.

As a general rule, a single team/department should take on no more than three key initiatives in a given quarter, and most Quarterly Sprint Plans average between five and seven for the company as a whole. If your leadership team is lobbying to greenlight more than ten key initiatives, that’s usually a sign that you’re deviating from your North Star metrics or selecting too many smaller projects and spreading your efforts too thin, when you would be better served doing fewer but more impactful projects.

Step 4: Select a theme or “rallying cry” for the quarter that keeps your team focused and motivated. Once you are clear on your North Star metrics and the key initiatives for a given quarter, it can be helpful to distill these elements into a single goal for the quarter, or what we like to

call our “Rallying Cry.” Some example themes we have used in the past (along with the goal and North Star metrics) included:

“Expand the Brand”

- Goal: Increase our social media following and email list size.
- North Star metrics: New Instagram Followers, New YouTube Subscribers, New Email Subscribers

“Stack the Cash”

- Goal: Improve margins and build up the company’s cash reserves so we can pursue some longer-term projects.
- North Star metrics: Average Client Value, Recurring Payments Canceled/Reduced (in dollars), Savings Account Value (in dollars)

“Bang the Gong”

- Goal: Increase sales of our high-ticket programs by rolling out a consultative sale.
- North Star metrics: Average Client Value, Demo Meetings Booked, New Marketing Qualified Leads (MQLs)



The best rallying cries are simple, which is why we've always followed the "T-Shirt Rule" when setting the quarterly themes at our client and portfolio companies. The T-Shirt Rule states that a rallying cry should be able to fit on the front of a T-shirt and be read from at least twenty feet away.

While we never intended anyone to take this rule literally, some of our clients have done just that. After selecting their theme for the quarter, they had a graphic designer produce a custom tee based on the rallying cry, and then paid to have the shirts printed and distributed to every member of their team. This step is obviously more time-consuming and expensive than announcing the theme on a PowerPoint slide during the company All Hands meeting, but I'd wager the extra focus and commitment it generates more than pays for the cost of a few dozen (or even a few hundred) T-shirts.

These themes may seem a little corny, but they're highly effective in keeping everyone at the company aligned and focused on the same goal. For example, I've been guilty of discovering new ideas and "shiny objects" and then asking my teams to stop what they're doing to implement the "new thing." Now, they have a framework to push back by asking,

"Will this new sales automation tool really help us 'Expand the Brand?'"

Or even...

"Are you sure we roll out an untested ad campaign during a quarter where our theme is 'Stack the Cash?'"

Or my favorite of all time (and yes, this really did happen)...

"How is a new podcast going to help us 'Bang the Gong' this month?"

If a rallying cry can keep my "entrepreneurial ADHD" in check, I promise they'll prevent people like me (including you!) from derailing your company's strategic plans. (In case you were wondering, we eventually did launch that podcast. It was greenlit during a quarter when the rallying cry was "Expand the Brand," and we were able to pursue that goal only after we

had successfully “Banged the Gong” for two straight quarters. See, this stuff does work!)

Step 5: Review your Company Operating System and make any necessary adjustments and upgrades to your Company Scorecards, High-Output Team Canvas, Playbooks, Value Engines, and Clarity Compass. Operating systems are living documents, so the last step of any Quarterly Sprint Planning meeting is to ask, “What changes, if any, need to be made to the core components of our company operating system as a result of this planning meeting?”

The most obvious change is that the Company Scorecard will need to be updated with the new North Star metrics, but it’s also common for the High-Output Team Canvas to be updated with new critical accountability bullets (CABs) or even new roles if a key initiative triggers a promotion or new hire. It’s also common for key initiatives to trigger a significant change to an existing Value Engine or the creation of a completely new one.

Finally, though rare, some Quarterly Sprint Planning meetings will result in an adjustment needing to be made to the company’s overarching goals and vision, including its Three-Year Target and Clarity Compass. But since these instances are so rare and we’ll be diving into the Clarity Compass in the next chapter, we’ll defer any further discussion on this topic until Chapter 7.

In terms of timing, QSP meetings are typically held either the last or second-to-last week in a given quarter, because at that point you should have a sense of how the quarter will end and the steps you and your team will need to take to close any gaps in your three-year plan. And while it’s not the end of the world if you have to wait until the first week in a quarter to hold your QSP meeting, it’s generally better to plan too early in the previous quarter than too late in the current quarter.

We use a tool called the Quarterly Planning Canvas to plan out each sprint and capture all the relevant details, including Theme, North Star

metrics, and Key Initiatives. You can access this tool as well as other valuable resources at: [GetScalable.com/resources](https://getscalable.com/resources)

The image shows a 'Quarterly Planning Canvas' template. At the top, it says 'QUARTERLY PLANNING CANVAS' followed by 'COMPANY: _____' and 'TIME PERIOD: _____'. The canvas is divided into several sections. On the left, there is a large grid labeled 'THEME/RALLYING CRY'. To its right is a table labeled 'NORTH STAR METRICS' with four columns: 'METRIC', 'ACTUAL', 'TARGET', and 'GAP'. Below these are three vertical sections labeled 'PILLAR 1', 'PILLAR 2', and 'PILLAR 3', each containing a 'KEY INITIATIVES' grid. A vertical label 'STRATEGIC PILLARS' is on the far left. At the bottom, there is a copyright notice for 'The Scalable Company' and the 'scalable' logo with the website 'scalable.co'.

QUARTERLY PLANNING CANVAS COMPANY: _____ TIME PERIOD: _____

THEME/RALLYING CRY

NORTH STAR METRICS

METRIC	ACTUAL	TARGET	GAP

STRATEGIC PILLARS

PILLAR 1

KEY INITIATIVES

PILLAR 2

KEY INITIATIVES

PILLAR 3

KEY INITIATIVES

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Also, while I realize it isn't always possible for teams to gather in person, this is one meeting where I would do everything possible to get everyone on your leadership team in the same room. During the COVID-19 lock-downs, we did our QSP meeting online, and while we made it work, the team was exhausted and screen-weary by the end. So yes, Quarterly Sprint Planning can happen virtually, but it's far less effective—and frankly, far more exhausting.

If you must hold a virtual QSP meeting, my suggestion is that you do two half-day meetings rather than one full-day meeting. After a few hours on Zoom, even the most remote-friendly teams can become fatigued, and this is one meeting where you really need to stay sharp.

Monthly Business Reviews

If the quarterly meetings are all about strategic planning and goal-setting, then monthly meetings are that opportunity to review and pivot.

At this point, we have our Quarterly Sprint Plan, so the course has been set.

We've identified our North Star metrics...

We've selected our key initiatives...

We've rallied everyone around a unified theme...

But now what do we do?

Just wait until the end of the quarter and say, "Oh, I wonder how we did?"

Of course not.

That's why we also need a monthly meeting rhythm that will give us a chance to check in and see how things are progressing so we can make any necessary shifts and pivots.

In our experience, monthly is the ideal review period because you have enough data to make an informed decision, but still enough time (especially during the first two months in the quarter) to alter course if needed.

At The Scalable Company, the type of meeting we leverage to do this is the Monthly Business Review (MBR). MBRs last anywhere from ninety minutes to a half-day, and can run as long as a full day if things are really off track. As a general rule, the attendees for the MBRs are the same as the Quarterly Sprint Plans, but there are times when it makes sense to ask other team members to join the meeting if they have something specific to add that's relevant to an important key initiative or discussion topic.

The agenda for a Monthly Business Review is simple:

First, you review your company financials and scorecards for the current month to determine whether you're ahead, on track, or behind your goals for the quarter. If you're on track or ahead, this meeting is usually brief. If you're behind, then settle in, because this could take a while.

Next, each team leader provides a status report on the key initiatives they are accountable for and makes a recommendation to 1) stay the course, 2) pivot or even back-burner the project, or 3) double down on the project because it's showing early signs of success.

Finally, after hearing everyone's recommendations, the team discusses each recommendation and makes any necessary pivots or resource reallocations, and agrees on how best to communicate the changes (if needed) to the rest of the team.

In an ideal world, all the goals you set are on-target and all projects you greenlit are on schedule, and the Monthly Business Review wraps in thirty minutes with a great-big group high-five. But just so your expectations are appropriately set, I should probably tell you that this has happened a grand total of zero times in all my years as a CEO.

The world is never ideal, and the truth is, if every single goal and initiative is on-target, that's usually a sign you have set your targets too low. This is why I suggest setting aside at least ninety minutes on your calendar for the Monthly Business Review meeting, and you might consider blocking off two or even three hours if you have reason to believe you'll be off track.

The nice thing about Monthly Business Reviews is they only need to be scheduled during the months when you don't have a Quarterly Sprint Planning meeting, because the first part of every QSP is recapping what happened in the previous quarter, which will include the most recent month. So, while these meetings can be time-consuming, it's time well spent if it yields a breakthrough that gets a losing quarter back on track.

The Company-Wide All Hands Meeting

In addition to the Monthly Business Review, the other meeting you should hold monthly is the company-wide All Hands meeting. The role of an All Hands meeting is to update your team on the goals the company has set, the projects the company has greenlit, and the progress the teams are making toward those goals. It's also a great opportunity to explain any pivots or changes, which is why the All Hands meeting should follow the Monthly Business Review on the first and second month of the quarter, and the Quarterly Sprint Planning meeting on the third month of the quarter.

After Quarterly Sprint Planning meetings, you should announce the results of the quarter and roll out the new theme, success metrics, and key initiatives. It is absolutely essential that All Hands meetings include the entire team so that everyone can buy in. It should be led by you, the CEO, so that everyone knows the plans are coming from you and that they are what your company will be working on that quarter.

Weekly Scorecard Review Meetings

If Quarterly Sprint Planning is about goal-setting and strategic planning, and the Monthly Business Review meetings are about giving yourself the opportunity to pivot, then weekly meetings are all about the check-in. Weekly check-in meetings are also known as scorecard review meetings because their goal is simple: review the Team Scorecard. For leadership teams, this means reviewing and discussing the Company Scorecard you built in the previous chapter, but functional teams and departments will follow a similar format utilizing their Team Scorecards.

With rare exception, major changes and pivots should not be made during weekly check-ins. These kinds of decisions are reserved for the Monthly Business Review and Quarterly Sprint Planning meetings, which should

never be more than a few weeks away from any weekly check-in meeting. If there's a major issue that simply can't wait until the next MBR or QSP, an ad hoc meeting can be scheduled, assuming the issue is truly important and urgent enough to merit its own meeting. Cases like these should be the exception, however, so by using this filter, you'll have far fewer ad hoc meetings and a lot more time to focus on the tasks at hand.

Instead of big pivots and changes, weekly check-ins are a time to gather information, process issues, and break through bottlenecks, which is why they should be completed in ninety minutes or less. For most companies (including ours), weekly check-in meetings are held early in the week—usually Monday or Tuesday—but there isn't one perfect way to do it. The key is to be consistent. Put a day and time on the calendar and, barring any major holidays or world events, hold these meetings at the same time every week.

Here is a basic overview and agenda of the weekly check-in, Team Scorecard Meeting:

First, everyone opens with a big win(personal or professional) from the previous week. This takes ten-to-fifteen minutes depending on the size of the team, but sets a positive tone and allows team members to get to know one another and bond over things outside of business.

Next, the team leader should allocate forty-five minutes to review and discuss the scorecard itself—specifically those metrics that are yellow, light red, and dark red. For metrics that are “yellow” (i.e., off track but with a plan to catch up), the discussion should be around the plan to get that metric back to green by the end of the month. This discussion should be led by the metric's owner, and any requests for additional resources or personnel should be made and approved at this time.

For metrics that are “light red” (i.e., off track, able to catch up, but with no plan or idea how to catch up) or “dark red” (i.e., off track and unable to catch up), the team leader can decide whether this scorecard meeting is the best place to discuss a catch-up plan, or if an ad hoc meeting will need to be scheduled at a different time. Also, if there is time, major projects and key

initiatives can be reviewed and discussed during weekly scorecard meetings, but these typically come up organically during the scorecard discussion time.

Once the scorecard has been thoroughly reviewed, the team leader should allocate fifteen minutes for everyone on the team to report on their “Big Three” for the coming week. These are the three most important items on each team member’s to-do list, as well as the status of their Big Threes from the previous week. This is not only good for accountability, but also gives everyone an opportunity to question one another’s priorities and double-check that the team’s activities are aligned with the company’s stated goals and metrics (i.e., turning “red” and “yellow” metrics—especially North Star metrics—“green”).

Finally, with the time remaining, the team should process any bottlenecks and opportunities that came up during the meeting, and then once everything has been processed (or once you’ve run out of time) the meeting ends.

Again, this meeting should only last sixty-to-ninety minutes. If it goes longer, that’s usually a sign that you’re shifting into strategic planning mode or that another, ad hoc meeting should be scheduled at a different time.

Death By Meeting?

If you’re thinking, Wow, this sure seems like a lot of meetings, you aren’t alone. This is the response I hear from most of our clients when I lay out the Scalable Planning System and meeting rhythm. But if you take a moment and do the math, you’ll see it’s not as much time as you think.

Let’s run the numbers together:

First, there are the Quarterly Sprint Planning meetings. These meetings are designed to take an entire day, so that’s eight hours per meeting, and 32 hours per year.

Then, there are the Monthly Business Reviews. Depending on how the month went, these can be anywhere from thirty minutes to three hours, so let's be conservative and assume it averages out to two hours per meeting. But remember, four of the MBRs are already factored into the Quarterly Sprint Planning sessions, so that only leaves eight additional MBRs. If we assume each MBR lasts two hours, then we're up to 16 total hours in review meetings for the year.

If we layer on a monthly All Hands meeting, that's another 12 hours for the year.

Lastly, we come to the weekly meetings. Assuming you aren't having to lead a functional team/department while you're also leading the company, the only weekly meeting you should have is the Company Scorecard leadership team meeting. These last anywhere from sixty to ninety minutes, but if we assume each meeting goes the distance, then you would have a ninety-minute meeting every week, which adds up to 78 hours for the year.

When you start having better meetings, you won't need as many meetings.

If we total up all the meeting hours I just mentioned, you and your executive leaders will be in meetings a grand total of 216 hours out of every year. That may seem like a lot, but assuming a forty- to fifty-hour work week (and let's be honest, when was the last time we put in just forty hours?), that puts your total in-meeting time at around 10 percent.

Yep... just 10 percent.

Of course, there will be other meetings that come up. But here's the beautiful thing about the Scalable Planning System and meeting rhythm: when you start having better meetings, you won't need as many meetings.

The one-off “got a minute?” meetings and “can I put some time on your calendar?” meetings start to vanish, because people know they’ll be able to bring up an issue during the team’s weekly check-in or the Monthly Business Review. So, while it’s fresh on your mind, take a minute and schedule out your Quarterly Sprint Plans, Monthly Business Reviews, company-wide All Hands meetings, and even your weekly scorecard review meetings for the next four quarters. If you do, you’ll see there is still a massive amount of calendar space left to do “real work.”

And remember, strategic planning, reviewing scorecards, and facilitating company All Hands meetings all count as real work. In fact, as your company scales, it just might be the most important work you do.

Action Steps: Set Your New Meeting Rhythm

Now that your scorecards are created and you’re tracking all your most critical success metrics on a weekly basis, it’s time to establish a meeting rhythm where you can review this data and determine the necessary actions, if any, that need to be taken to stay on-target. Here’s how we do that:

Block off dates for (at least) the next four Quarterly Sprint Planning Meetings (Recommended: Last week of the quarter)

Block off dates for Monthly Business Review Meetings (Recommended: Last week of month/Day 1 of QSP)

Block off dates for All Hands Meetings (Recommended: Week following MBR/QSP)

Meet with your leadership team to determine days/times for Weekly Scorecard Meetings (Team meetings + Leadership meeting)

Add all meeting dates to your Company Calendar [OPTIONAL]

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Creating Clarity and Scaling Decision-Making

How are decisions made at your company?

In the early days, I'd wager that all decisions, big or small, were made by you, if only because you were the only one around to make them. But as your company grew, you likely started delegating decision-making to members of your team. At first, these decisions were small. A customer support rep replied to a grumpy client on their own, or your executive assistant managed your email inbox for you while you were away on a trip.

But just as companies grow in both size and complexity, the everyday decisions of company leaders also become larger and more complex over time. One day your office manager is asking if it's okay to use the company card to buy coffee and printer paper, and the next day it's Directors and VPs seeking budgetary approval to staff entire teams, launch new lines of business, or sign six-figure annual software contracts with terms and conditions that would make any ordinary attorney's eyes bleed.

How do you delegate those types of decisions?

In my experience, most entrepreneurs are slow to delegate all but the simplest and least-risky decisions to anyone in the company—including their own leadership team—for one simple reason: trust. They simply don't trust that anyone but them has the right mix of knowledge and experience to make the right decision when the stakes are high.

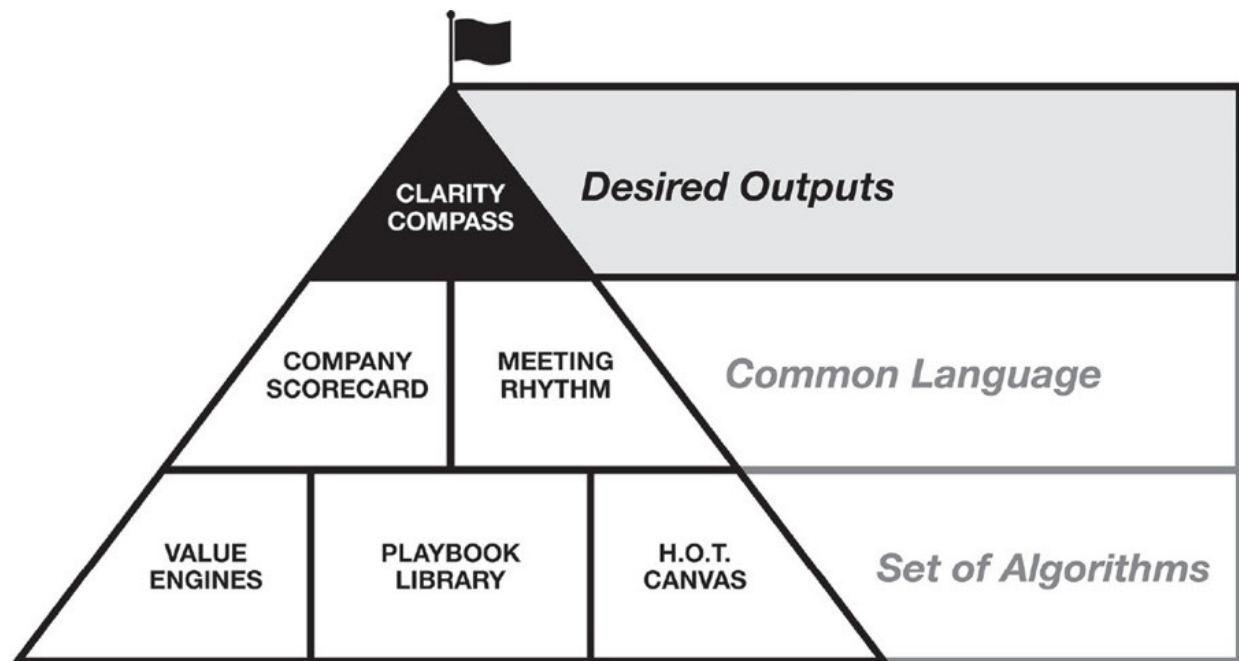
This is a problem because all companies scale at the rate of good decision-making. Let me repeat that last line, because it's important...

The faster you and your team make the right decisions, the faster your company will scale. Make too many wrong decisions or take too long to make the right decisions, and you flatline and fail. It's as simple as that.

But it's a balance. On one hand, if you delegate all decision-making to anyone and everyone on your team, the bad decisions will build and your business will fail; on the other, if you hoard all the decision-making yourself, then efficiency and innovation will stall out, and you will burn out.

That's why all companies must have a framework for decision-making at scale. A decision-making framework is the missing piece that will finally allow you to shift from the dreaded YouOS (where you are the one making all the decisions) to a Scalable OS where you have a trusted team that's fully capable of making high-level decisions as good (or even better) than you would. Fortunately, that's what this chapter is all about—and by the end of it, you'll have a decision-making framework (or, as we like to call it, a “Clarity Compass”) that will serve as the capstone for your company's operating system.

All companies scale at the rate of good decision-making.



Where Are We?

Before we go any further, let's do a quick recap of where we have been and where we have left to go. Remember our goal: we want to build and install a Scalable Operating System that will enable your company to run, and even scale, without you.

As you might recall, the formal definition of an operating system is a set of algorithms and a common language that enables different components to communicate with each other in support of the desired outputs of a machine.

In Chapter 2, we started off by mapping your company's Value Engines, and then in Chapters 3 and 4, we built your Business Playbook Library and assigned clear roles and accountability using the High-Output Team Canvas. These three processes (and their related tools) are what form the set of algorithms of your company OS.

Once we documented the first version of your set of algorithms, we then moved on to architecting your company's common language, which includes

Company Scorecards from Chapter 5 and your company's meeting rhythm, which we covered in Chapter 6.

Now that the set of algorithms and common language are in place, it's time to shift our focus to the final component of the Scalable OS framework: desired outputs. The tool we leverage at Scalable to define these desired outputs is the Clarity Compass, and by the end of this chapter, you will not only have a framework for decision-making at scale, but also the final missing piece of your Scalable OS. Let's get started...

As with all the other Scalable OS tools referenced in this book, you can access the Clarity Compass Worksheet at: [GetScalable.com/resources](https://getscalable.com/resources)

CLARITY COMPASS

COMPANY: _____ DATE _____

*"We want to build a **scalable business**, where we have a **clear advantage** over the competition, that **aligns with our values**, and **makes a dent** in our little corner of the universe."*

STRATEGIC ANCHORS

"clear advantage"

3-YEAR TARGET

"scalable business"

CORE VALUES

"aligns with our values"

COMPANY PURPOSE

"makes a dent"

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How To Get Your Team To Think Like You

“How do I get my team to think like me?”

Of all the questions I get asked by my clients and portfolio company CEOs, this question is easily in the top three. And it makes sense! After all, what CEO wouldn't want to implant the smartest, most knowledgeable parts of their brain into the brains of their team like some kind of glorious reverse-lobotomy?

But a procedure like this is not only impossible (or at the very least, unethical), it's also unnecessary. I want you to consider for a moment that

maybe, just maybe, the people on your team can not only think like you, they can actually think better than you. After all, they have access to the same Value Engines, Playbooks, and High-Output Team Canvas. They also see the same Company Scorecards, and they're involved in the same meeting rhythm. But in addition to these things, they have something you don't: in-the-trenches experience.

The fact is, as companies scale, founders and CEOs get further and further away from the “dirty work” of the business. They're involved less and less in the creation and fulfillment of the company's products with fewer and fewer customers. And if they do talk to a frontline employee, it's usually just to wish them a “Happy birthday!” or say “Thank you!” for a job well done.

Your team is not only capable of thinking like you... they are capable of thinking better than you.

In other words, CEOs lose touch. You will lose touch. If it hasn't happened yet, it will. And soon. But the good news is, that's how it's supposed to be. Part of running a company at scale is building a team to do the work and services, and they engage you simply don't have the time or ability to do anymore. And it's for this reason that your team is fully capable of making better decisions than you. Not only do they have your operating system, they also have the experience and perspective you don't have.

The only thing they're lacking is your brain. Fortunately, that's exactly what you're about to give them.

A Four-Step Framework for Decision-Making

I want you to think about how you make decisions at your company. And not just any decision, I'm talking about the really, really big decisions. Decisions on things like:

“Do we make that critical hire now or wait until next quarter?”

“Do we attempt to turn around that flailing product line or do we cut our losses?”

“Do we take that high-interest loan or continue to fund growth out of operating cash?”

“Do we hold the launch until that ‘killer feature’ is ready or do we go to market now?”

“Do we sign that exclusive distribution agreement or pass and keep our options open?”

These are complicated questions with complicated answers, but in every case, I'm willing to bet that you followed a similar decision-making framework that goes something like this:

Step 1: The company case. Whether you realize it or not, the first question you're likely asking yourself during the decision-making process is, “If we do this, will it get us closer to our goals or farther away from our goals?” This is what's known as making the business, or company case. After all, if there isn't a valid business reason to take this action, why would you do it? You wouldn't, which is why this is the first question all good CEOs ask, no matter how interesting it might sound. But assuming you do believe this action will get your company closer to its goals, that's when you move onto Step 2.

Step 2: The customer case. Once you're confident that an idea will be good for the business, the next question you're likely to ask yourself is, “Is this good for our customers?” When you ask this question, you are making the

customer case. As the CEO, you know better than anyone that there's no point executing on a new idea or opportunity if the value created doesn't eventually trickle down to your customers. But assuming it does, you're free to proceed to Step 3.

Step 3: The culture case. Anytime you hear yourself asking, "Will pursuing this idea cause us to behave in a way that could harm our brand or reputation with our customers or team?" you are making the culture case. As the CEO, you know that a thriving culture is critical to a scaling business. You also know (expressly or intuitively) there is no culture without shared values, so there's no point in pursuing an idea—no matter the potential profits—if it could do long-term damage to the company's brand. But assuming you determine that making this decision aligns with your company's values, you're free to move onto the fourth and final Step.

Step 4: The capability case. This last step is arguably the most challenging to sort out, which is why it's also the step that CEOs get wrong the most. Any time you ask, "Is this something we can actually do?" you are making the capability case for an idea. Said another way, you're simply trying to determine whether you and your team are capable of executing on this idea, given the time and resources available.

To sum it up, if you believe an idea is good for the company, good for the customer, good for the culture, and something your team is capable of doing, then your decision to move forward on the idea will probably be an emphatic, "Yes!" On the other hand, if one or more of these elements are missing, you'll either say "No" to the idea or wish you had.

These four elements—company, customer, culture, and capability—are the factors that go into making any decision. The sequence might vary a bit, and you might spend more time on one and less on another, but if you have made a big, complex decision at your company, this was likely the thought process

you followed. The good news is, now that we have deconstructed how decisions are made, we can create a framework for decision-making and share it with our teams. And fortunately, that's exactly what a Clarity Compass allows us to do.

The Clarity Compass Explained

Now that we know the four components in our decision-making framework are company, customer, culture, and capability, the next step is to document our default beliefs and assumptions about each component. For example:

If we're going to ask, "Will this get us closer to our company's stated goals?" (a.k.a. the company case), it stands to reason that we should know what those "stated goals" are. Similarly...

If we're going to ask, "Is this good for our customers?" (a.k.a. the customer case), we should have a documented Company Purpose statement that clearly articulates the positive impact we want to make in our customers' lives. Also...

If we're going to ask, "Does this align with our company's values?" (a.k.a. the culture case), then obviously we should have our core values documented and displayed. And finally...

If we're going to ask, "Is this something we can actually do?" (a.k.a. the capability case), we should keep a running list of our core capabilities and competitive advantages, because the simple act of auditing an idea using a

list of company strengths and weaknesses will make it a lot easier to say “Yes” to some ideas and “No” (or even, “Not right now”) to other ideas.

Fortunately, this is exactly what a Clarity Compass gives you. It is a visual framework that captures all your default beliefs and assumptions about each of the four elements in one easily understandable and transferable place. In a very real sense, the Clarity Compass is your “decision-making brain” captured and stored on a single sheet of paper, so let’s break down each element of the tool so you can build your own.

CLARITY COMPASS COMPANY: _____ DATE: _____

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COMPANY PURPOSE
"makes a dent"

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As you can see, a Clarity Compass consists of four sections (two “poles” and two “hemispheres”) that each align with one of the four components of our decision-making framework.

The “North Pole” of the Clarity Compass displays your Three-Year Target and aligns with the company case. If you recall from Chapter 6, the Three-Year Target is your company’s formal business objective stated in terms of revenue, profit, and total enterprise value, so it makes sense that it would serve as the “North Star” for any decision-making process.

The “South Pole” of the Clarity Compass displays the Company Purpose and aligns with the customer case. The Company Purpose is a simple, one- or two-sentence statement describing the impact and contribution your company makes in the lives of the customers and clients it serves.

The “East Hemisphere” of the Clarity compass displays your company’s Core Values and aligns with the culture case. If you aren’t familiar with the concept, core values are the unique set of beliefs and behaviors that define a company’s culture. Great teams recruit, hire, promote, and (when necessary) fire based on their core values. They’re that important.

The “West Hemisphere” of the Clarity Compass displays your company’s Strategic Anchors and aligns with the capability case. Strategic Anchors are the collection of skills, resources, and assets your company possesses that combine to form a truly defensible competitive advantage. Said another way, Strategic Anchors are your company’s “mutant powers,” so if you believe it’s important to play to your strengths and avoid your weaknesses, this is the list of strengths you’ll want to consult.

To better understand the different elements of the Clarity Compass and how they all fit together, I want you to imagine that you’re going on a road trip. Your company is the car, you (the CEO) are the driver, and your customers

and team members are the passengers (don't forget about your team. They're on this journey too).

So, we have a vehicle (the company), passengers (customers and team), and a driver (you). All we need to make this road trip a reality is a destination, fuel, and guardrails to keep us on the road if we get distracted or start to nod off.

If you haven't already guessed, the Three-Year Target is the destination, the Company Purpose is the fuel, and the Strategic Anchors and Core Values are the guardrails on the side of the road that keep the vehicle that is your business between the yellow lines.



By combining these four elements—the Three-Year Target, Company Purpose, Core Values, and Strategic Anchors—into a single, visual framework, you now have a tool that anyone on your team can use to “think like you think.” Now that you understand what a Clarity Compass is, it's time to build one for your company.



In the pages that follow, I'm going to walk you through the steps of creating a Clarity Compass for your business. But even though you'll know how to create a Clarity Compass, I don't want you to build one for your company. Not yet.

The actual Clarity Compass build-out process should happen during a dedicated Clarity Day planning session. As we discussed back in Chapter 6, this session should take place the day before your first Quarterly Sprint Planning meeting, and it should be collaborative. This means the session should be attended by you as well as your leadership team, because you won't have buy-in without collaboration, and buy-in is essential if you want to fully install this last piece of your company OS.

So as you go through the rest of this chapter, read, take notes, and jot down ideas, but do not complete your company's Clarity Compass. Instead, think of this chapter as a "Facilitator Guide" to hosting a Clarity Day planning session with your own team.

Oh yeah, and if you want our help facilitating your Clarity Day, Quarterly Sprint Planning meeting, or any other aspect of the Scalable OS build-out process, you can get more information about our workshops and accelerators by going to: GetScalable.com/os

Step 1: Define Your Three-Year Target (North Pole)

The first step in creating your company's Clarity Compass is to define your Three-Year Target. A Three-Year Target is a crystal-clear business objective

that outlines what the company's top line revenue, bottom line profit, and total enterprise value will be three years from the date the goal is set.

To be clear, this is not some ivory tower, motivational-poster mission and vision statement. This is your “selfish,” inwardly focused, business-centric goal.

Your Three-Year Target is your North Star—the guide that keeps you always pointed in the right direction. This is your primary business objective that everyone in the company is driving toward and will serve as the foundation for any and all decisions and actions. Now that you know what a Three-Year Target is and why it matters, let's draft yours.



I think it's important, especially with the increasing number of “billionaires are evil” and “success is bad” movements that are popping up in our culture, to acknowledge that the goal of every business is to make money. I'm going to say that again because it's both important and yet oddly controversial: the goal of your business is to make money.

It truly doesn't matter what kind of business you are running; your inflows must outpace your outflows, or you will be out of business. Heck, even nonprofits still need to turn a “profit.” Sure, they might not be taxed on those profits, but that's a tax designation, not a business model.

There are other objectives, of course. You want to create freedom and opportunity for yourself and your team. You also want to improve the lives of the people you serve. But none of that can happen unless your business turns a profit, which is why we encourage all entrepreneurs, without apology, to put their company's business objectives (a.k.a. the money you want to make) front and center in their business planning and decision-making.

Anyone who says you're selfish for putting profits first is either ignorant about how business works, delusional, or just really, really bad at math.

“Our three-year target is to scale our top line revenue to X while maintaining a profit margin of Y, thereby achieving a total company value of Z...”

Here is a fill-in-the-blank template for stating your Three-Year Target:

If you already have three-year revenue, profit, and valuation goals, feel free to skip this section and move on to Step 2. If you aren't sure, though, or you just want to confirm if your goals are realistic, here are some generally accepted growth benchmarks you can use to get started.

Benchmark #1: Hypergrowth

For Venture Capitalist-backed companies hoping to achieve “unicorn” status, their goal is to triple, triple, double, double. In other words, they need to triple their revenue the first two years after launch, and then double it each of the next two years. If they can pull this off and then settle into a more “normal” 50–75 percent year-over-year (YoY) growth rate, they'll achieve \$100 million in revenue in seven years or less and that coveted, billion-dollar, unicorn-status valuation. This is what is known in the startup world as “Hypergrowth.” As a general rule, going triple, triple, double, double requires a lot of outside capital, a rapidly growing market, and near-perfect execution. It can happen. And it does happen. But it's not in the cards for most bootstrapped businesses, so I would be slow to recommend this benchmark for your Three-Year Growth Target.

Benchmark #2: Rapid Growth

For companies desiring to achieve Rapid Growth, the goal is double, double, 75 percent. In other words, their sales need to double year-over-year two years in a row, and nearly double again in year three. This level of growth is possible for bootstrapped companies, but it typically only occurs in the earliest stages of the business when revenue numbers are still relatively small. So, while this is a worthy benchmark to shoot for, it might be a bit aggressive for some later-stage companies.

Benchmark #3: Steady Growth

As a Steady Growth company, your goal is to grow 25–50 percent year-over-year, essentially into perpetuity. If you’ve heard the story of the “Tortoise and the Hare,” this is definitely the tortoise option. But there’s a reason why the “Tortoise and the Hare” is such an enduring story: most of the time, slow and steady does win the race, so there’s zero shame in taking the Steady Growth route. In fact, this is the growth benchmark I recommend most often to our clients and portfolio companies.

Benchmark #4: Mature Growth

In a Mature Growth company, your goal is to grow 10–20 percent per year. This can be a fine goal for legacy businesses in slow-growing markets, but slow growth like this can leave you vulnerable to competition and disruption. Also, it can be challenging to attract and retain the best talent at Mature Growth businesses, because great people want to work for great companies, and great companies are growing companies. For that reason, I don’t recommend choosing Mature Growth as your benchmark. (Also, you’re reading a book called *Get Scalable*, for crying out loud!)



Growth Benchmarks:

Hypergrowth: triple, triple, double, double (then 50–75% growth)

Rapid Growth: double, double, 75%

Steady Growth: 25–50% YoY

Mature Growth: 10–20% YoY

As helpful as these benchmarks are, we take a slightly different approach at The Scalable Company. When we're working with our clients and portfolio companies to define their Three-Year Target, we don't ask them to choose between Hypergrowth, Rapid Growth, Steady Growth, and Mature Growth. Instead, we ask them if they plan to "Double in Three" or go "Top-to-Bottom."

Scalable Growth Target #1: Top-to-Bottom

"Top-to-Bottom" is my favorite three-year growth target and the one I like to challenge our clients and portfolio company CEOs to shoot for. To achieve this growth target, you need to turn your current top line revenue into your bottom line profit number in three years or less. In other words, if you generated \$1 million in top line revenue last year, you would need to realize \$1 million in bottom line profit by the end of year three to achieve your "Top-to-Bottom" goal.

Assuming your company is operating at a 20 percent profit margin and you're able to maintain that profit margin in year three, you would need to grow top line revenues from \$1 million to \$5 million to realize \$1 million in bottom line profit.

Obviously, growing your company 5X in three years is no small feat, but it's a lot easier when you have a Scalable Operating System installed that allows you to get out of the day-to-day and focus on the high-leverage work that can deliver 5X (and even 10X) scale.

Scalable Growth Target #2: Double in Three

As the name suggests, with "Double in Three" you are committing to at least double your top line revenue and your bottom line profit in three years or less. If doubling your sales and profit in three years seems aggressive, then consider this:

- A 26 percent year-over-year increase is enough to double in three years. Yep, just grow 26 percent three years in a row, and your business will be twice as large as when you started. That's the power of compounding! (If you don't believe me, feel free to grab a calculator and run the numbers yourself.)
- If you can bump that year-over-year growth to 40 percent, you'll double in only two years!
- And how about this stat: if you can grow your sales just 3 percent a month, every month, you'll double your revenue in two years. That's not a typo. If you can manage just 3 percent growth month-over-month and sustain it over a two-year period, your business will double. It's not a question of "if." It's just math.

If nothing else, I hope this little exercise proves that you can at the very least double your business over the next three years, which is why "Double in

Three” is the minimum growth target we will accept for any of our clients and portfolio companies.

So, whether you’re going for Top-to-Bottom, Double in Three, or something in between, take a minute and choose your Three-Year Target revenue target. But remember, a Three-Year Target is about more than just revenue. If you recall, the template for stating your Three-Year Target is:

As you can see, while knowing your top line revenue target is important, it’s not the only variable that matters. We also need to define your “profit margin” and “total company value” to complete your Three-Year Target.

“Our three-year target is to scale our top line revenue to X while maintaining a profit margin of Y, thereby achieving a total company value of Z...”

Fortunately, if you know your company’s current profit margin, you should be able to use your existing financials as well as industry benchmarks to predict and project your three-year profit margin. If you’re stuck, try doing a Google search for “profit margin benchmarks for [industry name].” For example, if you’re running a heating and air conditioning company, you would search “profit margin benchmarks for hvac companies” or “profit margin benchmarks for home services companies.”

Similarly, if you know your revenue and profit margin, you should be able to calculate the enterprise value of your company, since most businesses are valued based on a multiple of profit, or EBITDA (Earnings Before Interest, Taxes, Depreciation, and Amortization). If you aren’t familiar with the valuation multiples for your industry, your options are:

Hire a consultant. Mergers and Acquisitions (M&A) is big business, so if you're interested in selling your business one day, I promise there's an exit advisory consultant who would be happy to give your company a present and future valuation estimate.

Ask your network. If you participate in industry networking groups or forums, there's a good chance someone in your network has sold or acquired a business, so they should be able to give you an idea of the multiple ranges based on EBITDA.

Google it. At the end of the day, the right answer is probably just a Google search away. And while "Google research" probably isn't good enough when it comes time to actually sell your business, it's good enough for this part of the process. A simple search string that does the trick most of the times is "EBITDA multiples for [industry name]." So, again, if you're running a heating and air conditioning company, you would search "EBITDA multiples for hvac" or "EBITDA multiples for home services companies."

Once you have determined where you want your company's revenue, profit margin, and total value to be in three years, it's time to fill in the blanks on the Three-Year Target template and add it to the "North Pole" of your Clarity Compass.

Congratulations!

Moving forward, any time you (or anyone else on your team) is processing a decision and wondering, "Will this get us closer to our company's stated goals?" you'll no longer have to guess what those "stated goals" are. They'll be right there waiting for you in the Three-Year Target section of your company's Clarity Compass.

Step 2: Define Your Company's Purpose (South Pole)

Your Company Purpose is the driving force—the why—that pushes you and your team toward your Three-Year Target. It's what gets you out of bed and makes it possible to persist through those really, really crappy days.

Now, you may still be in the mode where you're saying, "Our company purpose is to simply survive, to pay our bills and stay in business another day."

In early startup days, that's fine—appropriate, even. But as your company scales, mere survival won't be enough to inspire your team, nor will it be enough to inspire your customers.

This is a lesson I had to learn the hard way.

I'll never forget the day I was called out by one of my employees.

I had just finished what I thought was a particularly inspiring All Hands meeting when a twenty-something intern I barely knew walked up to me and asked, "So, why are we doing what we're doing? What's our greater mission and purpose?"



If you would like our help determining your Three-Year Target, including help projecting your revenue, profit, and company value, that's one of the services we provide for our clients. To learn more, visit GetScalable.com/os

What I wanted to say was that our mission was to make money so we could continue paying people like her, but I knew that wasn't right. Aside from that answer making me sound like an evil, capitalistic pig, it also wasn't accurate. I did (and still do) care about our customers. I was (and still am) excited about the work we do, and I was (and still am) proud of the value we provide.

The problem is, I hadn't shared any of this with anyone on my team.

No one knew the greater "why" behind what we were doing, because I hadn't bothered to tell them.

To be fair, I hadn't shared our company's "why" for good reason. In the early days, my one and only goal was just to stay in business. My entire "why" was to survive another day. Then, once it looked like we were going to survive (even if it was by the skin of my teeth), my goal was to actually make money. I wanted to prove that the tiny company I had dreamed of could actually grow and succeed.

But on the day the intern asked me that question, the company was past that. Sales were steady and the team was growing. My "selfish" business objective to make money was still critical (after all, that's how our customers get served and our employees get paid), but it wasn't enough to motivate the next generation of team members.

Heck, it wasn't even enough to motivate me anymore.

Even though I was blindsided and a little irritated by the question, in my heart of hearts I knew it was the right question at the right time. It was a good question that deserved an equally good answer.

Unfortunately, I didn't have a good answer to her question—so I told her the truth. I replied with something along the lines of, "I'm embarrassed to admit it, but I don't have a great answer to your question. But let me think about it and get back to you."

She probably thought that would be the end of the conversation, but I took her question seriously, and I set out to answer it. I did some research and talked to mentors and advisors who were a few steps ahead of me. What I

learned is that there is a formula for a Company Purpose Statement. I'm going to tell you what that formula is, but first, I want to define what a Company Purpose Statement is. To do so, I'll contrast it with the definition of the Three-Year Target:

If a Three-Year Target is a “selfish,” inward-facing, business-centric goal, then the Company Purpose Statement is a selfless, outward-facing, customer-centric goal.

Your Company Purpose Statement is the “why” for your business. It is the reason for existing and the reason you would be missed if you were gone. This is the dent you want to make in your little corner of the universe. It's important to note that unlike the Three-Year Target, your company's purpose should not have a time horizon. That may contradict everything you've heard about setting a “mission,” but hear me out.

When you think about your Company Purpose Statement, don't think of it as a mountain to be conquered. Instead, think of it like the horizon line. If you go outside right now, you should be able to find the horizon line. You might have to climb to the top of a hill or take an elevator to the top floor of a building, but the horizon line is there. It's real. You can see it with your own eyes. It's a place.

But unlike the finish line at a race, the horizon line is always moving. You never reach it. The closer you get, the farther it seems to move away from you. I admit, this can be super frustrating as a business goal. Imagine, for example, what it would feel like if your Three-Year Target were simply, “Make lots and lots of money.” Not very inspiring, is it? But the horizon is ideal for a Company Purpose, because the fact that it's never truly “achieved” is precisely the point!

Your Company Purpose isn't a destination, it's the fuel! Its job isn't to tell you when you've arrived; its job is to propel you forward until you get there. And you never want to run out of fuel, do you? If you did, you would just be

stuck exactly where you ran out. That's why a Company Purpose should not have a clear time horizon.

Your Three-Year Target needs a time horizon. You might even have a customer-centric goal that has a time horizon. All those things are good.



You may have noticed that I have refrained from using terms like “mission,” “vision,” and even “strategy” to describe your company’s goals and purpose. That’s because, in my experience, no one actually agrees on what any of these terms mean. One author will use the term “vision” to describe what another author calls a “mission.” Other authors seem to confuse “strategy” with “goals,” and even projects.

To me, when no one agrees on what a word means, that word ceases to be helpful. This is the case with terms like “vision,” “mission,” and “strategy.” Because of this, I choose to use specific terms like Three-Year Targets, Company Purpose, and Strategic Anchors (which we’ll cover later in this chapter).

But when it comes to your Company Purpose Statement, think horizon line. Let it be that thing you get to chase for the rest of your life... the story you get to keep telling.

Now that you know what a Company Purpose is and why it matters, let’s craft one for your business. A Company Purpose Statement combines two things:

- 1) Contribution (the work a company does) and...

2) Impact (the value a company delivers)

The formula is pretty simple: Contribution + Impact = Purpose.

Let's unpack each term.

Contribution is simply the work you do and how you do it. Don't over-think it. These are the products you sell, the services you deliver, and the type of business you run. Contribution is not about the result or the value that you deliver, it's simply what you do and how you do it.

Impact, on the other hand, is the specific value you deliver. It's the result. The glorious "after" your customers and clients get to experience once they have had the chance to do business with you. If contribution is the vehicle, then impact is the destination, and it's critical that you have both if you want to clearly articulate your company's purpose.

Once you're clear on the contribution you make and the impact you deliver, all you need to do is plug each into the "Purpose Generator Formula" and voilà! Your Company Purpose statement will practically write itself.

Okay, so maybe it's not quite that simple, but the formula for writing your Company Purpose statement really is. It's just:

"To [Contribution] so that [Impact]..."

Or, if you prefer, you can flip contribution and impact and write it as:

"To [Impact] by [Contribution]..."

I realize that's a bit cryptic without any of the "blanks" filled in, so let's look at some examples of Company Purpose statements from companies you may recognize. See if you can guess the company before it's revealed.

1) To organize the world's information [contribution] and make it universally accessible and useful [impact].

2) To be the most customer-centric company [impact], a place where customers can find and discover anything they might want to buy online at the lowest possible price [contribution].

3) To connect people to what's important in their lives [impact] through friendly air travel [contribution].

4) To help humanity thrive [impact] by enabling all teams to work together effortlessly [contribution].

If you notice, the sequence may vary, but the elements remain the same. In each example, the Company Purpose statement contains a clear contribution and a clear impact.

Now let's see if you got the answers right.

The first Company Purpose Statement I shared was this one: To organize the world's information and make it universally accessible and useful.

As I'm sure you've already guessed, this Company Purpose statement belongs to a little business by the name of Google. Google fundamentally believes that information should be accessible to everyone. This is the impact they want to make. How do they do that? What's their contribution? It's simple: they organize all the world's information so you're never more than a few clicks away from the info you need.

It's a huge statement that defines the "why" behind one of the most important and influential companies in the world. But the formula is the

same: Contribution + Impact = Purpose.

The second statement I shared with you was this one: To be the most customer-centric company, a place where customers can find and discover anything they might want to buy online at the lowest possible price.

What tiny little company is this? The answer (of course) is Amazon, but let's unpack it. The real contribution of Amazon is that they have created a store where customers can find anything. That's why they still call it "The Everything Store."

But why did they create the everything store? What does creating a store with massive selection have to do with fulfilling their greater Company Purpose? The answer is: if anybody can find anything, and if it's all available in one place, then Amazon can create economies of scale, which will create savings for the company, which can then be passed on to the consumers. In other words, the bigger the store, the greater the selection; and the lower the prices, the more customer-centric the company becomes. Everything aligns with the impact Amazon is seeking to achieve—to be the "most customer-centric company in the world."

The third Company Purpose Statement was this: To connect people to what's important in their lives through friendly air travel.

Did you catch the nuance there? The purpose statement doesn't just say "air travel," but "friendly air travel." This is, of course, Southwest Airlines. In this case, there really isn't anything unique about their contribution. What are they doing? They're "connecting people to what's important in their lives." This is a fancy way of saying, "We fly people around the world." Literally every airline on Planet Earth could say the same thing, which is why the airline industry is so commoditized. They literally all do the exact same thing.

But I want to take a closer look at the impact portion of Southwest's Company Purpose statement. Note that they don't merely "connect us to important things" (which is something any business from an airline to a gas station could say), but they do it through "friendly air travel." Almost everyone will need to fly on an airplane at some point in their lives, so flight

alone is not impactful. What is impactful is friendly flight, as anyone who has ever caught a red-eye out of JFK knows. The contribution they make is air travel itself—“connecting us to what’s important”—but their impact is friendliness.

It’s worth pointing out that another company could claim that they “connect people to what’s important through luxury air travel.” That statement has the same contribution (air travel), but a different impact (luxury vs. friendliness). The list could go on and on:

Connect people to what’s important through inexpensive air travel.

Connect people to what’s important through entertaining air travel.

Connect people to what’s important through on-time air travel.

(Good luck with that last one, by the way.)

The point is, even in commoditized industries where multiple companies sell the exact same product, it’s possible to differentiate yourself if you have a clear and compelling Company Purpose.

The fourth example, “To help humanity thrive by enabling all teams to work together effortlessly,” is from a project management company called Asana. Their product is great, by the way—but in my opinion, they have an eye-rollingly bad statement of purpose.

Their contribution is simple enough: they “enable teams to work together effortlessly.” For a project management tool, this seems simple and obvious, so it gets a thumbs-up from me.

But what about their impact?

This is where things go off the rails. Their stated impact is to “help humanity thrive,” which is a bold impact statement. Noble, even. But it also feels like an overreach. Are they really able to help the whole of humanity “thrive” by enabling more efficient project management solutions?

Obviously it's possible (likely, even) that some of their customers are managing projects that involve curing diseases or feeding widows and orphans, but it's certainly not what most of their customers are doing, nor is it the main reason people use Asana. By the same logic, a gas station could say it "helps humanity thrive" since it provides the fuel that allows ambulances to get to sick patients, fire trucks to get to burning buildings, and average workers to get to their amazing, humanity-thrive-inducing jobs.

Maybe it's just me, but I'm not buying it.

To be clear, I don't know any of the leaders at Asana, nor do I know anyone who works there, so it's possible they're all fully bought into this Company Purpose. But I doubt it.

Here's the point: whatever you choose for your Company Purpose, make sure it's sincere and believable. I'm all for shooting for the stars, but you also want to be sure the people you're trying to motivate aren't rolling their eyes in cynical disbelief when you proclaim your life-altering vision of the future.

I'll give two more examples to really drive this point home.

Read this Company Purpose statement and tell me the company it belongs to: "To usher in a post-fossil fuel era so the human race can survive."

Now this is a company with a truly massive purpose: the very survival of mankind. And no, this is not made up, nor is it an exaggeration. The impact this company is seeking to make is nothing less than the survival of the entire human race, and they're doing it by disrupting one of the most successful and entrenched industries in the world.

Now that's a company that would be missed if it were gone!

So, what company are we referring to?

Actually, this one is a trick question because it isn't just one company, it's two—Tesla and SpaceX, both founded by Elon Musk.

But there's a huge difference between this Company Purpose and Asana's: as bold as it is, Elon Musk's goal to ensure the survival of the human race is 100 percent sincere. Both Elon and everyone else at his companies believe wholeheartedly in this purpose. It shows in their products, their initiatives, and their contribution.

I share this because I don't want you to think that you can't shoot for the stars (in Elon Musk's case, he literally did). So, shoot for the stars, the moon, or even the sun if you want to. Just make sure it's sincere and believable by both you and your team.

I'll give you one more example, because this is a fun one:

“To slim your wallet because clunky, fat wallets are literally a pain-in-the-a\$\$.”

I absolutely love this!

The company is called Bellroy and they make wallets. Slim wallets, to be more precise. What's their contribution? Slim wallets. What's their impact? Your butt doesn't hurt as much when you sit down.

They're not solving world hunger.

They're not ensuring the survival of the human race.

They're just making it more comfortable to sit down by selling you a thin wallet. And as a proud customer, I can confirm that they more than deliver on their Company Purpose.

The lesson we can take from Bellroy is, you don't have to make your Company Purpose into some massive, world-shaking vision of the future. Remember your goal: “...to make a dent in our little corner of the universe.”

So go claim your dent, however small, in your little corner of the universe... even if your “universe” happens to be someone else's right butt cheek.

Once you've written your Company Purpose statement and added it to the “South Pole” of your Clarity Compass, it's time to head east.

Step 3: Define Your Core Values (East Hemisphere)

We're halfway done with the Clarity Compass.

At this point, you have defined your Three-Year Target and Company Purpose. These two elements are what define the North/South axis of your Clarity Compass. If you recall, the Three-Year Target provides the direction and destination, and the Company Purpose provides the momentum or push you need to get to your destination.

If North and South give us direction and momentum, then East and West are all about keeping us on track. And one key area where you need to stay on track as a company is with your internal actions and behaviors. In other words, you need to ensure that you and your team are acting in accordance with your company's Core Values at all times.

Core Values are a company's generally accepted standards of behavior. To put it more bluntly, they ensure you don't achieve your goals at the expense of your souls. Core Values are one of those things that "everyone already knows about," but in my experience, even the businesses that have Core Values largely get this wrong, so we'll spend the bulk of this section covering what a Core Value is and what a Core Value is not.⁶

Most entrepreneurs don't realize that there are actually four different types of company values. These are:

- 1) Core Values

- 2) Aspirational Values

3) Accidental Values, and...

4) Permission-to-Play Values

Core Values are the inherent, natural, and positive traits of the company. These are what make your company your company. They're what draw in the people you want and repel the people you don't want—both team members and customers alike. As we said earlier, Core Values are your generally accepted standards of behavior. You should recruit, hire, train, and if necessary, fire based on your values—and these are also the values that will be written on your Clarity Compass, so it's vital that you get them right.

Aspirational Values, on the other hand, may be positive, but they are neither inherent nor natural. You may aspire to behave a certain way, but if that's not how you or your team members actually behave, you can't call it a Core Value. For example, when companies claim to be “generous” or “charitable,” but they donate almost nothing and offer few (if any) incentives or opportunities for their employees to volunteer, that's an Aspirational Value. The leaders in those companies might want to be generous, but if they aren't practicing generosity, then they can't claim it as a Core Value.

My advice to entrepreneurs when they identify an Aspirational Value is to write it down, and even share it with their team. Make it clear that you want to adopt this value but acknowledge that you aren't there yet. Then, invite the team to start moving in that direction.

Who knows? With enough focus and attention, you may one day transform an Aspirational Value into a Core Value. Until that happens, leave it off your Core Values list. If you claim an Aspirational Value too soon, you'll lose credibility with your team because they'll know your values aren't really values at all, but just fancy words you add to press releases and spout off during company meetings.

Accidental Values are those values that are inherent and natural, but aren't necessarily positive. For example, a common critique of some Silicon Valley companies is that they have too much of a "bro culture" that can make an office feel more like a locker room and less like a place of business, causing women, people of color, and other minority groups to feel left out, and even threatened.

How does this happen?

To be clear, I'm not excusing this kind of behavior. At the same time, I don't think it's always intention. The fact is, it's not uncommon for startups to be founded by friends, and close friends often communicate with one another in ways that aren't always appropriate for the workplace. Whether it's immature jokes or passive-aggressive slights, humans have a way of bringing their whole selves to work, for better or worse.

Again, I'm not excusing this kind of behavior, I'm merely suggesting that it happens by accident, which is why these Accidental Values need to be stamped out before it's too late. But how do you stamp out accidental values that exist even though they shouldn't?

The first step is to name them. Acknowledge that they exist, and then acknowledge that it isn't good. Make a commitment to your team that you will model more appropriate behavior and ask for accountability when you slip up. Then, ask your team to do the same. It isn't easy, but over time, Accidental Values can be stamped out. And it's vital that you do stamp them out if you want your organization to scale beyond your limited inner circle.

Permission-to-Play Values are traits and behaviors that define the absolute minimum standard required to work at your company—or any company, for that matter. For example, traits like "honesty," "integrity," and "hard work" are all examples of Permission-to-Play Values. After all, who would want to hire someone who was dishonest? Or who lacked integrity? What company would ever list "Lazy" or "We don't buy our ink cartridges, we steal them" on the Core Values section of their website? Frankly, if you're going to have words like "honesty" and "integrity" on your values list, you might as well add "breathes oxygen" while you're at it.

You may think I'm being ridiculous or hyperbolic, but take a few minutes and google the Core Values of some of your favorite brands. If you do, I can virtually guarantee you'll be met with empty phrases like "honesty" and "customer-first" that are virtually interchangeable with one another. The fact is, if literally any other company could claim one or more of your Core Values as their own, there's a good chance that what you have is actually a list of Permission-to-Play Values.

If you discover that you have a bunch of Permission-to-Play values on your list, call them out. Acknowledge that you obviously need people who display that particular behavior or characteristic, but call it what it is. It's Permission-to-Play. Then delete it from your list and replace it with a value that is truly inherent to your organization—the kind of value that not just any company could claim as their own.

After reading the types of values, it's easy to see what Core Values are and what Core Values are not. To create your list of Core Values, I have three simple steps:

Step 1: Make a list of all the natural, inherent, and positive traits that define both the founding team and the highest performers of the company.

Step 2: Make a list of all the traits of low performers. Let's face it: sometimes, it's easier to identify values you do want by first identifying values you don't want.

Step 3: Purge all the Aspirational, Accidental, and Permission-to-Play Values from your lists.

If you follow this process, you should be left with five-to-seven (but ideally no more than ten) truly Core Values that define the generally accepted

standards of behavior at your company. Once you have your list of Core Values, you can add it to your Clarity Compass and move on to the next section.

Step 3: Define Your Strategic Anchors (West Hemisphere)

Now we come to the final section of the Clarity Compass: your Strategic Anchors.

If you recall, the purpose of the Three-Year Target was to give you direction and a meaningful goal to pursue. To the south of the Three-Year Target, we have our Company Purpose, and its job is to provide the momentum—the fuel—that drives you toward your Three-Year Target. Then, to the east, you have your Core Values, which are designed to keep you and your team on the “straight and narrow,” behaviorally speaking. The final piece of the Clarity Compass puzzle is your company’s Strategic Anchors.⁷

Strategic Anchors are the collection of skills, resources, and assets your company possesses that combine to form a truly defensible competitive advantage. They aren’t merely a list of your company’s strengths; they are a list of your company’s “mutant powers.” Strategic Anchors don’t just make you better, they make you different, and it’s those differences that make you great.

For example, a brief list of Apple’s Strategic Anchors could include:

Top 3 most recognized brand in the world

World-class hardware design and aesthetic

Install base of nearly 2 billion active devices

Integrated products and network effects (iPhone + AirPods and iPhone + App Store)

Network of over 34 million registered App Store developers

Industry-leading manufacturing and logistics

...and that's just to name a few. Obviously, a company like Apple will have a very long Strategic Anchor list, which largely explains why they are so valuable and successful. But if you look closely, you'll see it's the collection of traits more than any one trait that truly creates the value. For example, Apple could have a world-class brand, but without their industry-leading manufacturing and logistics, they couldn't fully capitalize on their brand power. Combine these traits with their install base and integrated product line, and you have a company that is nearly impossible to beat.

While your Strategic Anchor list may not be as impressive as Apple's, your company also maintains a collection of skills, resources, and assets that give you an advantage in the marketplace. Now all we have to do is brainstorm that list and add it to your Clarity Compass.

But why is it necessary that we list our company's Strategic Anchors?

Isn't it enough to know that they exist?

It's not, and here's why.

As your company scales, you will become inundated with new ideas and opportunities. Everyone from your employees to your peers and even your competitors will fill your inbox, Slack channels, and browser windows with fresh ideas for how you can grow, scale, and innovate. And while some of these ideas might be good, it's the good ideas that distract us from pursuing great ideas.

Michael Porter, one of the foremost experts on business strategy, understood this when he said: "The essence of strategy is choosing what not to do."⁸ Similarly, David Packard, one of the co-founders and namesakes of Hewlett-Packard, is quoted as saying, "More organizations die of indigestion than starvation."⁹

"More organizations die of indigestion than starvation." – David Packard

Did you catch that?

Organizations don't die because they fail to do enough, they die because they try to do too much. That's why, as a leader of a growing organization, you need a mechanism for saying "no" to projects and opportunities you should avoid, so that you can leave room for the projects and opportunities that give you a clear, competitive advantage. That mechanism for saying "yes" and "no" is what we call a "Strategic Anchor."

Building your Strategic Anchor list is a fairly simple process:

Step 1: Brainstorm. The first step to documenting your Strategic Anchors is to create an exhaustive list of all your company's actions and activities. Seriously, be as detailed as you can at this stage, listing everything you do across all phases of the organization. And don't eliminate any ideas because they seem too detailed or granular. Now isn't the time to edit. That will come later.

I like to do this activity as a group using sticky notes and a whiteboard with one idea/activity per sticky note. The group maximizes the flow of ideas, and the sticky notes make it easy to stack duplicates and group similar anchors into themes, which we'll talk about next.

Also, remember your Value Engines are a great source of ideas because they're really just a running list of all the important things your company does. So, if you get stuck, just pull out your Value Engines and I promise the ideas will start flowing again.

Step 2: Group and Theme. Once you've brainstormed a list of activities, sort the actions and activities by themes. Some Strategic Anchors will relate to product creation, while others relate to sales. Some will relate to marketing, and still others to general admin, or even something narrower like licensing or strategic relationships. The point is, put the Strategic Anchors in groups so that you can begin distilling the brain dump into something more usable and understandable.

Step 3: Finalize Your Strategic Anchor List. When you're done assembling your lists of actions and activities into usable groups and themes, ask: "What combination of assets and capabilities do we possess that inform a truly defensible competitive advantage?"

Just like when you crafted your list of Core Values, the goal should be to eliminate any Strategic Anchors that are Permission-to-Play. If your competition can claim they're just as good or better than you at something that's on your Strategic Anchor list, then it is not a Strategic Anchor (you can choose to develop a Strategic Anchor if you believe it's an advantage worth owning, but don't add it to your list until you can say with confidence that you hold a "truly defensible advantage" over the competition).

Once you have eliminated the Permission-to-Play anchors, select five-to-seven themes that summarize your competitive advantages and add them to the Strategic Anchors section of your Clarity Compass.

Moving forward, any time a new project or opportunity presents itself, you can ask: "Are we playing to a known strength?"

If you or someone on your team can't point to at least one (and ideally more) Strategic Anchors related to the proposed project, then the decision should be to pass on the opportunity. Saying "no" can be painful in the moment, but it's not nearly as painful as dealing with the long-term consequences of saying "yes" to a project you never should have started in the first place.

As a final note, remember that some Strategic Anchors can be learned and developed over time, and others can be acquired either by making the right hires or by acquiring the right company. In the mergers and acquisitions world, this is known as an "acquihire," and it's one of the fastest ways to expand your company's competitive advantages.

For now, don't focus on expanding your number of Strategic Anchors. Instead, focus on doubling down on the Strategic Anchors you already have, because I promise that once you know what they are, you're going to identify opportunities you might have passed on that you now look at with green-colored spectacles.

Action Steps: Creating Your Clarity Compass

If you made it this far, congratulations! Not only do you know how to build a Clarity Compass that will enable high-quality decision-making at scale, but since this is the last tool in the Scalable OS Framework, you're also nearly finished with the build-out of the first version of your company's operating system. Here are the steps you need to take to complete your Clarity Compass (and your Scalable OS):

Schedule a Clarity Day workshop (ideally the day before your first QSP)

Download the Clarity Compass Worksheet and distribute it to your leadership team

Define your Three-Year Target (TIP: Use the 12Q Planning Canvas)

Establish your Company Purpose (Contribution + Impact)

Define your company's Core Values

Define your company's Strategic Anchors

Finalize your Clarity Compass and distribute a copy to everyone on your team

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Installing Your Operating System

Well, here we are. All our work over the last several chapters has been leading up to this moment. It's finally time to install your company's operating system. But before we dive into the installation process, I thought it would be helpful to review what we've done and why we've done it.

Remember that our goal is to replace your old, outdated YouOS with a custom, upgradable Scalable OS that is fully capable of running and scaling your business without you. This is the operating system that will allow you, the founder, to stop working in the business and start working above the business.

As we've discussed, a Scalable Operating System is made up of three things:

A Set of Algorithms

A Common Language, and...

Desired Outputs

We began this process by mapping your company's Value Engines, the visual representations of how you create and capture value in the marketplace. We then moved on to documenting your Business Playbooks, the step-by-step checklists that detail precisely how your company executes its most critical tasks. Next, we assigned clear roles and accountability using the High-Output Team Canvas. Combined, these three tools form the set of algorithms that is the foundation of your company's operating system. This is your company's "source code."



I hope you now see why we finished with desired outputs instead of starting with them like most books and consultants would have you do. While goal-setting is important, until you have an upgraded and scalable operating system in place, it's impossible to know the true potential of your company's outputs. Said another way, you can accomplish so much more with a Scalable OS than a YouOS.

Once we documented your set of algorithms, we then moved on to architecting your company's common language. In Chapters 5 and 6, we created your Company Scorecards as well as your weekly, monthly, and quarterly meeting rhythm. Combined, these tools enable the different components in your business, across all teams and departments, to communicate efficiently and accurately with one another. This is your company's "user interface."

Finally, once we finished documenting your set of algorithms and common language, we set about codifying your desired outputs using the Clarity Compass and 12Q Planning Canvas. This is your company's "output."

Are We There Yet?

One of the biggest questions I receive from clients and readers is, “How do I know when my operating system is done?” And look, I get it. Entrepreneurs are momentum-based creatures who like to finish what we start—but here’s the bad news: your operating system will never be “finished.”

As we’ll discuss at the end of this chapter, just like a computer operating system needs to be regularly upgraded to keep up with the latest hardware and application improvements, your company’s operating system will need regular upgrades to keep up with your ever-growing business. That said, here’s a simple checklist we use when we’re working with our clients and portfolio companies to define when the first version (v1) of your scalable operating system (sOS) is complete.

Your sOS v1 Checklist

The first version of your Scalable OS is considered complete when you can check the following boxes and mark them “Complete.”

Map one complete Value Engine (Growth Engine plus its associated Fulfillment Engine)

Document five-to-ten playbooks for each Power Stage in your Value Engine

Draft your High-Output Team Canvas with CABs assigns for each Value Engine stage (Note: You do not need CABs for every member of your team during v1, just the team members who are accountable for one or more stages in your Value Engine)

Draft your Company Scorecard (Evergreen metrics, North Star metrics, and three-to-five team metrics)

Define meeting rhythm (with calendar dates blocked off)

Complete Clarity Compass

Once you have checked all the boxes above, congratulations! Version 1 of your Scalable Operating System is officially complete, which means you can now shift into installation and optimization mode.

But while the work of upgrading your company OS is never finished, I don't want to gloss over this incredible accomplishment. By building your company's operating system (even if it's just v1), you've done something that very few entrepreneurs will ever do. You have replaced yourself (and your YouOS) with a Scalable OS that can run and grow your business without you. That's a big deal!

At the start of this book, I introduced you to the concept of the Founder's Curse, which states: The more valuable you are to your business, the less valuable your business is.

If you were being honest, you probably had to admit that your business is less valuable than it should be, simply because it's too reliant on you. This is the problem with running a company on a YouOS. Fortunately, those days are behind you now. You have put in the work, and now it's time to reap the

rewards. But first, we need to finalize this process by actually installing your new, Scalable OS.

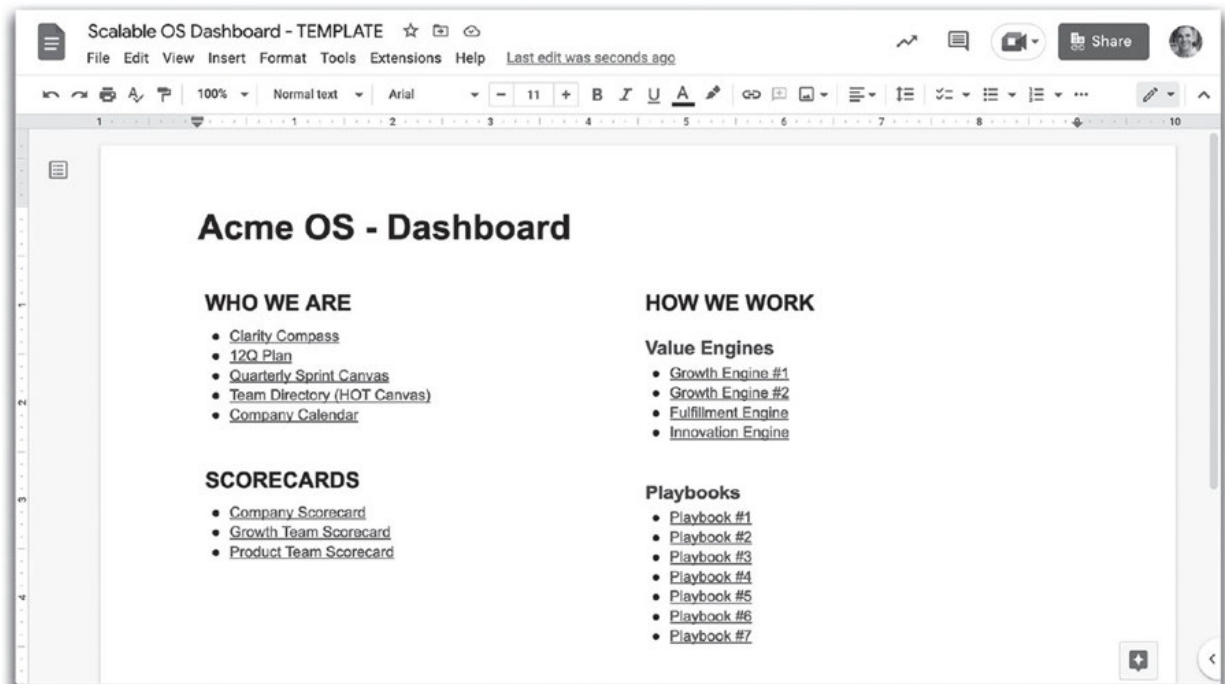
Installing Your Scalable OS

You have done some amazing work, but it's all worthless if it sits on your computer or in some file folder collecting dust while you keep operating the same way you always have. Just like when a computer gets an upgrade, you have to actually install your new operating system for it to work—so with that in mind, here are the steps to installing your Scalable OS:

Step 1: Design an OS Dashboard.

At this point, you likely have a dozen or so critical business assets in PDF and Google Doc form spread all over your digital and physical workspaces. And while this was fine during the build phase, to truly install your OS, you need a single place to store these items where they can be accessible to your entire team.

The simplest solution (and the one we operated under for years) is to create a Google Doc file you can share with your team that links off to all the different assets in your company OS, including your Value Engines, Playbooks, High-Output Team Canvas, Company (and Team) Scorecards, company/meeting calendar, and even your Clarity Compass and 12Q Planning Canvas.



The benefits of a single Google Doc as your OS Dashboard are clear: it's free to set up and easy to share or update. It also doesn't force you into any single software solution because you can use your favorite flowcharting tool to host your Value Engines, your favorite SOP/project management solution to host your Playbooks, your favorite business intelligence tool to host your Scorecards... you get the idea. This setup is about as flexible as it gets.

The downside to using a Google Doc as your OS Dashboard is that it can become a bit unruly over time as your company (and your OS) expands, which is why in the past we have gone so far as to hire developers to build customer OS Dashboard solutions for some of our portfolio companies. The obvious benefit to this is that you wind up with a fully custom solution that does exactly what you need it to do, and nothing more; the downside, however, is that custom solutions are expensive and time-consuming to build and maintain, so they generally aren't appropriate for businesses generating less than \$10 million per year in revenue with fewer than 100 employees.



At The Scalable Company, we're constantly testing out new tools and templates to power company operating systems, so be sure to check out [GetScalable.com/resources](https://getscalable.com/resources) for our latest tech recommendations.

Also, if you want our help building and installing your company's OS (including the OS Dashboard), you can go to [GetScalable.com/os](https://getscalable.com/os) for more information.

Fortunately, a new breed of “no code” tools such as Notion, so and [Airtable.com](https://airtable.com) are filling the gap between the quick and dirty Google Doc solution and the fully custom software development solution. But despite their name, some coding and database experience is required to build even simple dashboards in these supposed “no code” tools, which is why I suggest you keep it simple at the start.

Step 2: Host your first QSP and Clarity Day meetings with your leadership team.

We discussed how to run a Quarterly Sprint Planning meeting back in Chapter 6, and the Clarity Compass (which you will build out with your leadership team during your Clarity Day) back in Chapter 7, but now it's time to shift from theory to action. Not only is this where you will put the finishing touches on the first version of your company OS, it's also where you will get buy-in from your leadership team, and this buy-in will be critical if you want your new OS to be accepted throughout the organization.

I recommend scheduling two full days, preferably off-site, to complete these two meetings:

Day one is Clarity Day. This is where you and your team will focus on completing your Clarity Compass as well as tying up any remaining loose ends on your OS. For example, many teams will spend the first

half of the day completing their Clarity Compass, and the second half reviewing and revising their High-Output Team Canvas, Company Scorecard, and meeting rhythm.

Day two is your Quarterly Sprint Planning meeting. We discussed QSPs and the sprint process back in Chapter 6, so you should be able to use that section as well as the Quarterly Planning Canvas (which is available at [GetScalable.com/resources](https://getscalable.com/resources)) as your guide for facilitating this meeting.

Step 3: Host a company-wide All-Hands Rollout meeting.

This is the meeting where you will share the Clarity Compass, Quarterly Sprint Plan, and your new company OS with the entire team. This meeting should last sixty-to-ninety minutes and be held in person, if possible. And my “in person” recommendation applies to remote companies, too. At least half our clients and portfolio companies are hybrid or completely remote, but this is one meeting we believe is worth the investment in time and money to get everyone in the company—no matter where they are in the world—in the same room. After this initial OS kickoff meeting, you can shift back to remote All Hands meetings when rolling out future Quarterly Sprint Plans, but this first one is different, and the best way to ensure your OS is fully installed is to make everyone in the company a part of the installation process.

Once you have held your first Quarterly Sprint Planning Meeting and announced your Three-Year Target, Company Purpose, Core Values, and Strategic Anchors to everyone in your organization, your operating system is officially installed. But remember, the work of maintaining and upgrading your company OS is never truly complete, and that’s exactly what I want to leave you with.

Do It for Steve

On January 9, 2007, Steve Jobs introduced the world to the iPhone for the very first time. To say his little invention has made a dent in the universe would be an understatement. The first iPhones hit the shelves later that year on June 29, 2007, but what received considerably less fanfare was the operating system that powered this new technology.

Dubbed “iOS 1.0,” this new mobile operating system became the de facto standard for what would soon be called smartphones and revolutionized how we, as humans, interact with our devices. iOS rocked the world, but what few people realize is just how often this incredible operating system has needed an upgrade.

iOS 1.0 received its first upgrade to iOS 2.0 in 2008, just a year after its launch. Then iOS 3.0 rolled out in 2009.

4.0 in 2010.

5.0 in 2011.

6.0 in 2012...

...you get the idea. Literally, every year since the release of the iPhone, iOS—the gold standard for mobile operating systems—has received a major upgrade. And that doesn’t even count all the smaller upgrades and bug fixes that happen between major releases.

If an annual upgrade is needed to keep the most advanced mobile operating system up to speed, then don’t be shocked when your own company operating system needs a little tune-up as well. The work of creating, running, and installing an operating system is never finished because like technology, our businesses are always growing, improving, and getting faster.

And even iOS, an operating system built by thousands of engineers working for one of the most valuable companies in the world, has a bug from time to time. Don’t be surprised when your own operating system gets a little outdated and buggy too. That’s just what happens when businesses (and technology) scale. While Version 1.0 may be embarrassingly bad compared

to your future Version 5.0, what you have today—your Scalable OS 1.0—is still a major upgrade from the YouOS you started with.

So enjoy the ride, because your business is about to become a lot more profitable, a lot more fun, and a lot more scalable.



Do you want help building or upgrading your company's operating system?

At The Scalable Company, we're in the business of helping entrepreneurs upgrade their operating systems so their companies can scale, and so they can have a life again. If you would like to learn more about how we can help you build, upgrade, and install your company's OS, visit GetScalable.com/os

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GLOSSARY

All Hands meeting—A meeting to update everyone at the company on the goals the company has set, the projects the company has greenlit, and the progress the teams are making toward those goals.

Business Playbooks—A set of actionable, step-by-step checklists documenting individual tasks that must be completed, as well as the order in which those tasks must be completed, to execute a repeatable process or activity.

Clarity Compass—A visual, decision-making framework which serves as the capstone for your company's operating system. It captures the default beliefs and assumptions about your business's Strategic Anchors, Three-Year Target, Core Values, and Company Purpose in one easily understandable and transferable document.

Company operating system (a.k.a. business operating system)—A single source of truth that documents what a company does, how it does it, and the progress it is making toward its stated goals and objectives. While all companies have operating systems, not all operating systems are scalable.

Company Purpose Statement—A simple, one- or two-sentence statement describing the impact and contribution your company makes

in the lives of the customers and clients it serves. The formula for this statement is Contribution + Impact = Purpose.

Company Scorecard—A tool for tracking how your teams and Value Engines are performing. Company Scorecards typically include categories such as Evergreen, North Star, Teams/Departments, etc. Three-to-five key metrics per category are tracked on the scorecard.

Core Values—The unique set of beliefs and behaviors that define a company's culture.

Critical Accountability Bullets (CABs)—A list of the three-to-five most important roles and responsibilities for each member of your team.

Evergreen Metrics—High-level metrics such as revenue, gross margin, cash collected, Net Promoter Score (NPS), or any other important financial or business metric you track on an ongoing basis.

Fulfillment Engine—A visual map of the process by which customers receive the promised value after the sale is made.

Growth Engine—A visual map of the process by which new customers are acquired and sold.

High-Output Team—A team that clearly understands the work that needs to be done for your business, along with who exactly is uniquely responsible for doing that work. High-Output Teams are marked by three critical characteristics: clear purpose, clear context, and clear accountability.

High-Output Team Canvas—A tool for assigning clear roles and accountability to team members and a critical piece to the set of algorithms for your business.

Innovation Engine—A visual map of the process by which product and service offerings are created, updated, and improved.

Meeting rhythm—The cycle of meetings within a business. A meeting rhythm that is architected to scale will ensure the right information is shared with the right people at the right time, allowing teams and individuals to make data-driven decisions that lead the company toward its goals.

Monthly Business Review (MBRs)—A regular meeting to discuss three items: (1) company financials and scorecards; (2) status reports from team leaders; and (3) any necessary pivots or resource reallocations.

North Star Metrics—The three most important, leading metrics you have selected for a given quarter.

Playbook Library—A collection of the Business Playbooks for your business and a critical piece of the set of algorithms for a Scalable OS (it is your “vault” of “secret recipes”).

Power Stage—A critical task within a Value Engine; a task that your business has to get right in order for the Value Engine to run.

Quarterly Sprint Plan (QSP)—A plan for the next ninety days at your business. QSPs are marked by a memorable “rally cry” for team members as well as five-to-seven key initiatives to improve your business’s North Star metrics during that ninety-day period. QSPs ultimately push the company toward hitting the Three-Year Target.

Scalable OS—A model for operating a business in which the CEO has a trusted team that is fully capable of making high-level decisions as good or better than he or she would.

Strategic Anchors—The collection of skills, resources, and assets your company possesses that combine to form a truly defensible competitive advantage.

Scalable Planning System—A proven, four-part strategic planning and meeting cadence where companies: (1) plan in three-year cycles (Three-Year Target); (2) execute in ninety-day sprints (QSPs); (3) measure and report in weekly scorecard meetings; and (4) pivot monthly.

Team Metrics—The three most important metrics each team selects to highlight on the Company Scorecard.

Three-Year Target—A formal business objective that outlines what the company's top line revenue, bottom line profit, and total enterprise value will be in three years from the date the goal is set. It is an integral part of the Scalable Planning System.

Value Engine—A visual representation of how a company creates and captures marketplace value through the acquisition of new customers, fulfillment of existing customers, and the creation and/or improvement of the company's product and service offerings.

YouOS—A model for operating a business in which the founder or CEO makes all the decisions.

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ABOUT THE AUTHOR

Ryan Deiss is a serial entrepreneur, author, and investor, and according to Shark Tank star Daymond John, “His companies practically own the internet.” Ryan is the Founder and CEO of The Scalable Company (Scalable.co), DigitalMarketer.com, and a Founding Partner at Scalable Equity, LLC, an equity accelerator that builds, acquires, and invests in B2B media, services, and software brands.

Ryan is also the founder and host of the Traffic & Conversion Summit, the largest digital marketing conference in North America. He also quite literally wrote the book on modern marketing, *Digital Marketing For Dummies* (Wiley), which is now in its second edition. As a sought-after speaker, Ryan has shared the stage with top business leaders and celebrities like Sir Richard Branson, Gary Vaynerchuk, Sara Blakely, Martha Stewart, Tim Ferris, Daymond John, and Dave Ramsey.

Most importantly, Ryan is a proud father of four, and husband to Emily, to whom he gives all the credit for everything he has ever done.

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